

Torrent Pharmaceuticals Ltd. (TORNTPHARM)

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"Torrent Pharmaceuticals Limited Q4FY23 Earnings
Conference Call"

May 30, 2023

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR, FINANCE
MR. SANJAY GUPTA – EXECUTIVE DIRECTOR,
INTERNATIONAL BUSINESS

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY23 Earnings Conference Call of
Torrent Pharmaceuticals Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference, please signal an operator by pressing '*' and then '0' on your touchtone
telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – CFO of Torrent Pharmaceuticals
Limited. Thank you and over to you, sir.

Sudhir Menon: Thank you. Good evening and welcome to Q4 FY23 Earnings Call.

Quarter 4 continued to witness robust growth in branded generic markets, aided by market share
gain, performance of the top brands and new launches. The branded generic market, which now
constitutes 70% + of the total revenue, has grown 20% +.

The Scheme of Arrangement for amalgamation of Curatio is approved by NCLT, and pursuant
to this, the business combination has been recognized w.e.f. 14th of October 2022, which was
the acquisition date or the appointed date. The financials now reflect the effect of amalgamation,
effective 14th of October 2022. Curatio is now fully integrated into Torrent.

In terms of financial performance during the quarter, revenues were Rs.2,491 crores up by 17%
year-on-year. Gross margins were at 72%. Operating EBITDA margins were 29.2%. This
quarter, there was a one-time inventory write-off impact of around Rs.10 crores for one of the
COVID product which we had. Adjusted for that, the operating EBITDA is 29.6% for the
quarter. Operating EBITDA was Rs.727 crores and grew by 30% on a year-on-year basis. At the
end of FY23, the leverage in terms of net debt-to-EBITDA stands at 1.55x.

The Board of Directors have recommended a final dividend of Rs.8 per equity share.

I now hand over to Sanjay for taking us through the performance of the various geographies.

Sanjay Gupta: Starting with India, the India revenue was at Rs.1,257 crores and grew by 22%. As per AIOCD
secondary data, Torrent growth for the quarter was 12% versus IPM growth of 11%. For the full
year FY23, Torrent growth was 16% versus IPM growth of 9%. Growth was aided by the strong
performance of top brands and chronic therapies, new launch momentum and the growth rate
synergies bolstered by the integration of Curatio portfolio. During the quarter, we have launched
the Consumer Healthcare Platform with a dedicated trade field force to augment our distribution.
Field force strength at the end of the year was 5,500. Consistent with the acquisition of Curatio

and consistent market share gain in base business, the company's IPM rank has gained two ranks and now is the 6th largest player in the Indian pharmaceutical market. The rank in '21 -22 was eighth and this is now currently is sixth. Torrent has 18 brands in the top 500 brands of IPM, with 13 brands more than Rs.100 crores. We expect our India business to continue current

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growth momentum backed by new launches, Curatio synergies, performance of top brands and gradual scale up of consumer healthcare platform.

Moving on to our international territories, starting with Brazil – In Q4, Brazil is the largest revenue territory outside India with revenue of Rs.318 crores. This presents a growth of 27%. Constant currency revenue is at BRL 201 million, up by 17%. As per IQVIA, for the quarter ending March '23, Torrent growth is 24% versus the market growth of 12%. For '22 -23 IQVIA data shows Torrent growth at 22% as compared to market growth of 15%. We have launched seven brands in the last 24 months and as of today we have double digit market share in four of them. In '23 -24, we plan to launch a further six brands

– three in CNS and three in cardio. Brazil witnessed an all -round performance with market share gain in base portfolio. In CNS, we have 12 brands that grew faster than the market, out of which nine grew more than 10%. In cardio diabetes, we have seven brands that grew faster in the market, out of which five grew in double digit. In '22 -23, Torrent added 36 reps to its CNS field force, bringing the total number of sales reps in Brazil to 295. Torrent continues to strengthen the pipeline with 14 filings and 12 approvals in '22 -23. Our plan is to increase our portfolio coverage from the current 28% to 40% of CNS and CND therapeutic areas by '25 -26. Our generics business is growing rapidly and now represents 12% of our sales.

For Germany – our Q4 revenue was at Rs.253 crores, up by 16%. Constant currency revenue was EUR29 million, up by 11%. Since the last two quarters, Germany has been witnessing steady sequential recovery driven by new tender wins and growth in the OTC segment. Incrementally the company has won certain tenders, which shall complement the recovery trend in future quarter starting in H2 of '23-24. In '22-23, we have launched more than 10 new products in Germany and a similar momentum will be maintained in '23-24. We have also increased the size of our OTC field force in Germany. Torrent focus areas will include cost optimization to improve our competitiveness in the tender segment, launching new products and developing its OTC segment.

In the US – our Q4 revenue is at Rs.280 crores, down by 1%. Constant currency for US revenue is at \$34 million, down by 9%. Growth was impacted by the price erosion of the base portfolio and lack of new launches, pending inspection of facilities. USFDA recently inspected the Dahej facility and issued a Form 483 with two observations. None of these observations are related to data integrity, and there were no repeat observations. We have also received approval for our first onco products from a new oncology facility. Our plan is to continue to file two to three onco products every year. Torrent's focus areas for the US shall include getting clearance of its US facilities, continuing to strengthen our product pipeline and building a niche portfolio with a focus on profitability.

To conclude, I would like to say that we expect to further deepen our presence in branded generic markets, aided by Curatio integration, new launches and foraying into new therapies and new divisions. Germany shall continue to witness recovery, continued recovery trend aided by incremental tender wins and OTC expansion. And until the clearance of our US facilities, our US focus will continue to be able to maintain a niche and profitable presence.

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Operator, we can open the call to questions now.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal : A question on consumer platform. So, if you could just give us some broad color apart from Shelcal, what are the products added or what is the plan ahead in terms of portfolio and what is the field force today on this?

Sudhir Menon : So, Prakash, we've just done a pilot study on one brand which is Shelcal, wherein we've invested in the advertisement in four states. And probably would take it Pan India in the coming year. That's the basic plan. We've also identified a couple of more products, but we'll start talking about it when we actually work on those products in '23-24. I think, in terms of the field force, which is basically the logistics support and ensuring the distribution reach, it's a combination of third -party services plus in -house managers or executives who would manage this. Total combined put together, we are talking about roughly around 250 to 300 foot on the ground.

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rakash Agarwal : So, any color s, you will be adding on what kind of products or what kind of brands you will be adding in future ?

Sudhir Menon : Something similar to Shelcal , I would say , Prakash, another product which can be thought of as Unienzyme . But as I said , I mean maybe one or two quarters down the line, we'll provide you with more colors on the number of products, which would get added from here on.

Prakash Agarwal : And what's the differentiator here in terms of pricing, it is OTC so anybody can take it , so it will lead to higher savings in cost and better margins or what is the game plan here?

Sudhir Menon : So, you're right , ultimately the end price doesn't change, right , I mean for both the segment, the Rx segment as well as the CHC segment. But as I said, since this is the first quarter we are getting into this platform , as we go forward, things will become much clearer, I would say. But you're right, I mean, at least as far as the discounts which we see in the channel, which is approximately 30% for R x could be lower, I would say , as far as OTC is concerned. But as I said, we'll have to wait for one or two quarters of performance before we can really confirm , whether the re's a possible upside coming from this channel .

Prakash Agarwal : And on the R&D, it's inched up a bit maybe due to rupee -dollar, but where are the efforts now since US is sub -scale now , \$35 million, so what are the top three focus areas for our R&D investments?

Sanjay Gupta: Essentially, the top three focus areas includes our branded generics market. So, we are doing a little bit incremental innovation products for India. We're doing a larger portfolio , so between 10 and 15 products a year for Brazil and then we're also doing oncology on a global basis. So, there are projects which will work for US, Europe, Germany and also for the out -licensing business in Europe. So, these products are consuming more resources than before . And then
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there are a few US specific products , I would say about five to six that are going to be taken up every year. So, it's a less US -intensive and more global and more branded generic orientation.

Prakash Agarwal : And when you said oncology in your opening remarks , two to three products every year, you meant for global markets, like India, RO W.

Sanjay Gupta: All the products will be for global markets.

Prakash Agarwal : And currently you have any portfolio which is in the market and also in R OW and other markets ?

Sanjay Gupta: So, we received the first approval from B ileshwarpura, which is the site of the new plant, recently , and this product will be launched in the June, July timeframe.

Prakash Agarwal : That is across your R OW markets ?

Sanjay Gupta: No, it'll be first launched in the US and then subsequently in other markets.

Moderator: We have the next question from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane : Just on Dahej , now that it is the two observations. So, how to think about the product approvals per s e? I mean , there would be good number of products where CRL s should be primarily on account of compliance not being in place ?

Sanjay Gupta: You are right. So, essentially it's still a few months off. So, we have to respond to the concerns of the FDA on the two observations and then hopefully we would get the EIR in about three to four months after that and then new approvals will only come three to four months after the EIR has been received, so we are talking about a t least a six, seven -month lag from today. So, what you would see is that the current portfolio that has been filed from Dahej can be divided into three buckets. The first bucket is products which would get approved, but which have still some economic valu e left. So, I would say others have launched

it, but there is still enough pricing

power in the market for us to make sense to launch these products. So, these will be single digit number of products. And then the second bucket would be products which are not economically viable. So, these products , because there is too much competition and the pricing has gone down to a point where it makes it non -lucrative to launch them. So, again, these will be a high single digit number of products which we will not launch . And bucket #3 from Dahej is products which were anyway scheduled to be launched in 2024 or end of 2025 and these will be launched on time. So, that's how I would see it. But it's a little way off.

Tushar Manudhane : Particularly Revlimid, if you could clarify, is it from Dahej ?

Sanjay Gupta: So, Revlimid is not constrained by the plant issue . In Revlimid, w e have a settlement and we will be in the in th e third batch of people who launch. So, it's really not a concern about the plan t issue for Revlimid . Revlimid is not made in the torrent plants anyway , it is made at a third -party.

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Tushar Manudhane : And just lastly, if you could share Curatio sales and EBITDA for FY23?

Sudhir Menon: So, Tushar, I won't be able to share the EBITDA because as a policy, we don't talk about geography wise EBITDA, but in terms of performance, I can say in Q4 Curatio has grown at around 19%.

Tushar Manudhane : This was just from a reference that at the time of acquisition we had highlighted about or indicated about the overall sales and margins, which we would end up in FY23, so are we more or less on track?

Sudhir Menon: Yes, we are on track. Last quarter, I don't know if you were there, what we had indicated is there's already an improvement of margin by 4% to 5%. And now with the integration already happening or happened, you will see a faster margin accretion happening on this portfolio Curatio. So, whatever we've said, we are on track to achieve it.

Moderator: The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai : My question is regarding India business. So, first, fourth quarter number if you can say like what is base business growth excluding Curatio and if you can split that base business growth into volume, price and new launches?

Sudhir Menon: Yes, I have the internal numbers with me. So, I think India business, we've grown at around 22% including Curatio. Excluding Curatio, it is around 15%, the base business. The breakup of the growth drivers for that 15%, would be broadly 3% is volume, 7% is price, and the rest is new products.

Damayanti Kerai : And in your opening remark, you mentioned that new launches will be one of key drivers for India business next year. So, what are your thoughts on volume and price contribution say for '24?

Sudhir Menon: I think we should be able to maintain at least 2% of volume growth going forward. But I think additionally, the new product contribution, we expect a higher share from the new product introduction is what we had communicated.

Damayanti Kerai : And price part, whether it will be similar to what we have seen in the prior quarters, etc., or there could be some change?

Sudhir Menon: No, I would not think so. It should be around the same number for the next year as well because we've already implemented the price increases for '23-24, so it should be around the same number.

Damayanti Kerai : And another question is now you have launched a consumer platform for India business which you spoke earlier. My question was a few quarters back, you launched trade generic business also, right? What is the status of that? And now like if you look at India bucket, what are your Torrent Pharmaceuticals Limited

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priorities in the Rx part and then the consumer part and then maybe trade gene

rics, if you can

talk about priorities in three buckets?

Sudhir Menon: So absolutely, I think as far as the base business is concerned, it's basically following what the market growth is all about, right, I mean and as per the historical performance, we try and beat the market by at least 200 basis points, so that's something which would continue. What we also expect is at least some of the new products which we have launched over the last two years has really done well for us and therefore at least for the next one or two years, the contribution from these products should inch up a little bit more I would say. So, that's an incremental growth which we see. We've carried out expansion of field force across many of our divisions that should start playing out now maybe in two quarters time. So, that should bring us some incremental growth is what we believe as far as the base business is concerned. I think as far as CHC is concerned, it's too early for me to comment on this at this point in time. All that I can say is that there's a pilot which we have done in four states for Shelcal and probably we are thinking of going Pan India for this particular product in '23-24. The initial response we see, is quite positive and encouraging I would say. Q1 of this year is also looking positive in whatever initiatives we have taken as far as the CHC platform is concerned. Trade generic perspective, yes, I think that segment is small today, but again parallelly growing along with the branded generic piece, I would say. So, not very large to talk about, but growing nicely I would say.

Damayanti Kerai : So, say like three to four years from now, Rx will still be like major part of your business, right? And these two will be I'll say going but still smaller segments?

Sudhir Menon: Absolutely. I think at least for the foreseeable future, that is how it should be.

Damayanti Kerai : And my last question is on your outlook for Germany. So, you mentioned about new tender wins, etc., So, should we look at current quarter sales as a new base, Rs.250, Rs. 260 crore sales number?

Sanjay Gupta: In Rupees It's difficult, but in terms of Euro, I would say that €28, €29 million per quarter seems to be the base for the foreseeable future until new wins or launches kick in down the line.

Damayanti Kerai : And if I just can clarify, these tenders open up like every year or like how does that tender cycle work where you intend to participate?

Sanjay Gupta: So, there's about 50 to 75 tenders and they have a rolling opening and closing. So, the tenders which happen every quarter and the duration of each tender is two years. So, once you win or lose you are in or out for two-year duration, but it's happening all the time, there's a lot of insurance companies and each insurance company has multiple tenders.

Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Sudhir, first on the consumer healthcare platform business, have we earmarked as to how much we want to spend on sort of growing that business given we want to take advertisement Pan
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India, we're planning to launch more products? So what kind of spend do we think we can have in the consumer business?

Sudhir Menon: So absolutely, we've worked out a budget. I don't know at this point whether I can communicate that to you. What I can tell you is at least for the next two quarters, the spend will be similar to what we have done in Q4 of this year.

Neha Manpuria: But as we go Pan India to launch more products, it's fair to assume that the spend increases through the course of the year.

Sudhir Menon: Depending upon the outcome of what we do, at least for the next two quarters.

Neha Manpuria: In that case for the margins, given Curatio synergies have come through in this quarter,

while

there is operating leverage in India, how should we look at margin trajectory for the next year?

Sudhir Menon: I think, I would wait for Q1 to get reported to actually provide you a guidance. But as of now, as I see, there is nothing which can, I would say derail the existing margin which we have in Q4, But I would wait for Q1 to come in to provide full clarity on how the full year would look like.

Neha Manpuria: But is it fair to assume that with the Curatio synergies that you're still talking about, consumer platform spend remaining the same, hopefully a remediation cost for the US going away, there is scope for margin improvement next year or you would say you'd probably see one more quarter before you guide that?

Sudhir Menon: No, definitely there are margin improvement levers. I didn't say that. The only point I'm trying to make is let's wait for Q1 to be reported so that directionally it becomes very clear where we are headed for the full year.

Neha Manpuria: And last on the US business, historically we had mentioned that we are evaluating now with Dahej inspection done. When we say profitable growth with niche launches, does this mean we would scale down the business further from here or is it in the green, or at least in the black and therefore it's not burning money and we don't need to do too much in the US and keep it at the current run rate?

Sanjay Gupta: So, I think our strategy for the US is firstly to stop the bleeding which we think we will be successful in doing it through a combination of various initiatives including cost reduction, outsourcing, discontinuations. So, there's a complete effort to evaluate each SKU and to figure out what makes sense to keep manufacturing in-house, what makes sense to take it outside and what makes sense to reduce or are there any levers to reduce costs. So, that exercise has been undertaken and it will be an ongoing exercise. In terms of new launches from our own plants, as I mentioned earlier, there's still 6-9 months away. So, we have in-license portfolio. So, this year we will be launching three to four in-license products. We've already launched some niche products, so let's see what kind of traction they take. We will be launching our onco portfolio. So, I would say the idea in the US is to firstly keep the focus on the bottom line and keep the
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focus on launching new niche products from internal plants and more commoditized products from third parties or from partners. So, that is the way forward. I think in terms of top line, it'll give what will give. So, it's hard to kind of project top line for the US and to tell you where we would be. But definitely I would say the minimum threshold is in broad terms in the area where we are and I see us essentially progressing from here, provided of course we get the new launches.

Neha Manpuria: So, what I was trying to understand, Sanjay, is we don't need to let's say, rationalize our portfolio to at least stop the bleeding from the business, right, that part of it is done. So, last part of it would now come from past production and all of that?

Sanjay Gupta: Correct. So, the portfolio strategy is clear. We've already outsourced some products, we've discontinued others and this would be an ongoing exercise because as the price erosion happens, you need to revisit, right, you cannot just stay tagged. We don't need any more CAPEX for the US business, it's all done, the plants have the capacity and R&D expenses have already been scaled down. We basically did 5 ANDAs in each year in the last 12 months and then five before that. So, the part of resource allocation reorientation has already been done. But we will continue

to find new opportunities in the US and to do opportunistic new products business development deals and on co products would be launched globally

lly. So, if it works in the US, fine. If it doesn't, we will recover our costs and make money in other parts of the world.

Moderator: We have the next question from the line of Bino Pathi parampil from InCred Capital. Please go ahead.

Bino Pathiparampil: Hi, just a clarification on Revlimid . If I heard rightly, you said , you are set to launch with the third wave of launches. As far as I understand already, we have seen three waves. One was in last March, then in September and again in this March. And I believe there is a fourth round of launch is happening in September, October this year. So, are you alluding to that September, October wave ?

Sanjay Gupta: No, later than that.

Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead.

Cyndrella Carvalho: Just to understand , the consumer health business objective, can you help us understand because at this point in time you said you have only one product and you would evaluate adding five, six more products to this . But can you help us understand the objective , is it because you want to focus more on the Indian market and given that our US business remains at current stage , so the idea is to go deeper in India and that's why we are evaluating this ? Your thought process will be helpful .

Sudhir Menon: No, I think we've been thinking of this since long I would say. So, the first thing what we've done is , we thought of taking Shelcal as a product to OTC. That's typically because the new products under the Shelcal brand, which is Shelcal XT, has been reasonably doing quite well in Torrent Pharmaceuticals Limited

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the prescription segment, I would say and Shelcal 500 which is the biggest brand within the Shelcal Brand, I would say is now being taken to the OTC platform for getting high growth because I think the major share of Shelcal 500 has been taken by Shelcal XT. So, there's an opportunity for us to really expand the Shelcal 500 franchise, right . So, that's something which we have been thinking since long and we have done that in Q4 now. As I said, did a pilot thing in four states and would be expanding Pan India during '23-24. With this , I think we're already seeing positive signs in the initiative which we have taken for Shelcal 500 and there are total five products which we have identified as part of the C HC platform. But as I said that will start coming may be two quarters down the line once we see positive sign on whatever we do with Shelcal brand. So, that's the current thinking I would say. But I think to really talk about how this is going to look at over a three -year period or a five -year period, it would be a little early for us to really guide you on that. So , I would say the correct time would be maybe three quarters down the line , when we get a sense of how this initiative is doing, we'll start talking more about it and give you more clarity on what we are thinking about on this platform over a period of three to five years I would say.

Cyndrella Carvalho: And would it be considered easier to move to a OTC platform in India or you think that is that is getting easier route nowadays or it is still taking time for taking products to the OTC site?

Sudhir Menon: So, as I said, as long as you are able to generate good growth from the prescription segment, why would you get into OTC, right? I mean, so I think basically it's very important for you to establish a brand in the prescription segment, which has an endorsement by the doctor . I mean so larger the brand you make, there's already an endorsement by the doctor, which then you start thinking of taking it to OTC for getting a better access I would say and making the brand bigger . So, that's something which we thought and started off with Shelcal I would say.

Cyndrella Carvalho: And any update on Indrad, what is like after the OAI

have we interacted with the agency ?

Sanjay Gupta: Essentially, we've already had the regulatory meeting with the agency and now we are expecting the agency to have another inspection of Indrad down the line . Until then we expect the status quo to continue.

Cyndrella Carvalho: And just one more from the Dahej point of view, you highlighted that six to nine months' time wait. But this seems like at least Dahej will be opening up again for the US . So, FY25, we should be able to see decent number of launches , you already divided the products in three buckets , I heard you, but I'm just saying from FY25 perspective, should we keep now U.S. market coming back?

Sanjay Gupta: Yes, I think there's just one caveat I would add. So, bucket #1, which is products with remaining economic value , and bucket #3, which were products which were anyway scheduled to be launched after '25. So, those we would be bringing on to the market subject to a revalidation of the market at that point in time, right , as to what the economics looks like . As of today, I can tell you that there's at least a high single digit number of products that we should launch. But I really
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don't know where those products will be , 12 months down the line , what the economic s would look like. So, we would reevaluate, but ye s, technically the door would be open.

Cyndrella Carvalho: One small clarification . Do you say FY25 launch ?

Sanjay Gupta: Yes.

Moderator: The next question is from the line of Kunal R from Nuvama Group. Please go ahead.

Kunal R : So, my question is around the sales force productivity . So, in the longer run, do you believe that Curatio sales force could generate the same kind of productivity as your own sales force?

Sudhir Menon : Yes, absolutely, I think that's the objective.

Kunal R: So, let me rephrase my question in a different way. So, you have added 1,000 people of your own this year , Curatio added 600 more and Curatio 's productivity will be around 4 lakhs I believe, right? Yet you have maintained a 29% kind of margin. So, without adding a single person, if I were to just add maybe a nine, nine and a half lakhs that you used to do earlier it seems there is a huge runway for domestic growth, top line book as well as margin. So, is it too simplistic calculation or is my understanding correct?

Sudhir Menon: No, I didn't get your question clearly.

Kunal R: Last year you had around 3,900 people, right and you generated some 4300 crores was kind of revenue and the productivity was some around over 9 lakhs last year, right? So, now it would have come off right? You would have added thousand more people of your own and 600 from Curatio , is that right?

Sudhir Menon: That's right.

Kunal R: So, your productivity would have now fallen maybe below 7.5 lakhs or so . So, if I were to assume that you go back to your historical levels of 9 lakhs and since the new sales force would still be sort of yet to contribute to those your historical run rate , it seems there is a huge runway for growth in the domestic business as well as at 29% of margins, there should be still some more upside in the next two to three years , is that a correct understanding?

Sudhir Menon: Yes, it's a fair understanding I would say, and you're right actually , the productivity has fallen down one notch I would say based on the expansion and Curatio new people getting added Curatio PC PM being very low I would say compared to our base business. So, I agree with you , I mean that's the way to look at, I mean having a double -digit growth from here for the next may be three to four years , should improve the productivity and improve the margin . That's one of the levers I've been talking about as far as the branded business , more specifically, India business is concerned where the productivity improvement improves y

our overall margins.

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Kunal R: May be if I were to sort of do a crystal ball gazing, any kind of margin you would like to update for three years down the line that would be comfortable to give at this stage ?

Sudhir Menon: No, we don't give any guidance. All that I try to say is that the branded generic business today for us is 70% -plus of our total revenue base. And there are two important levers which play out every year for us in terms of margin improvement. One is the price increases, which are quite similar I would say across all the markets we take . And the second is the operating leverage playing out. I think both put together on a long-term basis I'm saying there is a margin improvement potential of maybe 60 basis points to 100 basis points year-on-year.

Moderator: We have the next question from the line of Prakash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal : Just one clarification. So, Curatio margins last year were around 25 % , 28%. So, when you mentioned it has increased 400 to 500 bps so it has crossed the company level, but it is still to touch the domestic level , is that understanding correct?

Sudhir Menon: Correct, Prakash. But it's above the overall company EBITDA number I would say.

Prakash Agarwal: There's a catch up to do till the domestic business margin?

Sudhir Menon: Absolutely. And now, since the integration has happened, it will happen I think at the earliest I would say.

Prakash Agarwal : Okay, and the second one was on the price hike. So the price hike impact comes late Q1 or it has already started to come in Q1?

Sudhir Menon: Yes, it happens in Q1 I would say maybe by May or June . It depends on the products inventory which we have at the point of taking price increases. But generally, we see a substantial part of it starts flowing from May and June .

Prakash Agarwal : So, why that cautious or conservative outlook on margin? So, we already on adjusted basis 29.5%. So, Curatio inching up and price hikes should take the margins to 30% + for sure . So, why you want to see one quarter, I mean, what are we missing here , anything to be cautious of ?

Sudhir Menon: No, nothing, Prakash. I'm not giving any guidance on the margins for next year. What I'm trying to say is that since there are new initiatives which have been taken, I just want to see what

margins we achieve in Q1 which could be directional. But at this point , it would not be correct for me to give you any guidance for the next year.

Prakash Agarwal : And you mentioned Q4 expenses already account for the consumer business, which you expect similar quarters expenses in the following quarters ?

Sudhir Menon: For the next two quarters at least, yes.

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Prakash Agarwal : And just one more guidance or understanding on the two databases show divergent growth trends . So, AIOCD is showing flattish April data whereas I QVIA is showing 8%, 10% growth.

So, I mean if you could just help us understand how has the growth trend been?

Sudhir Menon: Let me come back to you on this, Prakash, maybe properly analyzing it and then commenting on it.

Prakash Agarwal : And lastly on the debt reduction plan, what is the expectation for debt reduction for this year ? And there's a fund-raising resolution, if you could clarify enabling resolution, you're still looking out for assets?

Sudhir Menon: No, I think it's enabling resolution which we take every year during the same time, right, I mean just to have a preparedness in case there's some opportunities , nothing on hand so far , so it's a continuing thing which we do every year, so nothing . I think on the leverage, on 31st March, we are at roughly 1.55 x of net debt to EBITDA . End of FY24, we should be less than one I would say.

Prakash Agarwal : So, about 1,000 cro

res to 1,200 crores only ?

Sudhir Menon: Correct.

Moderator: The next question is from the line of Madhav Marda from Fidelity International. Please go ahead.

Madhav Marda : When we guided for about similar price hike as last year, which was about 6 -7%, does this come from taking price hike from the base portfolio or are some of the newer products priced higher versus the base portfolio so overall sort of price movement is positive , I just wanted to understand that ?

Sudhir Menon: No. So, the price increase when we say 7%, we say whichever product is existing on the date when you take a price increase , so that becomes a basket for you. So, therefore on an overall basis, 7% is the price impact, which is going to come . So, the new products which are getting launched later on will have its own price depending upon the competition intensity which is there.

Madhav Marda: Generally , Torrent seems to be at the higher end of the curve when it comes to taking price hike. Is that just a function of our chronic portfolio or the kind of brands that we have , is that the right way to think or is there some other factor?

Sudhir Menon: Yes, all that I can tell you is that if you look at my covered market, you will generally find the market also taking similar kind of pricing hike.

Moderator: The next question is from the line of Mitesh Shah from Nirmal Bang Securities. Please go ahead.

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Mitesh Shah: I just have one question on consumer business. We , in the past , also started consumer business with Unienzyme , then we closed down that. So, just recollect what went wrong and what we are doing differently this time?

Sudhir Menon: So, you're right. Uni enzyme was an acquired brand from Unichem, right, which was under OTC. But when it came to us, I think what we felt is that it's very important that you have better doctor endorsement on these kind of brands before you take it to OTC and therefore we had taken Unienzyme to prescription platform compared to the OTC platform which it had in the hands of Unichem . I'm saying , now since the brand has reached a reasonable size, we feel this is the right time to now get into the OTC .

Mitesh Shah: And also, Curatio is one of the key reasons that we are looking to the consumer brand now that we can do the same platform for Curatio and the other OTC product or would be a different market altogether ?

Sudhir Menon: No, I would say Curatio Health enables to create a bigger portfolio under C HC. But as I said, even without Curatio , we already had plans to look at the C HC on some of our products.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Gupta, Executive Director of International Business for closing comments. Over to you sir.

Sanjay Gupta: I would just like to thank all of you for participating in today's call and thank you very much and wish you a good evening. Bye-bye.

Moderator: On behalf of Torrent Pharmaceuticals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Torrent Pharmaceuticals Q1-FY24 Earnings Conference Call"

August 07, 2023

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER & EXECUTIVE DIRECTOR , TORRENT PHARMACEUTICALS LIMITED

MR. SANJAY GUPTA – EXECUTIVE DIRECTOR (INTERNATIONAL BUSINESS), TORRENT PHARMACEUTICALS LIMITED

MR. AMAN MEHTA – WHOLE TIME DIRECTOR , TORRENT PHARMACEUTICALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY'24 Earnings Conference Call of Torrent Pharmaceuticals .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Sudhir Menon – Chief Financial Officer and Executive Director . Thank you and over to you , sir.

Sudhir Menon: Thank you. Good evening and welcome to Q1-FY24 Earnings Call of Torrent . While we continue to see strong underlying market beating growth in our branded business , on the generic side, Germany has registered a sequential increase in the revenues on the back of tender wins in the last three quarters , while the US business has delivered stable revenues for the quarter. In terms of key financial performance indicators for quarter one, revenues were Rs. 2,591 crores , up by 10% compared to the previous year same quarter . Operating EBITDA for the quarter is Rs. 791 crores. Operating EBITDA margin stands at 30.5% and registering a growth of 16% adjusted for one-off in the previous year.

Now, I would request Aman to give us insights on the India business .

Aman Mehta : Thanks , Sudhir. India revenues at Rs. 1,426 crores , grew by 14.5%. Adjusted for the one-time NLEM related price impact for the quarter, overall growth stands at 16%. As per the AIOCD data set, Torrent's growth in Q1 stands at 9% against the IP M growth of 4%.

We'd like to share some operational highlights from the quarter :

The Curatio business continues to perform well with 18% growth in Q1 led by the flagship brand Tedibar . Tedibar is now over a 100 crore brand growing upwards of 25% and the top five brands of the portfolio all continue to deliver high teen growth. With the merger approval now in place, we have been able to accelerate integration in the last few months . EBITDA margins of the Curatio portfolio are now 7% higher than pre-acquisition , due to operational efficiency . Further, incremental margin expansion is looking visible in the coming quarters, while longer term margin profile will continue to improve due to operating leverage. We are on track to reach our base business level margin in the near future given the current trajectory . PCPM of the Curatio business is now just under 5 lakhs compared to 3.6 lakhs pre-acquisition as we have restructured

some divisions to focus more on the top 5 brands.

Moving to branded generic market, our launch in Diabetes continues to remain strong and we are ranked number one in the branded generic players in the Sitagliptin market. We are clocking just around 10 crores per month in the 12th month of launch, which is one of our fastest launches to reach this scale.

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Some updates on the Consumer Health Division. Our first product, Shelcal -500 has shown positive outcomes in our pilot markets and as a result, we have now spent the last quarter expanding our distribution and reach to 230 sales reps across the country in order to start a national campaign. We expect the Shelcal national rollout to begin in the coming few months. On similar lines, pilot for Uni-enzyme has been launched in some of the key states and the campaign for Tedibar from the Curatio portfolio is also planned in H2 in the coming year. At the end of the quarter, Torrent has 20 brands in the top 500 of the IPM with 15 brands now more than 100 crore sales as per MAT June 2023.

Our field force strength now stands at 5,500 MRs. We expect the India business should continue to outperform the

market growth in the coming quarters and our focus during the year will remain on continuing to improve our market share in the base business, improving field force productivity in the expanded areas, realize integration synergies of the Curatio portfolio and execute our consumer health national rollout.

I'll now hand over to Mr. Sanjay Gupta for the international business.

Sanjay Gupta : Thanks, Aman. We will start with our branded business market of Brazil. Brazil has reported a 3% growth during the quarter. In constant currencies, the revenues were Brazilian Reals 114 million, registering a degrowth of 2%. The reported growth was lower due to revenue getting recognized in July owing to delay in dispatch to one of our largest customers. Adjusted for this, the underlying growth in constant currency is 12% and in INR, it is 17%. As per secondary data set, Torrent's growth is 15% versus branded generic market growth of 11%. Of the seven brands launched in the last 24 months, we have achieved double digit market shares in four of them. In Q1, we have launched Pregabalin and we expect 5 additional launches in the balance of this fiscal year. Our generics business is also scaling up fast and we've achieved the 8.8% volume market share as per IQVIA June data in our covered market.

Moving on to Germany, our German business has registered a growth of 21% this quarter.

Constant currency revenue was 29 million Euros, up by 11%. Since the last two quarters, the business is witnessing steady sequential recovery, driven by new tender wins. We also see better conversion of existing tenders. During the quarter, we have launched 2 products and we expect a similar run rate to continue in the next quarter as well. There were additional tender wins in Q1, which will have a positive impact on sales starting in Q4 of this fiscal year. In the US, we registered revenues of Rs. 293 crores, down by 2%. Constant currency revenue for the US is at 36 million, down by 8%. Adjusted for one-off income in Q1 of current year and previous year, constant currency growth is 1%. Our Bileshwarpura Onco facility was cleared by the US FDA and we have to now commercialize our first product in the US in the month of July.

To conclude, I would like to say that we expect to further deepen our presence in branded generic market, aided by the Curatio integration, new launches and foraying into new therapies and new divisions. Germany shall continue to witness continued recovery trend aided by incremental tender wins, cost improvement strategies and OTC expansion. And until the clearance of our US oral solid facilities, our US focus will continue to be to maintain a niche and profitable presence.

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Operator, we can open the call to questions now. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My first question is on India business. So, can you split India's growth into volume, new launches and price hike? And related question is, although like your India business remains very healthy in recent quarters, but some of the secondary data is showing volume to remain muted for the market. So, how do you see the market growing for the current fiscal? That's my first question. Thanks.

Aman Mehta : Yes. So, the breakup of the AIOCD numbers at overall growth for the quarter is 9% versus 4% of the IPM. Breakup of this 9 is -3 in volume compared to -4 of the market, 7% in price versus 5% of the market and 4.5 in new products compared to 3% of the market. So, I think this quarter has been slightly weaker in terms of the acute sales that we're seeing trending across most datasets. So, probably due to that, it's caused a bit of weakness, but should be recovered

ing in the

coming months. As far as our chronic business is concerned, our total chronic piece has grown in double digits and our gastro business, which contributes more than roughly around 1000 crores for us overall that had been impacted by this seasonality which hopefully should recover in the coming months. But apart from that, we think there is a positive traction in the market going ahead.

Damayanti Kerai: So, in your view, market can grow at, at least in single digit for the current fiscal and you will outperform the market?

Aman Mehta: That's correct.

Damayanti Kerai: And my last question is on your consumer health business, which you have recently launched. So, with this Shelcal, now you're taking Pan India, but can you just talk a bit about like how many products you would like to bring in here and what kind of cost you foresee for your plans here?

Aman Mehta: So, we'll be looking at by the end of this year, around 3 to 4 products and maybe by next year, about 5, if all execution is on track. In terms of cost, I think this quarter and last quarter, good part of the fixed cost has already been kind of, is part of the numbers. So, incrementally, there won't be too much of a higher spend going ahead. It may depend on product wise, if you're launching a pilot, depending on the scale of the pilot by a few crores here and there. But it would not be significantly higher from what we're currently seeing. This is I'm talking about advertising spends.

Damayanti Kerai: And also like sales rep, you have around 270 people, that will be sufficient for next few quarters, right? You won't be adding more?

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Aman Mehta: Yes, this is 230 sales reps for the consumer distribution and we will be not be adding any reps this year.

Damayanti Kerai: And my last question is your margins are very healthy like they are staying in like 30s level. So, how do you see margins moving ahead, say like more efficiencies come from Curatio etc., so how should we look at numbers ahead?

Sudhir Menon: So, I think Damayanti, this level I think should be maintained for the rest of the year for sure is what we believe today. Over and above that, there's some amount of improvement can still come is what we believe, but that let's see when the quarter gets reported subsequently.

Moderator: Thank you. The next question is from the line of Arti Rai from Equentis Wealth Advisory. Please go ahead.

Arti Rai: The first thing would be if you could give an update on the FDA issue on how's that panning?

Sanjay Gupta: So, we are expecting a letter from the FDA sometime in September and that would be I think the stipulated timeframe for a report on the hedge. We're kind of optimistic because the last inspection that we had, we had relatively, I would say, 2 observations which were not very very significant. So, let's see where that letter goes and then for the other plant at Indrad, we're waiting for a reinspection, and that date has not been communicated by the FDA.

Arti Rai: Thank you. And on the India business, you just mentioned that in this quarter 3% was from volume and in the previous quarter when we were speaking, you did highlight that at least 2% volume growth is something that you were looking at. So, is this something that we look to maintain, I mean, is the view changed there from the last quarter, assuming we have done a 3% volume growth this year, so what's the view there for the full year, more or less, both on price and volume?

Aman Mehta: Just to clarify, this is the AIOCD data that we're talking, which shows that the I PM volume growth is -4 as against which we are at -3. So, our volume traction is ahead of the market, but our internal volume trend is positive. Our overall growth numbers, when you look at either the reported or the underlying growth are close to 16%,

so obviously volume will be positive there.

What is important for us to look at here is because we are in this phase of high new product contribution, some products will see a slowdown in volume because they're in competing therapies. So, it's the net of new products and volume that we need to look at, which is actually looking quite healthy right now. So, volume trends, we believe that we should be 1% or 2% higher than the market going ahead as well.

Arti Rai: Thank you. Just the last question, from the Bileshwarpura plant, I mean, July, we just started the commercial production for the first product and we are expecting to launch about 2 to 3 products every year is what I understand. So, any other product that we are working on or an expected outlook the re?

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Sanjay Gupta: I mean, you'll see them once they get approved. So, for competitive reasons, we don't disclose

the pipeline, but we have a pipeline of 10 Onco assets right now, all scheduled for launch over the next 4 years.

Moderator: Thank you. The next question is from the line of Sriraam Rathi from BNP Paribas. Please go ahead.

Sriraam Rathi : So, just a couple of clarifications. Firstly, the staff cost and the other expenses are looking slightly elevated this quarter. Is this a normal increase which was due or there is something more to it?

Sudhir Menon: No, so as far as the staff cost is concerned, Sriraam, if you look at a quarter 4 number and apply a normal increment over that and annualize it, it will look similar, I would say, okay. As far as other expenses are concerned, I think there should be a normal level for this year, I would say for all the quarters.

Sriraam Rathi : Because I mean, as a percentage of sales also, it is looking higher mean is it also because the Brazil sales have been due to some extent, so the expenses might have already been booked in this quarter for those .

Sudhir Menon: Yes Yes, that could be one of the reason as well.

Sriraam Rathi : And secondly in terms of tax rate, I mean earlier guidance was like around 31 %-32%, This quarter we are around 28 %-29%. So, how should we look at for the full year?

Sudhir Menon: So, I think this is the effective rate which should work out for the full year and that's how the rate is arrived at. So, I think for the full year , we should hold at 29%. Effectively coming because of the Curatio tax benefit flowing in .

Sriraam Rathi : And lastly, just on India business , ex Curatio , have we grown in double digit in terms of revenue?

Aman Mehta : Yes, that's correct.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: Sir, given that the sort of confidence is getting better for Dahej , so we would like to understand how the R&D cost and subsequently product filing is going to be?

Sanjay Gupta : So, last few years we maintained the momentum in filing. So, again now , we've guided towards the high single digit filing for the US , so there should be no change. The only thing is that now we'll start getting some approvals, right? So, from the previously filed products, a lot of them have become irrelevant given the evolved market scenario . So, many of them we would not be bringing to the market, but there are still pockets of value where we can bring up some products
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that will get approved to the market. So, you will start to see an incremental pace of launching from September , hopefully September, October onwards.

Tushar Manudhane: Understood. And also on the base portfolio, how has been the price erosion? Is it getting reduced? Is it similar?

Sanjay Gupta : Yes, we did not see material price erosion in Q1.

Tushar Manudhane : So, if any broad or other ballpark range, you would like to

highlight ?

Sanjay Gupta : No No, it's nothing much. It's not material at this scale of the company. Right now, Q1 was, I would say more a price stability story than a price erosion story.

Moderator: Thank you. The next question is from the line of Ashish Tavkar from II FL Asset Management. Please go ahead.

Ashish Tavkar : Sir, would like to know your views on trade generics because lot many companies are venturing into it. So, it is not obviously in the core business, it seems that there's a lot of fighting as far as the volumes acquisitions is concerned. So, is that a reason why most of the companies are wanting to go into trade generics? But then at the end of the day, even that could be a saturated market. So, would like to know your views there ?

Aman Mehta : Yes, it's definitely there's space to grow in both , trade generics and branded without eating into the other share because the regional contribution is different and the product mix is different.

So, for example, the reason why we entered some time back was our acute presence in the branded business is very minimal. And we think this is a very good way to enter the acute space and in regions where we're not present with our MRs . So, for us it was a complementary portfolio addition. And we don't launch conflicting brands in our branded business and trade generics. So, there's absolutely no cannibalization happening there. So, given that this market itself is complementary to one regions and product mix, there is very little scope of kind of taking away share from each other and there's enough room for both to grow.

Ashish Tavkar : Yes and given that we now have a sizable cash on the books, obviously we have turned a lot many acquisitions in the past, but this time around, would the acquisitions , be slightly different in terms of what we have acquired in the past because there was more like what we already had and then we added by acquiring more. But is it possible that you would go ahead and acquire something which is totally a white space , and then acquire that and then turn around?

Aman Mehta : No, I would say the acquisition things would remain similar in the sense that it will

predominantly be focused on Indian branded businesses either in existing therapies or new therapies, that depends on the quality of the asset and the strategic fit, but definitely still remains an important priority for us. Curatio, being the example of how we enter into a new segment through the inorganic route, that's the preferred option.

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Ashish Tavkar: Yes, fair enough. So, lastly on this capital allocation, so at this juncture, would you be more inclined towards the now putting that extra dollar again in the US markets? You feel in terms of capital allocation, that part would still be a lot more skewed towards the Indian markets?

Sanjay Gupta: So, I think we've made clear priorities in terms of external growth, right. In terms of inorganic growth, our focus remains on the India market, followed by branded generics in other emerging countries and then comes generic-generic markets. So, as of today, our focus is not so much on the US market. We've substantially diversified our ongoing R&D investments also. The portfolio which used to be skewed a lot towards the US, is now kind of evenly distributed across our various geographies. So, the amount of investment going into the US is considerably lower in proportion to what it was 2 or 3 years before.

Ashish Tavkar: And at least in terms of the competition, has some fundamental change in the US market or you feel structural or basically fundamentally things remain as it is as they were like say in the last few quarters?

Sanjay Gupta: Yes, we haven't noticed any structural changes, neither on the customer side nor on the supplier side.

Moderator: Thank you. The next question

is from the line of Rahul Jeewani from IIFL. Please go ahead.

Rahul Jeewani: Can you just indicate your new product launch pipeline for the Brazil business? I missed out on that comment. So, you indicated 5 launches in the upcoming quarter or for the full year?

Sanjay Gupta: For the full year. So, for this year, we would have a total of 6 launches. We just did one in quarter one and five to come in the remaining three quarters. And these are branded products in the CNS and Cardio therapeutic areas.

Rahul Jeewani: And are we doing any rep expansion in Brazil to support these launches?

Sanjay Gupta: Correct. So, we've already added 77 CNS reps in the last, I would say, 18 months and we are adding another 26 reps in August.

Rahul Jeewani: Sure, sir. And sir, on the Germany business, while the Y-o-Y growth looks good because the base was depressed last year, but if I look at your Euro-denominated Germany revenue, that has been pretty flat at around 28-29 Euros for past three quarters. So, when do we see a pickup as far as the Germany business is concerned?

Sanjay Gupta: So, I would say that you would see a pickup towards the Q4 of this year. So, because we have new tender wins, so Germany business is fairly visible because there is a lag between winning tenders and the start of the business. So, whatever the tenders we participated in Q1, they will actually start in Q4 because there's a time difference of 6 months before your new tender win starts. So, I can optimistically guide you towards the higher threshold of sales in Q4 of this year and more or less stable sales for Q2 and Q3.

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Rahul Jeewani: Sure, sir. And just one last question from me would be on the debt. So, what is our debt position as of 1Q and what will be your debt reduction target for the full year? Thank you.

Sudhir Menon: Rahul, the net debt to EBITDA as at 30th June is 1.3x; for the rest of the year, we should be repaying another 600 crores.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: On the US business, given with the patents clearance that needs to come through now and the changed market dynamics right now, where do you see the US business for us settle in next 3-4 years from a sales perspective?

Sanjay Gupta: So, the contribution of the US business to Torrent is quite low. So, if you look at it this quarter is about 10%, right? So, I would say that given the amount of growth that we are seeing in the other territories and the current issues that we have with the plants, I don't expect it to go up in a very material fashion as a share of the overall business. Our goal right now till the new product approval start to come through is to maintain profitability and to try to maintain top line to the extent possible and once the new product launches comes, I think we can be back on growth and growth in the US from the very low base we have, so, if you look at a base of about 35 million a quarter, I don't think in the next couple of years it will be difficult for us to reach 50-60 million a quarter with the new product approvals on hand.

Nitin Agarwal: Yes, but are looking at like we getting to \$100 million - \$150 million number over next 3-4

years, is there something that we working towards or this is something which is not where the capital allocation is going to be happening to us?

Sanjay Gupta: So, as Torrent, we have a lot of priorities. I think our key priority remains our expansion in the branded generics market. So, we are kind of investing in new reps as I highlighted to the person who asked the question before that in Brazil. All in all, we would have added about close to 100 reps in the last 18 months. So, we have a lot of places to invest in. We are investing in the US high single digit AN

DAs per year, complex ANDAs, Onco ANDAs and some specialty drugs.

But I would say that it's not going to be a disproportionate share of investments towards the US.

Nitin Agarwal: Secondly, on the India business, Aman, what's been the experience with Curatio in terms of things which have played out and which haven't quite played out as per the expectations?

Aman Mehta: So, what we have done in the last few quarters is, increase the coverage of pediatricians and dermatologists and increase the number of calls per day compared to earlier. So, that has kind of given a pretty good initial result in terms of sales pickup in those regions led by the key brands Tedibar and Atogla, which are the two largest brands. So, in terms of the overall growth profile, we would say this has done slightly better than what we anticipated so far. And in terms of the operational synergies, we had merged one division with our existing base business, that was also part of the plan. So, merging a few brands with our existing derma coverage has given a good

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result there as well. So, overall, I would say that a few positive surprises, no real negative kind of surprises at all and we believe this trajectory should continue from here.

Nitin Agarwal: And Aman, are we calling out the number for the Curatio business for the quarter?

Aman Mehta: So, if we look at the overall underlying growth adjusted for the NLEM impact, it's at 16%, so roughly 5% contribution is from Curatio in that.

Moderator: Thank you. The next question is from the line of Alok Dalal from Jefferies. Please go ahead.

Alok Dalal: Sudhir, gross margin for the quarter is 25% at a multi-quarter high. So, do these margins essentially capture price increases, lower raw material costs, and do you think this kind of margin is sustainable?

Sudhir Menon: I would think so this is sustainable at this point. What we are seeing is basically the margin improvement of 3% as two components. One, I think because of a better branded mix and price increases playing out across our branded generic segments. Plus in terms of generic segments also, we've seen some amount of good product mix playing out, which is adding to the margin. And the third is there were some cost efficiency measures which we had undertaken H2 of last year, which actually has played out now in quarter one. So, I think a substantial portion of this should be sustainable from here, Alok.

Alok Dalal: And other income is also slightly higher than previous quarters, any one-off here?

Sudhir Menon: Yes, there is a one-off in the other income of roughly, I think Rs. 20 crores.

Alok Dalal: And Sanjay, for the US business, do you expect prices to remain stable over the next 1 or 2 quarters?

Sanjay Gupta: I think Alok, we'll take one quarter at a time. Q1 was stable. I am very reluctant to provide you for guidance going forward, right, it can change on a dime. As you know, it depends on the product wise basis as to how many new approvals come through etc.. It's not generalized for a portfolio. So far we are seeing a decent amount of stability. I'm just hoping that it continues.

Alok Dalal: Because you know, if there is no structural change in the market, then there is no reason for prices to also remain stable given the way the US has behaved in the past?

Sanjay Gupta: Yes, I think it just depends upon where the people are investing on what type of products and how many players are coming with new products and how many people are going after older products. So, I would say there's a point beyond which price erosion doesn't make sense, because I've seen that the buyers have had difficulties with supply in the last 6-9 months, based on going after the cheapest supplier. So, very often as a buyer you get tempted to go with a lower cost supplier and then you get your fin

gers burned. I think we are currently in that phase where people with a reliable supply are not being squeezed to the last cent on prices.

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Alok Dalal: And from the Dahej side, any meaningful products, any products that are currently in the shortage in the US and where maybe if you get clearance then you can come in?

Sanjay Gupta: We'll see that. Alok, we can't comment upon it because also it's not automatic. So, assuming that we get a Dahej EIR in the September end time frame, product approvals will still take some time. It can be ranged from like one month to three months to six months. So, there's a big queue of

products at the FDA , we hope to start getting approvals but I don't know the exact timing by product. So, based on that, we'll see the potential, but we would be planning to launch at least let's say a mid -single digit to close to double digit number of products which are pending from Dahej .

Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Just on your investor presentation, I'm just looking at the last two lines of the revenue, right, other countries have grown 16% and other other s has declined. So, if you could just c omment about these two-line items ?

Sudhir Menon: So, others category is basically the insulin manufacturing business which we have from Novo Nordisk and another portion of the Europe , B2B business which is there. So, that two put together is the others. Other countries basically other than what has been stated above.

Shyam Srinivasan: I was looking at the growth rates more rather than the classification and why we have seen ?

Sudhir Menon: So, I think the major reason for the degrowth which you're seeing i n other category is the uptake in terms of the insulin business has been lower compared to quarter one of last year because there has been some amount of inventory rationalization step which Novo Nordisk has taken from quarter 4 onwards. So, that should co me back maybe in a quarter or so, I would say .

Shyam Srinivasan: And these other countries, is there any country that stacks up higher in terms of concentration or it's like a bunch of many countries you put together in that line?

Sudhir Menon: Mostly bunc h of many countries, but essentially if I can name one or two markets which are reasonably bigger than the other markets, I would say Mexico is one, t he other is the UK and the third is Philippines.

Shyam Srinivasan: Got it , helpful. My last question, I th ink in the opening remarks, there was a mention about 33 SKU s being launched. So, just I was not sure whether I got the comment right. And what's the kind of trajectory we're looking at for the reminder, is there any areas that we are focusing more on?

Aman Mehta : So, not sure this is related to India, but we have not mentioned anything ab out 33 SKU s. We were mentioning about our diabetes launch traction being strong . In terms of new products being launched in the quarter , I would say it's about 4 to 5, which has been a usual run rate. Going
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ahead this year, no real meaningful new launches are in the pipeline, but last year's launches are giving us enough kind of headroom to continue the growth for the next 1 -2 years. The next wave of launches will likely be in the chronic segment in the next financial year.

Shyam Srinivasan: Got it. So, last question again in India, just on the in -license d portfolio, what's our contribution if any and any products that you will likely see go off patent in the next 12 months. Thank you.

Aman Mehta : So, in-license d portfolio as E mpagliflozin brands, which is from Boehringer Ingelheim , they are performing as per our expectations so far. This has already been a relatively kind of entrenc

hed

market, so we are being a late entra nt, we didn't expect this to be a very large brand, but it's still an important entry for us into this segment before the patent expires in 25. And that's when we really hope to leverage the brand and brand recall when the generics enter the market. So, it's more from a future horizon that we're looking at this rather than the current contribution. In terms of other launches, there are a few in the diabetes segment, but will not be very large in this coming year.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: On the Curatio, you mentioned that EBITDA, you all have improved by 7% versus pre acquisition. Is there a further scope of improvement in Curatio with the cost efficiency a nd the productivity or you feel most of the thing is done?

Aman Mehta : No, there is still significant headroom left here. This is just in the third quarter of integration that we've been able to achieve this . A lot more will come from operating leverage. So, that will be the ongoing annual kind of margin improvement that we hope to achieve. But incrementally in this year also , we feel there is further scope as we continue to realize the operational efficiencies of synergy. So, as I mentioned, some of the di vision had been merged. So, that should give us further benefit, but definitely a lot more scope to increase margins from here as well.

Rashmi Shetty: So, is it good to say that FY25, we could actually see the overall ma rgin improving at least 100 to 200 basis points from the current level?

Sudhir Menon: So, I think 2 pointers for you . One is, I think the branded segment for us constitutes roughly 72% 73% of our overall revenues. And there are two levers which play out every year for us, one is the price increases which we take in all our markets and the other is the operating leverage. And typically we find that if there are no negatives from the other segments, which is the generic segment , then I think 75 basis to 1 00 basis points should come as improve ment year -on-year.

Rashmi Shetty: And on Brazil business, when you said that the sales have been slipped to quarter two, this entire

sales would be recovered in quarter two or you might see some loss of sales also ?

Sudhir Menon: No, it's already booked in the first week of July, I would say. So, this went into July because of the revenue recognition principles under the accounting standards. So, there was a delay in
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dispatch, so it couldn't get delivered to the customer and therefore the revenue had to be booked in July and not in June.

Rashmi Shetty: So, accordingly, we should see a much higher growth in Quarter 2 FY24?

Sudhir Menon: That is right.

Moderator: Thank you. The next question is from the line of Karan Vora from Goldman Sachs. Please go ahead.

Karan Vora : So, two from my end . So first on the Brazil business, so adjusted for the delaying shipment , roughly Rs. 215 crores of sales is what it looks like for Q1. So, is that the run rate on which we should kind of build on and does Brazil have a stronger second half versus first half from a financial year point of view? That's my question.

Sanjay Gupta: Good question. So, traditionally, Brazil always has a stronger second half, so Q3 and Q4 are where we do the larger proportion of our sales and then just due to the structure of the market, you know there are some strong sales coming before Christmas and then Q4 is linked to the price changes that usually take place in April. So, structurally, Q3 -Q4 is higher . In terms of run rate , it is hard to give you a run rate. What I would tell you is that besides the sales that we do and book in our books , there are two other criteria. One is we can use the IQVIA data and one is what we also get from our distributors

is sell out data. So, both of these indicators are pointing towards a 15% type of growth. So, if you look at the branded generic business, which is the bulk of our 85% of our business , IQVIA is showing a 15% growth for Torrent compared to a 9% growth for the market. And if I look at the sellout data, I see a similar trend. So, what I can tell you is that the underlying trend is healthy double -digit growth and that is what we should see things balance out over 2 or 3 quarters. So, quarter -over-quarter it changes because of what has been invoiced, what has been received in the inventory management on the part of distributors, but over an annualized basis, healthy double -digit growth is normal for business.

Karan Vora: On the India business, I guess you mentioned around 1.5 % point impact on growth due to NLEM. So, that should stay as in that should keep impacting the future quarters as in the base will not have that impact, right. So, can you highlight as to which products or which therapies were impacted for us?

Aman Mehta : So, our NLEM contribution is just about 10% overall to business, so specific product wise, I don't have the exact details, but whichever products have been impacted the price , one time reduction has been factored into Q1, which will no longer continue from Q2. So, it was a one - time impact.

Karan Vora : And lastly on Curatio , so you mentioned significant headroom for margin improvement, so any targets in mind as to by , say, in a year or 2 years you would want to reach the India based business margin levels?

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Aman Mehta : It will all depend on the growth trajectory that the business shows, so no real kind of hard target that we've set. But directionally, we do believe that the performance so far gives us the confidence that this can reach near our base business margins. Whether it's 2 years or 3 years, that's something that we haven't really put in as a target, but directionally all we can share is that it's all on track.

Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: On the India business given we also have contribution from trade generics, if I were to just you know some numbers then adjust that, is it fair to assume that the domestic formulation business is growing below the 8% run rate that seems particularly low given what we are seeing from some of our other peers that are reporting. Just wanted some color on what we think will be the ex Curatio growth for the branded business in India?

Aman Mehta : So, I don't know which 8% is being referred to, but the base business growth is above double digits and maybe trade generics adds half a percent or so to that growth. So, if you break it down from the 16% , half a percent is contributed by trade generics because the base is small, so the growth is faster and Curatio is adding about 5%.

Neha Manpuria: Sir, but that does not include the NLEM impact, right?

Aman Mehta : No, that does not. That's right. So, when we look at without adjusting for the NLEM impact , it's about 16% growth, whereas the reported growth is 14.5.

Neha Manpuria: Yes. So, that's what my point that on the 14.5 if I were to adjust Curatio and adjust the trade generic, the growth seems probably closer to 8.5%-9%, probably not 8, so 8.5% -9%. Given our chronic exposure and the fact that we're gaining market share, doesn't it seem particularly low or is this the growth that we should be building in for the base business?

Aman Mehta: So, that's what I mentioned because our gastro business has such a high contribution, that market was slightly weaker in this quarter, which should hopefully recover in the coming quarters.

Chronic business was not really impacted in that sense. So, it's a matter of seasonality, which should hopefully bounce back.

ack.

Neha Manpuria: So, then for the full year, we should still assume higher than market growth for the branded generic business?

Aman Mehta: That's right.

Neha Manpuria: And Sudhir on the other expenses, sorry if I missed this number. Was there any one-off in the quarter?

Sudhir Menon: No, no one-off, Neha.

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Neha Manpuria: So, this is the base that I should be building going forward. It seemed to have jumped pretty significantly quarter-on-quarter.

Sudhir Menon: Yes, it was 620 in quarter 4. Now it is 651. So, 30 crores more, yes.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: So, just on the India business, if you could also highlight about the business breakdown in terms of the Tier of cities, say Metro, Tier-1, Tier-2, tier 3. And how has that changed over, say, the last 5 years?

Aman Mehta: So, that's the number that I don't have right now, but directionally what we can share is that our Metro contribution is much higher than industry average and Tier-2-6 is lower than industry average because we historically haven't had the coverage and presence in those regions, but in some divisions and certain brands where as part of either life cycle management or routine expansion, we are entering into these areas, particularly covering GP's that we have not covered before, so that should help us increase our contribution from Tier-2 to 6 as well going ahead.

Tushar Manudhane: So, particularly here, the thought process was that once the super specialist prescribes, then the automatically the Tier-2, Tier-3 cities doctor sort of gets accounted to that prescription and that is how it drives the business without much of the marketing spend. So, do you see change in this philosophy or it is more like the Tier-2 doctor have also got certain super specialist where it becomes more important for MR to reach out?

Aman Mehta: Yes, I would say the latter because already there is an increasing presence of industry in these regions. So, to grow there further, you definitely need your presence and reps on the ground.

Tushar Manudhane: So, from that perspective, then scope to add MRs particularly to expand the reach or existing MR force, which is sufficient to drive that as well?

Aman Mehta: But for now, we don't see any expansion need because already in the last 12 to 18 months, we've added more than 1000 MRs that some of it is for regional expansion as well. So, it's already covered. As we see some progress in PC PM and sales growth, in those regions maybe next year onwards we can look at further expansion.

Moderator: Thank you. The next question is from the line of Sriraam Rath from BNP Paribas. Please go ahead.

Sriraam Rath: Thanks for the follow-up. Just one question on Revlimid. If you can indicate when are we planning to launch? Will it be FY24 opportunity for us or not?

Sanjay Gupta: For which market?

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Sriraam Rath: For US.

Sanjay Gupta: No. So, right now it's not an opportunity for us in the '23-24 or '24-25 timeframe. So, we are we are a late launcher.

Moderator: Thank you. The next question is from the line of Bino from Elara Capital. Please go ahead.

Bino: Just a follow-up on Revlimid. Would you be launching it at all before Jan 26 when it becomes completely generic or after that?

Sanjay Gupta: So, we have a settlement. So, before us, there will be all these limited quantity launches. So, we will see the state of the market when we come to the market. So, we have the approval already from the FDA. We have tentative approval; I mean we have approval on three of those things. So, I think the only barrier to us is the settlement date, which we've not disclosed exactly when it is. S

o, yes, we'll be coming to the market, but it'll still be most of the people before us would be the limited quantity folks.

Bino : When you launch, you are not limited by any quantities ?

Sanjay Gupta : We haven't disclosed exactly the terms of the settlement.

Moderator: Thank you. Ladies and gentlemen , that was the last question for today. I would now like to hand the conference over to Mr. Sanjay Gupta – Executive Director for closing comments. Thank you.

Sanjay Gupta : Thank you very much for attending our call today and we look forward to hearing from you soon. Thank you.

Moderator: Thank you. On behalf of Torrent Pharma , we conclude today' s conference. Thank you for joining. You may now disconnect your lines.

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"Torrent Pharma Q3FY24 Earnings Conference Call "

February 02, 2024

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR , FINANCE
MR. SANJAY GUPTA – INTERNATIONAL BUSINESS , TORRENT
PHARMACEUTICALS
MR. AMAN MEHTA – WHOLE TIME DIRECTOR

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Moderator: Ladies and gentlemen , good day and welcome to the Q3 FY '24 Earnings Conference Call of Torrent Pharma.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon, Chief Financial Officer & Executive Director, Finance. Thank you and over to you, sir.

Sudhir Menon: Thank you. Good afternoon and thank you for joining us for the Third Quarter Earnings Call for FY'24.

This quarter highlights a sustained performance in the branded segment, which accounted for 72% this quarter , steady increase in revenues quarter -on-quarter in Germany on the back of incremental tender wins we've had , some of them starting in the next fiscal as well , and a stable US-based business. We should see new launches in the US starting from Q1 of the next fiscal, which will further help in enhancing the overall company performance from next year.

Our efforts to enhance cost efficiencies are playing out well in the margin improvement. Our operating EBITDA margins at 31.8% looks to be the new sustainable base going from here. During the quarter, the exceptional items of Rs.88 crores relate to the net gain from the sale of Liquid facility in the US which was impaired during the earlier years.

In terms of key financial performance indicators for Q3:

Revenues were Rs.2,732 crores, up by 10% YoY. Operating EBITDA for the quarter is Rs.869 crores, up by 20% YoY. Operating EBITDA margin stood at 31.8% . Other income includes forex translation losses of Rs.35 crores , likely to get reversed in the coming quarters.

The board has approved an interim dividend of Rs.22 per equity share. The overall leverage, which is net debt to EBITDA , now stands at 0.88x.

I'll now hand over the call to Aman for India Business .

Aman Mehta: Thanks , Sudhir.

India revenue was at Rs.1,415 crores , registered a growth of 12% . As per the AIOCD Dataset, IPM growth for the quarter was at 9%. Our growth was driven by new launches, the performance of top brands and focused therapies and positive traction of the consumer health business. The Curatio business is now fully in the base as the acquisition was done in October 2022.

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Torrent remains #1 amongst the generic players in the Sitagliptin market, clocking over Rs.100 crore sales on a MAT basis as per this quarter.

The Consumer Health division is progressing well, aided by new channel activations and an increase in distribution into newer towns.

We continue to see robust growth in our flagship brand Shelcal 500, supported by the impact of the National Media Campaign initiated towards the end of the last quarter.

We would also want to point out that brands that have switched to the consumer division, such as Shelcal and Tedibar, may not be fully reflected in the AIOCD dataset because they have a different distribution channel. Hence, the actual growth may be higher than what is reflected in the data.

At the end of the quarter, Torrent has 20 brands in the top 500 of the IPM, with 16 brands, more than 100 crore sales as of MAT December 2023. Field force strength at the end of the quarter stands at 5,700.

We expect the India business to continue outperforming the market growth. Our focus during the rest of the year will continue to improve our market share and focus therapies, improving new launch performance, improving field force productivity in the expanded divisions and regions and continue the scale up of the consumer health portfolio.

I'll now hand over to Sanjay Gupta for the International Bu

siness.

Sanjay Gupta: Thanks, Aman.

Let's begin with Brazil. In Q3, constant currency revenue was Brazilian Real 185 million, registering a 17% year-on-year growth. Growth is supported by new launch momentum and a robust pricing environment. We've had a consistent pace of launches. Four brands were launched in '21, four in '22 and three again in calendar year '23. Going forward, we intend to maintain three to five branded launches per year. As per IQVIA, market growth is at 6.5% for Q3 and Torrent growth is at 11.6%.

Expansion of field force in CNS has been completed. In Brazil, now we have three sales teams, two in CNS and one in cardio diabetes. The total number of reps is 318. This will enable us to expand our reach and support new product launches.

In Q3, our generic business in Brazil has continued to deliver and represents about 14% of overall revenue. We sell 24 molecules and are seeking to add between 5 to 10 each year.

Currently, we have 15 products waiting and ANVISA approval.

Moving on to Germany, our German business has registered a constant currency revenue of €30 million, up by 5%. During the quarter, we won incremental new tenders, which will start

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delivering incremental sales in Q2 of '24-25. Since three quarters, we had an overall increase in the value of wins. This results in the large part due to our cost optimization efforts. We are also experiencing better conversion of existing tenders and that is our share in three player wins has increased.

Year-to-date we have launched seven molecules. In the next few years, we will continue to launch 10 or more products a year. Our overall share in the German generic market has reached a new two-year high of 5.7% in Q3.

In the US, we've registered constant currency revenues of US \$33 million, down by 7%.

Sequentially, we have seen a 10% growth in revenues backed by new contracts.

New product launches as mentioned by Sudhir will start from Q1 of FY'25 and this should fuel the growth going forward. We expect about seven to eight launches in the next fiscal year.

To conclude, our focus will remain on deepening our presence in branded generic market while continuing to grow in Germany and returning to profitable growth in the US.

Michelle, you can open the call to questions now please.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Just on the gross margin front, sequentially, where the India sales has been pretty stable, even Brazil sales have improved, but the gross margin have dipped. So, any particular reason you would want to call out?

Sudhir Menon: So, Tushar, it's actually the US sales have gone up by almost 3 million, I would say. So, what's played out is although there is this gross margin going down by half a percent, it actually led to an improvement in the operating leverage and thereby improving the overall EBITDA margins, I would say. So, it's basically the mix which has caused the dip by half a percent.

Tushar Manudhane: In Brazil, at least in the last two years, fourth quarter has been much stronger than the earlier three quarters. So, would that be a similar phenomenon this time as well?

Sanjay Gupta : Tushar, I would guide you to what IQ VIA is showing us right now is that the market is at about 6.5% and Torrent is about 12% . I think that's a much better indicator than primary sales on a quarter -to-quarter basis because in Brazil , invoice sales vary on a quarterly basis. So , I would say that we are looking at a double -digit growth in Brazil and we'll see what it will be in Q4.
Tushar Manudhane: So double -digit growth on a year -on-year basis, right, on the Q4 results?
Sanjay Gupta: Correct, correct , in line with what you see in IQVI

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Tushar Manudhane: Even on Germany side, the tenders which we had won in the past where the revenue was supposed to be coming in fourth quarter. So , from that perspective , Germany also would be looking better in the coming quarter ?

Sanjay Gupta: So, this quarter we touched 30 and generally we should keep seeing a trend of upward direction in the next three quarters .

Tushar Manudhane: Any regulatory update on Indra d?

Sanjay Gupta : No, they're still pending inspection.

Moderator: The next question is from the line of Damayanti from HSBC. Please go ahead .

Damayanti: Sir, when you said 31% kind of margin looks a sustainable base going ahead , so, can you talk about the headroom improvement which might be available for Curatio . Are you broadly done with the improvement margin which you are targeting , that's why, like we might be looking more at the sustainable margins or like you have more room to improve there ?

Sudhir Menon: I think , Curatio margins have improved versus the last quarter, I would say. So there has been improvement, which is continuing for Curatio portfolio. But I think , what I can guide you from here is , look at the India business as one portfolio and the two levers which I keep on talking about plays out every year, which is the margin improvement because of price increase and operating leverage because of the incremental growth coming in , that should continue playing out for the next year as well.

Damayanti: Any expectation or any assumption about the volume part of the market which you might be building in right now for next year or so ?

Aman Mehta: So, talking about the India market, the quarter data was for the market about 9% growth , this I'm talking about AIOCD , which was 1% volume , rest was new products and price. As against the 1% volume growth , we have done 3.5% volume growth and 4.1 % of the new products. So , new products maybe should start tapering down over the next few quarters, but that would then start converting to volume growth. We sense that this similar level of growth should continue in the next coming quarters.

Damayanti: Somewhere like 3 -4% kind of volume growth you are comfortable?

Aman Mehta: That's right.

Damayanti: My second question is on like status of supply ramp up from Dahej . So although we have seen a sequential improvement like minor improvement in the US sales, but like how are supplies picking up from Dahej and what are you focusing on?

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Sudhir Menon: So I think , Dahej capacity is kind of we worked on realigning the capacity to bring in more cost efficient cy, I would say. So , it's some balancing which we have done in terms of picking up some high-volume products out of Dahej and taking it to CMO. So that's something which has happened. And the capacities now which are available at Dahej are good enough to take care of the new launches and the products which are shifting from Indra d to Dahej , I would say.

Damayanti: So, in the coming quarters, it should definitely move up from this US\$33 million sales which we have seen for the quarter ?

Sudhir Menon: What we said is , Q1 of next year , we should start seeing the new products coming in , and then we should see an uptick happening from here.

Damayanti: My next question is on Brazil business. So , generic, now you said moved up to 14% of total segment sales . So, can you talk a bit about like your launch plan for both the branded generic part as well as the generic part and what will be your priorities for Brazil segment in next , say, two years or so ?

Sanjay Gupta: No, it's 14% (one-four). So essentially, we think both the businesses present a good opportunity for Torrent. On the BG side , so far we are limited to CNS, cardio and diabetes. And we have three teams. So our goal is to launch about ideal

ly five to six products a year because brand launch requires heavy lifting. So , good rhythm is one brand per team every six months. So , that would be the focus and it would be the focus in our current therapeutic area, and over a period

of time, we're looking at adding additional therapeutic areas like dermatology, oncology. So, we would add those in due course. We're in the process of building the portfolio to do that. So that would be the focus of the BG business. On the generic side, we are agnostic as to which therapeutic area. So, ideally we should launch about 10 products a year and currently we're selling 24 molecules, and we think there's plenty of headroom available for growth in the GG business also. We don't need to expand the team further, so we have a sales team of about 12 people for generics and I think that's good enough for us for quite a while. So, there's, I would say, room for operating leveraging the GG business and we would be looking to expand our portfolio and increase our share in the molecules which we sell.

Damayanti: One just last point on Brazil business. So, right now you have BG portfolio, GS portfolio. Do you have presence in tender market also or it's not there anymore?

Sanjay Gupta: So we discontinued that business a few quarters ago.

Moderator: The next question is from the line of Neha Manpuria from BOF A Securities. Please go ahead.

Neha Manpuria: On the India business, Aman, how much would the trade generic and the consumer healthcare piece of the total India business? I'm just trying to understand how much growth we're seeing in the actual branded generic business versus these new areas that we have been trying to grow over the last few years.

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Aman Mehta: Trade generics would be maybe 2% - 3% I think total of the base, which is growing at about 25% to 30% depending on the quarter of seasonality. That level of growth in trade generics we see to be continuing for the next one or two years. And we aim to kind of make this a meaningful business over a three to five year period with reasonable profitability. So, the focus has been on selecting products which are higher gross margin compared to the more commoditized products. So, that's why though there are many more SKU's that can be launched, we'd rather focus on ramping up profitability. In terms of consumer, we're not looking at it separately because the brands are also part of the prescription business, but just to recap, we only have four brands there in the consumer channel right now, which are Shelcal 500, Tedibar, Unienzyme and Ahaglow. So the reflection would be in the prescription portfolio, but the investments and marketing will be on the consumer side as well.

Neha Manpuria: So, basically to have more national ads, etc., like you had for Shelcal?

Aman Mehta: That's right.

Neha Manpuria: We are seeing a lot of our peers obviously trying to expand into the chronic segment. It's much talked about by everyone, particularly in markets that Torrent is very strong in. In that context, how do we see ourselves trying to maintain our market share or even maintain this 3% to 4% volume growth that you have talked about, how do I balance the fact that there is increased competition, there are new players trying to get in as well as Torrent trying to protect its market share and at the same time maintaining margins?

Aman Mehta: So, number of factors would be at play here. One is obviously focusing as much as possible on new launch performance, which our track record over the last two years has been very strong and above the LPM growth of new products. So, if you can get that right in as many products as you can, it kind of makes up for any volume loss in a product that's maybe going on a decline. So, our focus has been to ensure that new product launch performance is the maximum possible

that may be by way of field force expansion or further divisionalization, and our focused therapies here will remain the same which we are currently looking at, which is diabetes, cardiac, gastro, VMN and pain. So, in these segments, we remain fairly confident that our pipeline is robust and our field force expansion, which has now been ongoing for the last 18 to 24 months, does give us enough headroom to continue the above market volume growth for the foreseeable coming quarters.

Neha Manpuria: So, you don't see the need to add more MR to the 5,500 number that we have in place to keep the growth momentum in the India business?

Aman Mehta: No. So we have already added a significant number of MRs in the last 1.5 years. Now it should be more incremental. We think maybe 200 to 300 reps per year could be kind of a base level and depending on any new product that comes up, it could be slightly higher. But nothing as much as we've done in the past two years for sure.

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Neha Manpuria: I know, you don't want to talk about Curatio separately. So, if I were to just say the entire portfolio that we have acquired the pediatric, derma portfolio, initially, we were very strong in South and West and the idea was to make it more Pan-India. If you could give us some color in terms of what's the doctor coverage we've been able to achieve since it's been a year, how much

more do you think there is to go in that and now that you've moved Tedibar to the consumer healthcare, is there any other brands that we can look at or brand extensions that we can look at on the acquired portfolio?

Aman Mehta: So we have done both. We've also added doctor coverage in Curatio and also merged some divisions. So it's a factor of both. So that's how we've been able to get the lot of cost synergy in the last one year as well. So, doctor coverage, I would say increased by maybe 20%, 25% for pediatricians and dermatologists, and it's still not 100%. So, we will be planning to increase it in the next year or so. In terms of regional growth, we have been able to further strengthen the strength area, which is the South and part of West regions. So, we are seeing accelerated growth in almost all the top brands here led by Tedibar followed by Atogla which is the lotion and there's creams. So, this basket of baby skin care products has kind of really accelerated in the strength regions and in the weaker areas, we're seeing some improvement, but still it's nowhere close to the growth that we're seeing in the South for example. And we think that over time this should gradually increase. So, as of now, we would say that the focus is on strengthening the core while gradually expanding in other regions and efficiency has almost been achieved to an optimal level, I would say. So, the number of divisions have been reduced from six to three and now we'll gradually improve the number of MRs possibly in the next six to nine months.

Neha Manpuria: Sudhir, now that we are less than one-time net debt to EBITDA and a lot of the noise around M&A has gone away, should I think about Torrent looking at more deals like we have done in the past in the India business?

Sudhir Menon: I really don't know how to answer that, Neha. But I think as of now, there's nothing on the plate, I can tell you that.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: The first question is on the overall India industry growth, right. If you look at any data source, it's been trending down, right? Like you said, your press release calls out about 9% growth for IPM, right? I know we're growing faster, 200, 300 bps like we have guided. But just want to understand and it seems to emanate more from volume growth, which you are better. So, just trying to understand what's happening from an

industry standpoint and what we are doing differently to increase our volumes?

Aman Mehta: So industry growth, you're right, there has been not very predictable in the data set that comes out. There's fluctuations in both the data sets. But I guess if we look at it on an annualized basis, it still might give a more accurate picture than a quarterly basis. We think that the market growth has more or less stabilized now. If you recall the earlier part of the year, there was acute season that was low and that's why there was a reduction, but then that was made up subsequently. So, Torrent Pharma
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our belief is that if we are growing at this 12% range, the market has to be in the range of at least 7% to 9% and structurally, we don't see that changing anytime in the near future as to how our growth has been above the market growth in terms of volumes essentially just going back to new launch performance particularly in the chronic space and the field force expansion that has been taken in the last two years.

Shyam Srinivasan: I don't know whether I got the MR number right. It's 5,700, right, or is it 5,500?

Aman Mehta: No, 5,700. We've added a few MRs, but also we've merged a few divisions. So, net number is 5,700.

Shyam Srinivasan: On top of this, on an annual basis, you plan to add 200 MRs.

Aman Mehta: No concrete number yet, but you can expect that possibly by the end of the year, maybe 300 can be added.

Shyam Srinivasan: Any commentary on the productivity of the field force, where does it stand right now and is there any aspirations of where we want to reach?

Aman Mehta: So pre-expansion and pre-Curatio, we had crossed the 10 lakh number. Right now obviously we have dropped because of the number of reps added. I think we are right now in the range of 8.5 to 9, somewhere in between there. And aspiration remains that we want to go back to the 10 lakh level as well which should be possible by the growth in the business and now more stabilization in the number of MRs.

Shyam Srinivasan: Second question is on US business. Just looking at the commentary that growth will start from 1Q, where are we in terms of price erosion, because of the lack of launches, are we still seeing a higher side of price erosion?

Sanjay Gupta: I would say we are seeing a low single digit price erosion right now.

Shyam Srinivasan: What is the prognosis here? Do we think that this remains and once the launches start, you will start seeing like high single digit value growth you think for next year, how should we look at the US business next year?

Sanjay Gupta: I will not make a sales forecast because honestly, we have about 7 to 8 launches in the next 12 months. But the sales that will come will depend upon the level of competition, of which I

currently don't want to project as to how many players will show up at what time. So, we will see. But the momentum and the direction should be upward.

Shyam Srinivasan: I think in the opening remarks, there was a comment about profitable growth in the sense that in the US. So if we reach the kind of scale that you're talking about, when you mean profitability, what are we referring to?

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Sudhir Menon : We are referring to positive operating profit before R&D.

Shyam Srinivasan: Where is that now? Like it's negative I get it. But how far?

Sudhir Menon : It's kind of breakeven I would say at this point, We need to start good things happening.

Shyam Srinivasan: Last question is again on sustainable margin. I thought was not 31, right, 31.8 is the number for the Q3, so it's 32 then what we should assume as a base going forward?

Sudhir Menon : Correct. That's what I meant, yes.

Moderator: We'll take the next question from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty : So what will be

the R &D guidance now in FY'25-26 the US business will be picking up ?

Sudhir Menon: I think we should be around 5 to 5.5 for the next year and maybe for FY'26 between 5.5 to 6 maybe, I think so.

Rashmi Shetty: Sir, with all the businesses on cash now, US, Brazil or Germany and even India and the base level is now EBITDA margin is around 31.8%, are we targeting that annually every year, we should improve at least your margin by 50 -100 basis points?

Sudhir Menon: That's right, yes.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: I have a question on Brazil. Now in Brazil, on the macro market growth, which seems to have picked up a bit. What do you sense, what has really driven this improvement in the underlying market growth, and what is the sense and how does it play out here from here on?

Sanjay Gupta: So I've said multiple times, Brazil is intrinsically a market quite similar to India. There's a lot of unmet needs and it should be a double-digit growth market. I would say three factors. One is there's a high level of product going off-patent. So that leads to a volume growth in the branded generic segment because while the patent is on, the volumes are kind of muted and as you take products off-patent, the volumes tend to increase quite dramatically. Secondly, Brazil is a positive pricing country. Every year, we get price increases in April. Usually in the past year, it's between 5% and 10%. So, I would expect like on an average to be 5% price increases available to us. So, volume growth, new product launches and pricing should give you a market which grows high single digit, double digit, so that is the reason.

Nitin Agarwal: In terms of our own plans for the market, apart from launches in the three therapies we are present right now, I mean is there a plan to add some more therapies as we go along?

Sanjay Gupta: Correct. So we're working on the portfolio. Because of the reps involved, you need, I would say, a decent size basket before you start the promotional team in a new therapeutic area. So,

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specifically, we've been building over the last couple of years in dermatology. At some point, we'll pull the trigger and start a dermatology force.

Nitin Agarwal: Secondly, on the ROW market as they are ex-Germany markets which are there, anything you want to call out, any markets where we made reasonable progress over the last few quarters and what is looking promising going forward?

Sanjay Gupta: There're two markets that we don't speak about where we have made decent progress. So one is on the generic side, we have good traction in the UK. So, the UK is right now trending more like £25 million a year. So it's a good momentum market and from the base that we have, we see positive momentum. Secondly, we don't speak in the branded generic size about a market like Mexico. So, Mexico currently for us is trending again, in the same ballpark, about \$22 million to \$24 million a year, growing at a roughly 30%. It's a specialty CNS company that we have and next year we will have about close to 70 sales reps in Mexico and it should continue to do well. We are the second largest Indian player in Mexico, and we should be attaining #1 down the line.

Nitin Agarwal: So in terms of size in Brazil, what is the size in the branded generic market in terms of the size of the companies which are there?

Sanjay Gupta: We are by far the largest Indian company and if you rank all pharma companies in Brazil, Torrent's rank is #20.

Nitin Agarwal: This is including the innovators?

Sanjay Gupta: Yes, all.

Nitin Agarwal: And how has this changed over the last three years or so in terms of rank #20?

Sanjay Gupta: If I remember about five years ago, it was 27, 28 and then last year it was 22 and now it's

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tly running at 20.

Nitin Agarwal: Like the way I understood India market , is this a business where as long as there's revenue growth coming in, leads to continuous margin improvement as we go forward ?

Sudhir Menon: Absolutely , Nitin . I think what's positively playing out for Brazil now is it's reached a particular scale, right , and the expansion which we did some 18 months back with better growth coming in Brazil . The operating leverage will be much better than what we see in India, I would say because the fixed costs are comparatively very high in Brazil compared to India. So , that story is playing out quite well I would say.

Nitin Agarwal: Just taking off from there, Sudhir , you are saying there is a serious positive operating leverage in Brazil , and I guess US with the scale that we start to get incrementally whatever growth we get, we should get some positive leverage coming from there also. So overall, these two should be further positive factors from a margin expansion perspective as we go forward ?

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Sudhir Menon: Absolutely, absolutely. At least US is not going to be negative on the overall margin improvement story, which continues every year. So , I think more positive play happening for the next year.

Nitin Agarwal: Aman , in terms of India , how are you looking at the new launch landscape for the next say four to five quarters , are there some interesting opportunities which are there?

Aman Mehta: In the next six quarters, there are a few interesting opportunities. One is in chronic space, one is in the sub -chronic space. This would be more like the day one patent expiration launch . So, we expect a number of players on the same day, but our recent track record gives us confidence that we should be in a leadership position in these launches. These are the two big ones. There will be some smaller kind of extensions and combination launches that will be also in addition to this.

Nitin Agarwal: On Sitagliptin, you referred in your conversation, what has worked for us in your assessment in Sitagliptin? It's a reasonably competitive market .

Aman Mehta: Difficult to pinpoint one or two single factors, but I think overall , probably the expansion that we have undertaken because the biggest number of MRs that we added was in the chronic , cardio and diabetes divisions , that seems to have played out for us.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane : Sir, just this breakup of this ROW and contract manufacturing sales, if you could share?

Sudhir Menon: Tushar, I don't have it right now. Can I share you after the call?

Tushar Manudhane: Secondly, just on the India market again . The in -licensing of products, any thoughts on pursuing that as a strategy given that we have such a strong presence on the chronic side?

Aman Mehta: So in the last 12 to 15 months, we already have signed two licensing deals. One was in November, which was the latest one. We continue to explore many opportunities mostly in the chronic space. So , we do hope that this run rate of licensing deals should continue. It is becoming a more and more of a kind of lower number of pipeline opportunity, but we still think there is a lot left in terms of newer treatments that are available. So , we probably would think that one licensing deal per year in a chronic segment is something that we can target .

Moderator: Ladies and gentlemen , I would now like to hand the conference over to Mr. Sanjay Gupta for closing comments. Over to you , sir.

Sanjay Gupta : Thank you, Michelle. Thank you for attending today's call.

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Moderator: Thank you, members of the Management . Ladies and gentlemen, on behalf of Torrent Pharma, that concludes this conference. We thank you for

joining us and you may now disconnect your lines.

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"Torrent Pharmaceuticals Limited Q4 FY24 Earnings
Conference Call"

May 24, 2024

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR

MR. SANJAY GUPTA – EXECUTIVE DIRECTOR
(INTERNATIONAL BUSINESS)

MR. AMAN MEHTA – WHOLE TIME DIRECTOR

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Moderator : Ladies and gentlemen, good day and welcome to the Q 4 FY24 Earnings Conference Call of
Torrent Pharma .

As a reminder, all participating lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during this conference, please signal an operator by pressing "*" and then "0" on your touch tone
phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – Chief Financial Officer and Executive
Director, Finance. Thank you and over to you, sir.

Sudhir Menon: Thank you. Good evening to all and thank you for joining us for the 4th Quarter Earning Call
for FY24. We have completed Quarter 4 and the year on a good note.

All our businesses have performed well. US has registered degrowth this quarter. US should
start contributing positively to the overall growth in FY 25. In terms of financial performance
highlights, revenues were Rs. 2,745 crores, up by 10%. Operating EBITDA for the quarter is Rs.
883 crores, up by 21 %. Operating EBITDA margins stood at 32 %. The Board of Directors have
recommended a final dividend of Rs. 6 per equity share. And the overall leverage as at March
31, 2024 now stands at 0.87x.

I will now hand over the call to Aman for India business.

Aman Mehta: Thanks , Sudhir . India revenue at Rs. 1,380 crores registered a growth of 10%. As per the AIOCD
secondary market data , IPM growth for the quarter stands at 9%. Torrent's chronic business
grew at 14% versus the IPM growth of 12%.

Growth was driven by new launches in the chronic therapies particularly antidiabetic ,
performance of top brands in our focused therapies and augmented by field force expansion in
core therapy areas along with the consumer health business traction. Sheldal 500 continues to
grow robustly across all states and regions where we have invested in advertising and OTC
marketing. And we continue to invest further in the other OTC brands, which are Tedibar,
Ahaglow and Unienzyme due to the positive response that we have seen in the last few quarters.
At the end of the quarter, Torrent has 20 brands in the top 500 of the IPM with 17 brands, more
than Rs. 100 crore sales as of MAT March 2024.

Field force strength at the end of the quarter stands at 5700. We expect the India business to
continue outperforming the market growth in the coming quarters and our focus in the new
financial year will be to improve our market share in chronic therapies , expand through new
launches in existing therapy areas, improving field force productivity in the expanded

divisions and regions and continue the scale up of the consumer health portfolio.
I will now hand it over to Mr. Sanjay Gupta for the international business.
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Sanjay Gupta: Thanks, Aman. So, first to begin with Brazil, so for the Fiscal Year '23-24, Brazil became our largest affiliate outside India with an annual revenue of Rs. 1,126 crores. As per IQVIA, during the year, market growth in Brazil was at 10% and Torrent growth was at 14%. For '23-24, our revenue in local currency was 671 million BRL, growing at a rate of 12%. It brings us a step closer to our goal to reach a billion BRL in Brazilian local currency revenues. In Q4, constant currency revenue was BRL 222 million, registering 11% year-on-year growth. Growth is supported by the robust pricing environment, volume growth and new launch momentum. We had a consistent pace of new launches. There were four in 2022, three in 23 and two in FY24. Going forward, we intend to maintain 3 to 5 branded launches per year. We recently obtained approval of Lisdexamfetamine, which will be our first product in the large CMS segment of ADHD. Our generics business

continues to show momentum and accounted for annual sales of 92 million BRL at a growth rate of 31% over the prior year.

Moving on to Germany, our German business has registered a full year revenue of €120 million at a growth rate of 8%. For the quarter, revenue was at €31 million, up by 8%. For the last 5 quarters, we have increased our overall value of wins in tenders. This trend continued during the current quarter and will lead to incremental sales starting from Q2 of '24-25. The wins are due to cost optimization efforts, which are essential to maintain our competitiveness in tenders. New product launches continue at a sustained pace in Germany. During '23-24, we launched 8 new products with the expectation to launch between 10 to 15 products in '24-25. During the year, we also increased the number of sales reps in Germany and increased our pharmacy coverage from 5000 to 8000 pharmacies out of a total of 17,000 pharmacies in Germany. Our overall share in the German generic market is now at a 2-year high of close to 6%.

In the US, we registered constant currency revenues of \$32 million, down by 7%. Sequentially, the US business has delivered stable revenues backed by new contracts, which have helped mitigate the impact of several new competitors for our leading product, which is Dapsone.

To conclude, our focus will remain on deepening our presence in branded generic markets while continuing to grow in Germany and returning to profitable growth in the US. Dr. Drwin, we can open the call up to questions please. Thank you.

Moderator: Certainly, sir. Thank you. We will now begin the question and answer session. We have the first question from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My first question is on India business. So, you ended the year at 14% growth. So, how should we look at growth trajectory in FY 25 from this high base and if you can also talk a bit about the key growth drivers in terms of price, volume or contribution?

Aman Mehta: So, if we look at the April external data, AIOCD or IQVIA, the market growth rate is about 9% and we think that's likely to sustain for the rest of the year. And we believe we should be well placed to grow a couple of percent, maybe 2%-3% higher in that. In terms of therapy areas or focus areas remain the same, improving chronic market share. In terms of growth breakup, we

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registered a growth of 15% in the AIOCD data in Q4. So, the breakup of that is 3% volume, 8% price and 4% new products.

Damayanti Kerai: So, this price contribution obviously is on higher side compared to I guess in the prior year. So, should we assume some moderation there or do you think this high single digit kind of price contribution can be sustained?

Aman Mehta: Usually it's been in this range, quarter-to-quarter the reflection might be slightly different, but we believe that within this range of 7% to 8% should be sustainable.

Damayanti Kerai: And also if you can talk a bit more about your progress in the consumer health basket in India, like where are you spending majorly in terms of growing those brands etc.?

Aman Mehta: So, the most visible successful impact that we have seen is in Shelcal. And that's purely because of the scale of the brand and the established legacy which added with the consumer spends has given pretty good results. So, we'll continue to invest more in Shelcal. Tedibar, we have kind of started in the last six months and again it's a relatively smaller scale of investment that we have done, but the results are again quite positive. So, we might scale up a bit more on Tedibar.

Ahaglow and Unienzyme are the other two where we have put them on a slightly lower priority. At least that was the case in the previous financial year in FY24. FY25, we might continue the same mix. So, broadly speaking,

the priority should remain the same, led by Shelcal and Tedibar.

Damayanti Kerai: Ok and my last question, do you have plan to expand the MR team in your India business or do you think like current team is good enough to pursue the growth opportunities?

Aman Mehta: We have the same plan that we mentioned in the previous quarter that we believe organic growth will require maybe annual expansion of 300 to 400 MRs every year and that's the plan this year as well. So, possibly by the end of this year we should be at about 6000 MRs.

Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: First, Sanjay on the Brazil business, obviously we have seen pretty good growth this year. I know you've mentioned in the past you're launching more products. How should we look at growth from the current base, should we assume that the growth momentum that we have seen this year sustains going forward, the mid-teens sort of growth that continues on a constant currency basis?

Sanjay Gupta: Yes, I think Neha, that's a safe assumption given that in April we saw a price increase given by the government at about 4.5% plus the volume growth plus new product launches and strong growth in our GG segment. We should be comfortably closer to 15% than to 10%.

Neha Manpuria: And how many product launches are we planning in business? Sorry I missed that.

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Sanjay Gupta: So, here I suffer from a surfeit of riches because we have a lot of products which are filed and approved. But given that we have three teams and since we are selling branded generics, we like to ideally launch two products per team per year. So, that would give me about 6 products. So, I would launch between 4 and 6 products every year with the current business that I have.

Neha Manpuria: And any plans to expand this team, given the growth that we are seeing in that market, could it see more people addition to accelerate this growth?

Sanjay Gupta: Not in the short run because if you recall, last year we added an entire new CNS team with 120 sales reps. So, for now, we are good, yes.

Neha Manpuria: My second question is on margins. Sudhir, we have been doing margin expansion year after year. You've always indicated the scope for margin expansion. Given the base we are, do you still think margin can continue to improve for Torrent going forward?

Sudhir Menon: Yes, I think as we guide every quarter or every year that there is a potential for the margin to improve between 50 basis point to 100 basis point depending upon how the branded segment and generic segment perform. I think positive I see in this year, which is FY 25 is, I think US should contribute in a positive way both to the top line and bottom line. So, I think at this point in time, margin expansion at least between 50 to 100 basis points is definitely possible is what I believe.

Neha Manpuria: And this margin expansion that we have seen in FY24 has come from all businesses and in India of course would have expanded, but outside of India, is it fair to assume that Brazil, Germany and US has also seen margin expansion?

Sudhir Menon: I would say so.

Neha Manpuria: Understood. One last question. Thoughts on M&A, your name keeps cropping up in quite a few deals, and I also saw obviously the enabling approval for fund raise. So, now that Curatio has absorbed, you sort of ramped up that acquisition, how should we think about M&A going forward?

Sudhir Menon: So, I think Neha, as far as the equity issuance resolution is concerned, it's an enabling resolution which we did every year for that Rs. 5000 crores so that we have the preparedness in case something is happening, right. But so far nothing. I mean that resolution has not been used so far, so that's point number one. I think

point #2 at this point in time, there's no proposal which I can say, which is in the pipeline, which we have been evaluating.

Neha Manpuria: In either of your markets, India outside India?

Sudhir Menon: Yes At this point in time, no.

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Moderator: Thank you. We have the next question from the line of Tushar from Motilal Oswal. Please go ahead.

Tushar: So, just on Shelcal in particular at least AIOCD number is not reflecting or maybe it's reflecting 8% to 10%. So, with that because even if it is okay, it would be sort of picked up from the chemist shop. So, just trying to understand, why that growth is not getting reflected in the IMS?

Aman Mehta: We have explained this in the previous call that given that some part of the sales shifts to OTC stockists, they don't get reflected in the AIOCD or IQVIA panel and this is a normal phenomenon in either OTC brands or brands that have been switched. So, because of that, the growth reflection wouldn't always reflect what the actual performance is like. We can just guide you

that in the internal numbers Shelcal 500 growth for the year was in the high teens.

Tushar: Understood. And the overall OTC issue, good share, how much was the business and how much would have gone a phenomenal growth, but how much would be the OTC business now for FY24?

Aman Mehta : So We are not looking at it separately because we have still continued some of the brands in the prescription side as well. So, we haven't separated the whole OTC basket into a separate division or separate entity. We look at it still as a combined sales contribution in R x plus OTC , it is that the spends are looked at separately. So, we're investing in consumer plus the prescription spends as well.

Tushar: This is with respect to Germany business where we had good number of tender wins over past 3 to 4 quarters, but the FY24 growth in constant currency is about 8%. So, safe to assume that FY25 would be much better than '24 in terms of growth for Germany business ?

Sanjay Gupta : Better, I don't know, but at least to the same level I can tell you that with the wins that we have , high single digit growth in Germany is a fairly safe assumption.

Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: So, the first one, trade generics. So, how has the progress been in fiscal 24 for trade generics? And just a related question , many of your peers have actually made a separate subsidiary of trade generics. The words that one CEO used was agility and focus. So, just want to understand what's happening in general in the space in terms of trade generics and what's our strategy there ?

Aman Mehta: I would say overall it's been a pretty good year for our trade generics business. I don't recall the exact number, but the growth for that segment has been upwards of 20%. So, overall, it's been as per plan and profitability wise, it is doing decently well-compared to what we anticipated earlier, that's because we have been focusing on brands which have been shifted from the R x side to the trade generic side. So, there's an inherent kind of demand that's being capitalized on further. In terms of shifting to separate entities, we don't have any plans to do so right now. I

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think for that we would probably want to be at a much bigger scale than we are right now and we had also mentioned this earlier that we don't anticipate this to be a larger segment of the overall business compared to the current scale, which is at 2.5% to 3% and we think this high growth should continue for at least this financial year and maybe the next financial year, after which it should start tapering down.

Shyam Srinivasan: Aman, just on the market, just the fact that why

are some of these companies attempting to do a subsidiary, is just the scale point or you think you're seeing competitive intensity in this space pickup ?

Aman Mehta: No, that would be hard to comment on, but obviously other companies have been looking at this space aggressively as well and which way each company has been approaching , it may be different, but can't comment on why that could have happened in other companies ' cases.

Shyam Srinivasan: And the last question on this trade generic, there was this notion that trade generics may tend to impact acute volumes more and which is why IPM volumes have been generally weaker. But what stops even chronic volumes to also be impacted by trade generics ? Is there any impediment that prevents even chronic volumes to start moving towards trade generics?

Aman Mehta: We have tried it ourselves and we have struggled to gain any traction, so we haven't added many more products in the chronic space and there could be various reasons for that. One is generally that acute is a very short lived prescription. So, every time there is a new acute patient, there would be a new need for a new product or a new brand and that's where your chance of change is higher, but overall, in the chronic space, we still believe that it's difficult to get higher share of generics. In that sense, I don't see the IPM getting impacted in the chronic space because of trade generics, we continue to believe that all the segments will have their own space. Trade generics will grow at its pace, branded will grow at its pace. And that's been playing out in our case and we have been seeing that in the market numbers. And I think this year's April data at least shows as well that there isn't really any , that kind of impact on branded volumes because of trade generics.

Shyam Srinivasan: Helpful. My last question is on the US business . Opening remarks , I think Sudhir you mentioned that we are foreseeing growth in the US after many years of decline. So, what are the drivers of it? Is it new launches? Is it lower price erosion and general outlook on the US business in terms of a medium to longer term, how committed are we to maintenance or sustain and maybe grow this business as well. Thank you.

Sanjay Gupta : So, firstly, the reason for why we anticipate growth is we expect about 8 on time approvals this coming here. So, depending upon what product gets approved, we expect a positive revenue momentum. So, out of the 8, the first one is already launched. There's seven more depending upon which month etc. they get approved. We think they can at least 3-4 of them can generate

material revenues for us and in terms of U S business, we remain committed. We are not disproportionately committed to the US business. It's one of the four growth drivers that we have along with India, Germany and Brazil. But we have no plans of decreasing our commitment to
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the US market. On the contrary, we are looking at ways because our plants have been cleared, except for Indrad all other plants are FDA cleared right now, we all have no action indicated and our pipeline and external business development efforts are ramping up. So, I think over the medium term, we would anticipate a business of \$250 to \$300 million as new product launches come in. So, we prioritize it along with our, I mean India is of course our top priority, but Brazil, Germany and the US are on equal footing. So, no plans to scale down.

Moderator: Thank you. We have the next question from the line of Harsh Bhatia from Bandhan Asset Management. Please go ahead.

Harsh Bhatia: Just two quick ones. One, if at all that's possible for the Brazil in terms of the constant currency growth, the 12%-13% that we have reported in this year, is there a way to sort of split that into let's say pricing versus volume or anything

that's possible for us to understand how that market

is progressing, because the new introductions or the new product launches would be a substantial part of the growth over there, given how the market is behaving. So, anything in that aspect?

Sanjay Gupta: So, for Brazil, in terms of price, volume growth, price growth would be about 4%, new products would be about 2% and the rest would be volume growth.

Harsh Bhatia: And you mentioned on your previous comments that Brazil should possibly do sort of a 14%-15% growth, if I am not wrong in FY25?

Sanjay Gupta: Correct.

Harsh Bhatia: And lastly in terms of the margins, just to sort of better understand the 50 to 100-bps potential. I think last quarter you made a comment that operating leverage in Brazil is higher as compared to the India potential to that extent. So, if you could tear it or bucket it categorically to help us better understand that margin improvement also keeping in mind the OTC part of the India business. How important that is once it scales up to a certain level, I understand that these are already large products to that extent and you might be adding more and more products, but I am just trying to understand that margin movement if at all and that OTC is an important part or you still feel that a large part of it continues to be the Brazil or division?

Sudhir Menon: Yes, I will take that question. So, I think from a margin improvement perspective or guidance, which we have given 50 to 100 basis points assumes all the incremental spend which we are planning for FY25 for the consumer health segment. So, that's point #1. I think point #2, when we save 50 to 100 basis points, it's a mix of basically price increases which are taken across all these branded generic segments and certain amount of operating leverage, which plays out both in terms of generic markets as well as the branded markets. And add to that if the new product starts flowing in, in the US, that should also have a positive impact on the overall profitability. So, I think combined all, we feel that 50 to 100 basis point is somewhere we should be able to demonstrate margin improvement.

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Harsh Bhatia: So, if I may, the OTC margins as such are going to be more or less stable because of the incremental investment. So, that will not be a part of this overall bucketing as such or at least would be one of the last criteria because of the investment made to that extent?

Sudhir Menon: Yes, the only problem is we're not tracking OTC margins separately because these products which we have selected for the consumer health segment, are the ones which are there on the prescription platform as well, right? So, as Aman said in this call before, is that expense is something which we keep on looking at and the way we track is that wherever we run the programs on these brands from a consumer health segment perspective, we try and compare the growth in these regions versus the other regions where the program is not done and there we see positive outcomes, which are visible. And therefore, we feel that the spend is becoming more effective as we go on even for FY 25 and therefore whatever we have planned in terms of incremental investment on those 4 or 5 brands which we spoke about, after considering those incremental investments, we still feel that there's room for the margin to improve by 50 to 100 basis point.

Moderator: Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Question around gross debt. Can you enumerate the gross debt number and also how should we think of debt reduction for the coming year and thereafter?

Sudhir Menon: I think the gross debt at a consolidated level was Rs. 3900 crores. And I think the way to look at

is that at least for FY25, we should have a sim

ilar run rate in terms of repayments what we had

in FY24, which is roughly 1300 or maybe 1300 to 1500 is something which is possible. We'll see if something additional is possible based on the cash flow generation and achievement which we have for FY25, but that's the minimum I think we should take into consideration.

Gagan Thareja: Right. And the second question is around the tax rate. If you could guide us for the tax rates in the next couple of years as well ?

Sudhir Menon: So, I think for FY25, we should be around 30%. And come FY26, we should start getting into the new tax regime that may happen maybe a quarter or 2 quarters in FY26. And so therefore, FY26, I can take a mix of 30 and 25 and should land up somewhere on a full year basis at 27% is what I feel today.

Gagan Thareja: And would softening in API prices have helped gross margin in FY24 and if so, to what extent?

Sudhir Menon: No, I think from our portfolio perspective, when I look at the overall COGS per pill, I don't see a major movement in terms of either the API price is going up or falling down substantially, I would say. So, it's a normal increase or decrease which we see in some pockets of API purchases, but nothing significant to really say that that's one of the causes for improvement in margins. I think the second thing what we have done is in order to become more cost efficient from a Germany portfolio perspective, there's good amount of work, which has been done in terms of Torrent Pharmaceuticals Limited

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reengineering certain processes and looking at alternate API which has played out from a Germany business perspective, but I think on an overall basis, I won't say it's a significant contributor.

Gagan Thareja: And the current sort of sharp spike in freight costs in transit times around Red Sea, do you foresee any impact from that?

Sudhir Menon: Yes. So, we have seen an impact coming in Quarter 4. So, my freight expenses have gone up by around Rs. 10 crores compared to quarter three.

Gagan Thareja: And does the increased transit time impact your working capital also?

Sudhir Menon: No, not really. In fact, I think FY24, the underlying working capital has come down from 110 days to 90 days.

Gagan Thareja: Just a final question, the OTC policy is expected to be notified fairly shortly if I understand it correctly. How do you see this? I mean sort of leading to an evolution in the India business, for Torrent specifically and generally in the market in terms of offering you newer distribution channels and perhaps channels with a different business economics ?

Aman Mehta : So, it's unclear yet what form or final shape it would take, but any such policy if implemented, would provide an opportunity for brands which are categorized as OTC to increase their reach.

So, we would obviously be able to capitalize on that.

Gagan Thareja: But do you see it causing a marked benefit to your India portfolio or you think it's a development which might on the margin help but not push or move the needle?

Aman Mehta : It may not move the needle that much. It will help incrementally, but we don't see the changing that much of operation, no significant impact I would say.

Gagan Thareja: And on the US pricing environment, do you foresee the next year also to be benign ?

Sanjay Gupta: Not too big. It's too far away. I think it's never benign. It might be a temporary. The buyers are always looking for an incremental savings. So, the habits are ingrained.

Moderator: Thank you. The next question is from the line of Punit Pujara from Helios. Please go ahead.

Punit Pujara: So, out of this Rs. 10,700 crores revenue that you clocked this year, what is the share of branded generics market put together as a whole ?

Sudhir Menon: It is a round 73%.

Punit Pujara: Sure. And in the rest of the world market, in past, you have highlighted th

at there are seven key

markets where you have been focusing. So, could you just update about the strategic outlook

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and the kind of growth that you are expecting in this market because I think this is a while since you spoke on this specific rest of the world market?

Sudhir Menon: So, I think historically the seven markets which you're talking about has been registering 12% to 13% growth. Probably last year the growth was a little lower because of certain countries having political issues, economic crisis and so on so forth. But I think, things are now settling down and I think the outlook for that market should be 12% to 13% growth continuing over the next 2 to 3 years.

Punit Pujara: Sure. And a very quick one, what is the revenue from the rest of the world market for the year ?

Sudhir Menon: So, the 7 markets you're talking about, right? I mean, which is Philippines, Malaysia, Nepal and all right.

Punit Pujara: I meant for the ROW markets as a whole which we used to report earlier as a separate line item?

Sudhir Menon: Right. So, I think that's around 85 million, I would say 85 million around.

Moderator: Thank you. The next question comes from the line of the Dhawal Khut from Jefferies. Please go ahead.

Dhawal Khut: You are increasingly sounding bullish towards your US business. So, will that entail some increase in R&D? What's the outlook for R&D and out of the total R&D ballpark, how much is towards US?

Sudhir Menon: No, I think that's a wrong impression which you got that we are very bullish on US business. I think, from our perspective, we wanted to at least make US business profitable, right? I mean, that's our objective which we have taken over the next 2-3 years. And how it helps is that since the plans are cleared and there's some amount of pipeline which we see playing out over the next 2-3 years, what we meant is the growth momentum should start as far as US is concerned. And within this pipeline or approval, which is going to flow over the next 2 to 3 years, we feel there could be an opportunity to make reasonable amount of revenues and profits in terms of those products getting approved on time. So, therefore, US, which has been negative so far will start contributing positively to the overall topline and bottom line. For example, if you look at quarter 4, our overall growth is 10%. Ex of US, the growth is around 12%, so at least the US which has been contributing negatively, at least from FY25, we should see a positive momentum and therefore a better growth on an overall basis. So, that's something which we were trying to convey.

Dhawal Khut: And on India business, top players, large players in India, they are increasingly moving towards differentiated products like launching in -licensed patented product, launching biosimilars, so can you subjectively give some initiatives that we are taking and what's in our pipeline in terms of differentiated products, niche products which can stand out in their market?

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Aman Mehta: I mean, most of the business is driven with the patent expiration pipeline where we have been in the top three ranks and almost every launch in the last 2 years. And that's been really our focus on maximizing market share. In terms of differentiated products, we have also been looking at licensing. Last one year, we have had two deals both in the chronic space. Both are doing quite well. We continue to look at more licensing deals and should hope to close at least one in the next coming quarters. So, our focus remains the same that the biggest kind of growth initiative is to maximize market share in the patent expiration launches and they should be aided by these licensing deals or licensed products.

Moderator: Thank you. The next question is

from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Sir, for the US business, is it possible to sort of help us understand at what sales run rate, do you foresee turning around and secondly, at optimal levels, what sort of a margin when you hit optimal profitability, what sort of margin swing on an overall basis it can contribute to?

Sudhir Menon: Gagan, I think at this point in time the US business is very small for us, right, I mean, so all the efforts are being made to see that at least the base starts increasing. So, at this point in time, if you ask me all these questions, it's very difficult for us to really tell you at what point it will be profitable, what is the margins we are aiming at. I think the immediate objective over the next 2-3 years, is to see I think post all the expenses we get into a positive zone as far as the US is concerned. Now that can happen in 2 years, it can happen in 3 years. May be at some point where we see positive momentum happening for the US, that would be the right time to talk about those aspirations and when and what margin profile we are looking at based on the pipeline, which we are developing.

Gagan Thareja: And you indicated that over the medium term, you aspire to go to US \$ 250 to \$300 million. When you say medium term, it's possible to enumerate it, what's the timeline for this?

Sanjay Gupta: A lot depends upon new launches, right? So, in my mind, is we're talking about 3 to 5 years' time, right.

Moderator: Thank you. The next question is from the line of Dinesh Pathak from WhiteOak. Please go ahead.

Dinesh Pathak: This new OTC policy, whichever form or shape it is currently, and I am sure you would have been consulted and given your feedback. So, if you can just share like what are the key salient points or features that are expected to or are being discussed in this OTC policy?

Aman Mehta: It's out in the public domain, so I think whatever has been the intention is to ensure that OTC brands firstly are safe and only the safe products and safe brands are available for patients or consumers without a prescription and the other is obviously how can these products reach as many patients or consumers as much as possible. And looking at in the other markets that we operate, there are other channels that usually are involved in OTC which are non-chemists. But

in our case, the brands that we're looking at, they don't really need that additional push because
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they're predominantly in the chemist channel. So, in our case while we are optimistic that the OTC policy should be beneficial for us and the overall industry as well, it should be an incremental impact and not a significant change.

Dinesh Pathak: And in our current India portfolio, what is it that Shelcal is OTC or Shelcal is non-OTC?

Aman Mehta : So, we classify our consumer brands, which are four of them, so Shelcal being one, Tedibar being another, Ahaglow and Unienzyme, these 4.

Dinesh Pathak: And these would make up what percentage of the India revenue?

Aman Mehta : We don't have an exact number, but maybe between 10% to 15% . So, between that, I would say.

Dinesh Pathak: So, based on what you just explained about the policy doesn't seem to be like anything meaningful, either positive or negative for at least our portfolio in a way, right, because you're already promoting it through whatever ways and like you explained, I at least didn't get the impression that it is either positive or negative, like neutral, right?

Aman Gupta : It's hard to say, we'll have to wait for the policy to be finally, in its finest form, whatever the benefits are, we'll have to take a look. But as of now, it's hard to comment on how to quantify the impact.

Moderator: Thank you. Ladies and gentlemen, we have no further questions. I w

ould now like to hand the

conference over to Mr. Sanjay Gupta, Executive Director of International Business, for the closing comments. Over to you, sir.

Sanjay Gupta: Thank you, Dorwin. To conclude, I'd just like to say that we continue with our business focus on deepening our presence in the branded generic market as well as continuing to grow in Germany and trying to return to profitable growth in the US. Thank you for your interest and your participation in the call today.

Moderator: Thank you. On behalf of Torrent Pharmaceuticals Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jul 2024

"Torrent Pharma Q1 FY25 Earnings Conference Call"

July 23, 2024

MANAGEMENT :

SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR (FINANCE
SANJAY GUPTA – EXECUTIVE DIRECTOR, INTERNATIONAL
BUSINESS
AMAN MEHTA – WHOLE-TIME DIRECTOR

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Moderator: Ladies and Gentlemen, Good Day and welcome to Q1 FY25 Earnings Conference Call of Torrent Pharma.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – Chief Financial Officer and Executive Director (Finance). Thank you and over to you, sir.

Sudhir Menon: Thank you. Good Evening and Welcome to the First Quarter Earnings Call for FY'25. We continue to see strong performance in our branded markets. Our two largest branded markets, India and Brazil, both have done well. Brazil, while secondary sales continue to grow in double-digit, primary sales got impacted this quarter due to flood in one of the provinces, and therefore Q2 should normalize this impact. The second impact which Brazil had was on the currency depreciation of around 5% for this quarter. On the generic side, Germany continues to grow well. US on a rolling quarter basis is consistent, while it has registered a degrowth due to a high base last year. In terms of the key financial performance indicators, we have reported the revenue of Rs. 2,859 crores, up by 10%. The operating EBITDA is up by 14% YoY. Other expenses include one-off of Rs. 20 crores and adjusted for this, the underlying operating margins are Rs. 924 crores, and the EBITDA margins are at 32.3%. The overall leverage which is the net debt-to-EBITDA now stands at 0.65.

I will now hand over the call to Aman for India Business.

Aman Mehta: Thanks, Sudhir. India revenues at Rs. 1,635 crores, registered a growth of 16%. As per the AIOCD secondary market data, the IPM growth for the quarter stands at 8%.

Torrent's chronic business grew at 14% versus the IPM's chronic business growth of 8%, driven by strong revival in our cardiac divisions and continued traction in anti-diabetes new launches.

Torrent has entered into a non-exclusive licensing agreement with Takeda and has commercialized Vonoprazan during the quarter. Our brand Kabvie of Vonoprazan was the first license product to be launched in the market and is Ranked #1 as of June 2024 based on the AIOCD data. The initial response of the molecule seems quite promising. This marks our third licensing deal in the recent quarters, and we continue to scout for similar opportunities which can bring more novel treatments to the Indian market.

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Field force strength at the end of the quarter stands at 5,700. We continue to see PCPM improvements in recently expanded divisions. Overall, PCPM for the India business during the quarter stands at 9.4

lakhs and we are confident of crossing the 10 lakhs PCPM mark once again in the next financial year. At the end of the quarter, Torrent has 20 brands in the top 500 of the IPM, with 18 brands, more than Rs. 100 crores sales as of MAT June 2024.

We expect the India business to continue outperforming the market growth. Our focus during the year will remain on improving our market share in chronic therapies, new launches, improving field force productivity and expanded divisions and regions and continuing the scale of the consumer health portfolio.

I will now hand over to Mr. Sanjay Gupta for the International Business.

Sanjay Gupta: Thanks, Aman. We will start with our branded generic market of Brazil.

As per IQVIA, market growth was at 11% for Q1. Secondary sales growth for Torrent was at 12%. Based on internal sales, Q1 constant currency revenue was BRL 123 million, registering a 8% year-on-year growth. We would be launching five products during the rest of the year. Going forward, we intend to maintain about three to six launches per year and currently

we have up 19 molecules waiting for ANVISA approval.

In Germany, constant currency revenue was €32 million, up by 9%. During the quarter, we won incremental new tenders, which will start delivering incremental sales from Q3 and Q4 of '24-25. For the last five quarters, we have increased our overall value of wins in tenders. This is in large part due to cost optimization efforts, which has led to increased competitiveness in the tender segment. Our overall share of the German generic market is increasing steadily quarter-on-quarter and currently stands at 6.1% for the quarter with Torrent ranked #5 in Germany in the overall generics business.

In the US, we registered constant currency revenues of USD31 million, down by 13%. Adjusted for one-off income in Q1 of the previous year, constant currency de-growth is at 9%. Sequentially, US business delivered stable revenues backed by new contracts. During the quarter, USFDA inspected our manufacturing facility at Indrad. And at the end of the inspection, we got a Form 483 with five observations. Torrent has responded to the USFDA within the stability time, and we expect to hear back from the FDA in the next 90-days.

I would like to conclude by stating that our focus will remain on deepening our presence in the branded generic markets of Brazil, Mexico, etc., while continuing to grow in Germany and returning to profitable growth in the US.

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Yusuf, we can open the call to questions now please.

Moderator: We will now begin the question-and-answer session. First question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Aman, my first question is on the India business. We saw 15% growth in this quarter, which seems pretty strong given we already have Curatio in the base. Could you give us some color on how we should assume growth for the India business, is this growth rate sustainable? And also, any color that you can give us on the Curatio asset that now it's been fully integrated. What's the traction that we're seeing there?

Aman Mehta: Yes. So, the breakup of the 15% growth roughly based on the AIOCD data for the quarter is 2.5% volume, 8.5% price, and 4% new products. This is all fully organic-driven because Curatio is in the base. The Curatio business grew at 19% during the quarter. So, it's seeing continued high growth traction in almost all the top brands. In terms of margins of the Curatio business also, we see consistent improvement now quarter-on-quarter. So, in terms of acquisition integration, I believe we are on track or even slightly ahead of where we anticipated to be as the growth momentum should continue. Going ahead depending on how the market growth plays out, 15% was the Q1 growth, but I think somewhere between 13 or low teens growth for the rest of the year should be doable.

Neha Manpuria: Sudhir, the gross margin expansion again this quarter was pretty significant if I look at it from a quarter-on-quarter, year-on-year perspective. How much of this is sustainable, is this a level we should be able to maintain? I understand there's some mix benefit because of higher India growth this quarter. And also, if you could give us some color on what the 20 crores one-off was related to?

Sudhir Menon: Yes. So, I think from a gross margin perspective, Neha, last year, if you look quarter-on-quarter, it was between 74.5 to 75 which I believe, 75 should definitely be sustainable, right? The additional point which we got in this quarter, probably because India has done much better, and the branded segments have done better than the generic segment possibly attributable to that. But I think definitely 75 is something which should be possible for the full year, is what I believe. The 20 crores one-off expenses pertain to one of the potential international opportunities which we were evaluating and finally didn't materialize actually. So, that's the expenses

es which we have incurred in Q1.

Neha Manpuria: Sudhir, capital allocation, how should we think about it?

Sudhir Menon: I think the way you should look at, Neha, is that FY'26, I think I should be net cash, right, and

therefore whatever EBITDA generation or cash flow generation is happening that would await capital allocation to be done, right. And I think acquisitions have been integral part of our growth story and
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that's something which we will continue to pursue as long as we believe that it's going to create a long-term shareholder value.

Neha Manpuria: And given that you mentioned, there was an international opportunity that we were pursuing, it's fair to assume that we are also open at looking at larger deals outside of India and which focus markets would these be in then?

Sudhir Menon: Yes, I mean if it's a good asset, Neha, definitely yes, but provided everything fits into the financial framework, which we follow, right, in terms of creating value.

Moderator: Next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My first question is on the US business. So, quarter-on-quarter it's broadly stable. So, just wanted to understand how supplies from Dahej plant is picking up because Indrad is yet to clear. So, I assume when we got clearance for Dahej, there was expectation of better pickup to happen here. So, some color on the US business please?

Sanjay Gupta: So, actually the supplies from both in Indrad and Dahej have been stable, right, because our current business was not impacted by any of the USFDA action. So, what we are seeing now is a lot of site transfers are getting approved from Dahej. So, gradually the products which were made in Indrad are now being made at Dahej. So, the volumes have remained about 4 billion pills a year and the mix is changing with Indrad coming down and Dahej ramping up appropriately.

Damayanti Kerai: So, are we expecting like run rate to pick up slightly better than what is the trend in the last two quarters or so?

Sanjay Gupta: No, that will depend upon new approvals, right? So, we are expecting some new approvals to start coming in, hopefully also from Indrad. We have some good filings from Indrad, which are still left in our portfolio. So, as soon as the approvals start coming in, that will lead to a change in the base of business. We don't have supply constraints in terms of capacity constraints.

Damayanti Kerai: And you mentioned one of the objectives for this year is to improve profitability of US business. So, right now it's profitable or like it's a loss-making segment?

Sudhir Menon: Can you repeat the question, Damayanti?

Damayanti Kerai: I was asking, one of the objectives which you mentioned in your opening remark is improving profitability of the US business. So, currently, I just want to understand whether it's profitable or it's a loss-making segment.

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Sudhir Menon: So, I think pre-R&D expenses, we are kind of breakeven for the US business. And that's what Sanjay was implying that we want to move towards a profitable path as far as US is concerned post-R&D.

Damayanti Kerai: And my second question is on India business. So, on the Consumer Health segment, if you can just talk about the progress in key brands and what kind of marketing and promotional expenses you intend to incur for the brands there?

Aman Mehta: So, the key brand, which is Shelcal 500, has grown at 17% for the quarter. And again, this may not entirely reflect in the external data sets given that it has a different set of stockists. So, this is the internal number of the consumer plus Rx growth of the brand. We think high-teens growth look sustainable in the next few quarters. We are continuing our base level of advertising spends and retail activation. The overall spends this year in consumer are slightly higher than last

year. So, I think that

what's there in this quarter should remain similar in the upcoming quarters in terms of percentage expense.

Damayanti Kerai: So, A&P will broadly remain at the current quarter level going ahead and then you intend to go like top line by better engagement, etc.,?

Aman Mehta: That's why broadly similar based on seasonality for some products and maybe some higher spends by 5 to 7 crores in a quarter for example. But that shouldn't be too material. Broadly what's captured right now is the rest of the year, the A&P spends.

Damayanti Kerai: Consumer is what percentage of India business right now in terms of value contribution?

Aman Mehta: We had mentioned last time also that we don't look at this separately in terms of contribution to sales because it's part of the Rx business and consumer. So, we look at the spend separately, but the overall top line is seen as one business together and this is essentially capturing Shelcal, Tedibar, Ahaglow and Unienzyme, which are the four key brands. Shelcal 500 is somewhere in the vicinity of 300 crores, Unienzyme is about 150, Tedibar is close to 140- 150 and Ahaglow is about 80-odd crores. This is the broad kind of base that we have. We are looking at maybe adding one more product towards the end of the year as well to this.

Moderator: Next question is from the line of Tushar M from Motilal Oswal. Please go ahead.

Tushar M: So, just on the Germany business, while you already highlighted in the comments that you do pick up in the coming quarters, but broadly what sort of growth for FY'25 one should think about for

Germany business?

Sanjay Gupta: Germany is usually in the range of mid-to-high single digits. So, if we keep winning tenders, it will be towards the high single digit growth rate.

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Tushar M: And also on Brazil, while I've missed your opening remarks, so where the floods have impacted, say, Q1, but let's say on a full-year basis, how to think about the growth given that we have good number of launches plus an interesting launch in 2Q of FY'25?

Sanjay Gupta: Correct. So, Brazil, in previous calls also, we've highlighted that the long-term trend is similar to what you see in IQVIA. Primary sense tends to be lumpy depending upon issues that crop up from time-to-time, channel inventory, etc., But over a period of two, three, four quarters, we have seen that Brazil has always grown in line with IQVIA trend and currently IQVIA is showing us MAT and a quarter growth of about 12% for Torrent. So, I would say that this is a good indicator of where we are with that business currently. So, I would say between 12%, 13% is the underlying growth rate for our Brazilian business.

Moderator: Next question is from the line of Saion Mukherjee from Nomura Securities. Please go ahead.

Saion Mukherjee: Sudhir, just one question is on the acquisition. So, if you're looking at international markets, are you interested in new markets, are you looking at branded piece like what you have in Brazil or you would be interested in generics and some sort of technology acquisition, what are the areas that would interest you at this point?

Sudhir Menon: Saion, branded, definitely yes, right. But we're not restricting looking at asset, which is only branded focus. If there are some good assets which are even in the generic segment, is something which we would look at and then decide whether we want to go that way or not, but branded definitely is a priority.

Saion Mukherjee: And would that be in the markets you already have presence like Brazil, Mexico or you could look at completely new markets where you would sort of set your base?

Sudhir Menon: Yes. I mean a combination of both, right? I mean, new market, definitely, yes. And even within the existing market, if there are entry possibility in terms of the other therapies where I'm not present, that's something which is also open to pursue

Saion Mukherjee: The next question would be to Sanjay. Sanjay, I mean, I think a few quarters back, you mentioned US business once the facilities are cleared ramping up to 250 or 200 million kind of an annualized revenue in two years or so, how do you assess that at this point, do you think that's still achievable?

Sanjay Gupta: So, honestly, it depends upon the ANDA approvals that we get, right? So, so far we've seen the first wave of approvals from Dahej has come in, but there have been more on the site transfer approval rather than new ANDA approval. So, I was expecting about seven to eight approvals this year, most of them in the next three quarters. We have a couple of expectation is for a couple of oncology approvals, some approvals which could have an upside in terms of lesser competition. So, that will

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drive the sales growth. So, I would still expect between five to ten approvals this year. That would propel us forward and next year onwards it should be a higher rate.

Saion Mukherjee: And the limited competition opportunities you expect in this fiscal or next fiscal?

Sanjay Gupta: I would expect in this fiscal, but again, you don't have it until you have it, right? So, there are other people also trying for the similar opportunities. So, we'll see who comes out ahead.

Saion Mukherjee: Can you share your R&D number? And also, what's the expectation, what is it that you are factoring in as a full year spend?

Sudhir Menon: Currently it's around 5% and I don't think it's going to be materially different for the full year. So, I think 5% is the number for this year.

Moderator: Next question is from the line of Sumit Gupta from Centrum Broking. Please go ahead.

Sumit Gupta: In the domestic market, what is the MR count currently and by FY'25, how much do you plan to take it to?

Aman Mehta: The MR number in Q1 was 5,700, and we had mentioned last quarter that we expect maybe 300 to 400 reps addition by the end of the year.

Sumit Gupta: Second question is on the tax rate, do you still maintain 25% tax rate for the FY'25?

Sudhir Menon: No. FY'25 should be around 30%, the same as Q1, and maybe from next year, I should start getting into the new tax regime from India perspective. So, overall tax could be around 26%, 27%.

Moderator: Next question is from the line of Vibha Ravi from Citeline. Please go ahead.

Vibha Ravi: I just wanted to know what is the acquisition strategy going to be going forward, whether the company would be looking at brands via slump sale or is it also looking at stake acquisitions from say, promoters or from PE firms?

Sudhir Menon: I think it's a very complex question. I think all along, the acquisitions which we have done is either a business transfer through slump sale or company acquisition which was the recent one, right, Curatio which we did. So, all combinations are open I would say. Thinking would be more in getting

100% stake or whatever we plan to acquire.

Moderator: Next question is from the line of Bansai Desai from JP Morgan. Please go ahead.

Bansai Desai: My first question is on Indrad. We did see observations and a couple of them were repeat in nature. So, how should we think of resolution timeframe for this particular plant of ours?

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Sanjay Gupta: So, we would expect a response in the October timeframe from the FDA and we think there's a high likelihood that the FDA would approve the plant and the plant would be VAI or NAI. But we'll still like to wait and see because there were five observations and so we cannot be sure that will be 100%.

Bansai Desai: But response has gone from our side and we are now awaiting FDA to kind of comment on that?

Sanjay Gupta: Correct. There is a little bit more heavy procedure for a plant with the baggage that Indrad has for it to be reviewed inside the FDA for the status to be changed. It is a higher level of approval

I think, so

it takes some time. But by October, it should be there.

Bansai Desai: My second question is on Curatio. You mentioned that even quarter-over-quarter we have seen improvement in profitability there. Do we still have scope of improvement in that asset?

Aman Mehta: Yes, we do. Still some way to go.

Moderator: Next question is from the line of Tushar M from Motilal Oswal. Please go ahead.

Tushar M: Just on price hike in the India market, it's been now almost three, four years where similar kind of price hikes have been taken at the portfolio level. Just like to understand, how sustainable this is in terms of subsequently having the growth in India business based on the price hike?

Aman Mehta: It's been broadly in this range in the last couple of quarters and possibly should be okay in the next couple of quarters as well. Beyond that, we don't have like visibility, but should not be materially different, some quarters here and there there's a bit of a mix change, so reflection sometimes is higher or lower. This 6.5% to 8% price growth is what I think should continue.

Tushar M: Even largely on the similar set of the products within the portfolio, if you could clarify that?

Aman Mehta: Similar set meaning?

Tushar M: Across the portfolio, across the therapies, there are different brands and products that like so past two years the kind of price hikes we have taken is broadly for the same set of products or brands or it's different in different years?

Aman Mehta: No, it could be different across years depending on competitive situation, every year we take a call and based on overall absolute pricing or so sometimes we decide whether to take an increase or not take an increase. So, I would say it's very varied every year.

Tushar M: And just lastly on the US business, sales have been pretty stable quarter-over-quarter. Any comment on the price erosion on the base products?

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Sanjay Gupta: So, similar to previous quarters, I would say mid-single digit type of price erosion continues and now we are able to compensate for it by increased market share and some small launches here and there.

Tushar M: And do you still continue to see the API prices falling for your US generics portfolio per se?

Sanjay Gupta: Sudhir, you want to comment on API prices.

Sudhir Menon: We don't see any material impact on the API prices from our perspective.

Moderator: We have a next follow up question from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Aman, on the India business, if we were to hear the commentary and the strategy of some of the peers in the industry, everybody seems to be focusing on the chronic business and we still see Torrent doing particularly well in the chronic segment. One, have we changed the approach of how we are continuing to gain market share given competition, I know competition has always been there, but has there been any change and therefore change in the way we look at the India business strategy?

And is there a risk that either trade generic or the new competition could slow that growth in the chronic business, just your views on our chronic growth versus the competition?

Aman Mehta: Yes, there has been a change I would say, because obviously last couple of years everyone in the market has been focusing more on the chronic side. So, there has to be a response to kind of counter that or ensuring that at least we don't lose market share and try to gain market share. And a lot of that has been addressed through the expansion activities that we have undertaken over the last 12 to 18 months, which I believe are now showing meaningful results. So, that particularly in the cardiac, diabetes side are looking positive at the moment. Another thing on the cardiac side, particularly, if you recall, we had a high dependence on Losar, which was our number brand and which still is the number one

brand and there has been a systemic kind of approach to derisk cardiac portfolio from Losar because it's a very low growth brand now because it's a less preferred molecule. We now have adequate growth engines in place to kind of derisk Losar completely so that it doesn't affect our overall cardiac growth. So, Losar is a #1 ranked brand right now. I think in the next couple of quarters,

it will drop down the rank because there are brands growing significantly faster and the next year I think Losar should be down to rank #3. So, all these are the measures that we've taken to counter the recent changes in the market, and we believe this is a sustainable level of growth in the chronic side at least within 1% or 2% should be okay to sustain.

Moderator: Next question is from the line of Praful Bohra from Incred. Please proceed.

Praful Bohra: Sudhir bhai, the 12% to 13% growth that you mentioned in Brazil, this is in constant currency or the reported?

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Sanjay Gupta: No, constant currency.

Praful Bohra: Sudhir, the recent movement in Brazilian Real, it's almost come up from 16.5 to 14.9. How does this impact our overall growth numbers and the margins vis-a-vis?

Sudhir Menon: While revenues go down in terms of INR, the expenses also go down similarly, right. And therefore, to the extent of the profitability which Brazil has, that could be the impact which would be seen from a bottom line perspective and Brazil today for us is 10% of our revenue. That's the way to look at. The impact would not be significant.

Moderator: Next follow up question is from the line of Vibha Ravi from Citeline. Please go ahead.

Vibha Ravi: This is with relation to Takeda. So, this is with regard to the Vonoprazan deal as they said. Since Takeda is now licensed to others like Zydus and Dr. Reddy's, the growth trajectory you spoke about a positive response on launch, but how do you expect this trajectory to be effected? And the second question is also in continuation kind of to what Neha had asked earlier. You also spoke about more licensing deals. So, do you expect them to be in the same area where you are already currently strong or you're looking at certain white spaces where you would like to grow?

Aman Mehta: The Takeda license was always non-exclusive. So, there was always the likelihood of more players coming in. It should not materially change the trajectory of our current brand. There may be some loss of market share, but the absolute value should be quite reasonably good, I would say, for the year. Won't want to comment as of now on what the annual sales could look like because it's only been 1.5 months of launch, maybe next quarter we can share some light on that. But as of now, we remain rank #1 in the market. In terms of licensing deals, we prefer to add in our existing therapy areas, but we haven't restricted it to that. So, if there is any new interesting opportunity in a non-core focus area, that's something that also we are open for as well.

Moderator: Next question is from the line of Aarti Rai from Equentis Wealth Advisors. Please go ahead.

Aarti Rai: I had a question around the margin. So, during the last quarter, Q4, we did mention that there's a possibility of a margin expansion, say around 50 to 100 basis points. This was post, I mean factoring for the consumer health business, the spends around that and US being a very important driver at top and bottom line, so does that still hold true or there have been some changes there with respect to the margin expansion that they're looking at for the full year?

Sudhir Menon: No, no. I think the guidance given holds true. So, on a full year basis you should see that margin improvement happening.

Aarti Rai: The question comes in like where the US sequentially remains flat and that was supposed to be one of the key drivers as well?

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Sudhir Menon: So, I think for

the subsequent quarters, you will see some or the other launches coming in as far as US is concerned. So, at least that should drive positively to the overall performance of the company. That is what was implied earlier.

Moderator: Next follow up question is from the line of Sumit Gupta from Centrum. Please proceed.

Sumit Gupta: So, just want one clarification on the US business. So, you said that you expect the US business to be profitable post-R&D. So, by when -- is it next quarter or like, can you please explain the timeline?

Sudhir Menon: So, I think I cannot predict that because it all depends upon the new product launches, which will span out over the next two or three years and depending upon what kind of revenue sizes we have on all those product launches, it will depend when we can be reaching the profitable zone. But I think the indication for you is that so long we didn't have any new product launches, so it was quite negative on the overall performance from US. But with the new product launches coming in, at least from overall performance perspective, US is going to be positive. I think that's the way to look at for the next two to three years.

Sumit Gupta: And 5 to 10 approvals that you are targeting, so it will be including oncology, right?

Sudhir Menon: Correct.

Sumit Gupta: So, apart from oncology also, are there other significant therapeutic areas?

Sudhir Menon: Yes. I mean it's a diversified portfolio. And as you said, one of the therapeutic areas, oncology which will play out.

Moderator: Next question is from the line of Srinkant from Nuvama. Please proceed.

Srinkant: Just one question is on the domestic portfolio. The two products that we have in our portfolio,

Unienzyme and Vizylac. Both have been doing quite well and in fact in the ongoing quarter they have done quite a strong growth. If you can explain what is happening here and how should we look at the future for these two products?

Aman Mehta: Yes, I think this quarter was higher growth than the usual run rate, probably because also particularly in Vizylac last year, the acute season was a bit weak in Q1. So, this year is where I think that has kind of normalized. But going ahead both Unienzyme and Vizilac we believe low teens growth is what should be doable.

Moderator: Next question is from the line of Abdul Kadir Puranwala from ICICI Securities. Please proceed.

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Abdul K Puranwala: In your earlier remarks you mentioned that Losar will slip to #3 next year. So, could you highlight which are the brands in the cardiac portfolio which is growing faster and when we're talking about derisking the entire cardiac portfolio, going ahead, how should we look at from a new product launches perspective as well?

Aman Mehta: The better of sharing the brands once this rank change happens for comparative reasons, but there are adequate levers in place to at least ensure that the Losar-related slowdown in the cardiac portfolio doesn't really remain a concern anymore. There are at least kind of four to five different brands that have been selected and targeted over the last 12 to 18 months for this purpose, and those markets are all future growth markets where we have a very strong market share position. In terms of new launches, currently, nothing significant is expected in cardiac specifically. Some of the launches that we did last year were anticipated to do well, but somehow have not picked up in terms of prescriptions. So, they may take a longer period. And that's usually the case in some of these niche molecules that take time to get prescription traction. So, not much of new launches in cardiac that will drive, it will be more of the existing brands that should drive the growth.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Gupta, Executive Director of International Business for the closing comments.

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Sanjay Gupta: Yes, I'd just like to thank you for your interest in Torrent and we remain available to answer all queries going forward. Thank you very much. Have a good day.

Moderator: On behalf of Torrent Pharma, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

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"Torrent Pharma Q2FY25 Earnings Conference Call"

October 25, 2024

MANAGEMENT :

SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR (FINANCE
SANJAY GUPTA – EXECUTIVE DIRECTOR,
INTERNATIONAL BUSINESS
AMAN MEHTA – WHOLE-TIME DIRECTOR

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY25 Earnings Conference Call of Torrent Pharma.

As a reminder, all participant' lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – Chief Financial Officer & Executive Director, Finance. Thank you and over to you, sir.

Sudhir Menon: Thank you. Good evening and welcome to the 2nd Quarter Earnings Call for FY25.

We continue to see strong performance in our branded businesses, which accounted for 74% of the overall revenue this quarter. India business grew by 13% this quarter. Brazil grew by 17% in constant currency terms. And in terms of INR, it was 4% due to the currency depreciation. Germany grew at 8% in the quarter. And we continue to win additional tenders quarter-on-quarter. US grew by 8% and was flat on rolling quarter basis. This quarter, insulin revenues were impacted due to the shutdown taken in the month of August for maintenance activities. The facility will be released for manufacturing in December. Shortfall is planned to be significantly recovered in quarter four of this year and consequently there will not be any impact on a full year basis.

Broad Financial Highlights for the Quarter:

Revenues were at Rs. 2,889 crores, up by 9% and operating EBITDA at Rs. 939 crores, up by 14%. The operating EBITDA margins for the quarter stood at 32.5%. This margin accounts for the cost of 300 reps, which we have added so far this year. Adjusted for insulin revenue impact this quarter, the underlying revenue growth is 10% and operating EBITDA growth is 16%. Other income includes forex loss. Net debt to EBITDA stands less than 0.5x as at end of Quarter 2.

I now hand over the call to Aman for India Business.

Aman Mehta: Thanks, Sudhir. India revenue at Rs. 1,632 crores registered a growth of 13%. As per the AIOCD secondary market data, the IPM growth for the quarter stands at 8%. Torrent's chronic business grew at 14% versus the IPM growth of 9%, driven by continued traction in our cardiac divisions and OAD new launches. The cardiac business, which is our largest contributor, has grown by

15% during the quarter versus the market growth of 12% due to the restructuring that was undertaken last year, along with divisional expansion.

We continue to see positive traction in our Consumer Health business. We have expanded our coverage to 72,000 outlets from 68,000 outlets in Q1. Our key brands, Shelcal 500 and Tedibar in particular, continue to benefit from focused marketing campaigns across various channels,

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national and regional. On a MAT basis, Torrent has 21 brands in the top 500 of the IPM with 13 brands more than Rs. 100 crore sales as of MAT March 2024.

Field force strength at the end of the quarter stands at 6,000 compared to 5,700 in the previous quarter. We are encouraged by the performance in the recently expanded divisions and headquarters. This expansion is not only helping us gain regional market share in previously untapped areas, but will also provide a platform for new launches in the near future. We expect the India business to continue outperforming the market growth. Our focus during the year will be on continuing to improve our market share in focused chronic therapies, new launches, improving field force productivity in the expanded divisions and regions and continuing the scale up of the Consumer Health business.

I will now hand over to Mr. Sanjay Gupta for the International business.

Sanjay Gupta: Thanks, Aman.

We will start with the branded generic business of Brazil:

Q2 constant currency

revenue was at 174 million BRL, registering a 17% year-on-year growth.

As per IQVIA, market growth was at 8% for Q2. Secondary sales for Torrent as per IQVIA also grew at 8%. During Q2, we launched lisdexamphetamine for ADHD. It's a 800 million BRL market, and we are one of the two branded generic players. Our goal is to make this into a large brand, which in Brazil would mean annual sales above 75 million BRL. We have a rich pipeline of 21 molecules filed and waiting ANVISA approval. In Germany, our German business registered a constant currency revenue of 31 million euros, up by 6%. During the quarter, we once again won incremental new tenders, which will start delivering incremental sales from Q1 of 2025-26. For the last six quarters, we have increased our overall value of wins in tenders. Moving on to the US, We have registered constant currency revenues of USD 32 million, up by 7%. Sequentially, US businesses have delivered stable revenues. During the quarter, the USFDA has issued an EIR with a VAI classification for the manufacturing facility at Indrad and the inspection has now been successfully closed by the USFDA. The FDA also inspected our manufacturing facility at Pithampur and issued a Form 483 with one observation. Torrent will respond to the FDA observation within the prescribed timeframe.

I would like to conclude the comments here and open the call up for question and answer.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, just on the insulin front, this issue is more of a temporary thing and you think that this will get resolved soon or it might take longer?

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Sudhir Menon: No, so I think the plan is to release the manufacturing in the month of December. And then what we've said is quarter four, whatever shortfall has happened for the four months would be recovered. So, it's a temporary disruption. And therefore, on a full year basis, we should recover the revenue.

Tushar Manudhane: Understood. And sir if you could throw some light, let's say in terms of this GLP-1 set of products as far as India markets, how are we preparing, let's say to launch in the Indian market as and when sort of the regulatory approvals comes through. Will the manufacturing per se will be a constraint in terms of having this product available?

Aman Mehta: No, we are evaluating all options. Early days right now, but we are certainly working on possibilities whenever the launch is possible.

Tushar Manudhane: But just as a clarification like, unlike say other products as far as domestic formulation market is concerned, outsourcing is not that difficult. But do you think that these products particularly Liraglutide, Semaglutide will have the manufacturing constraint?

Aman Mehta: We are not manufacturing or planning to manufacture any GLP-1 at the moment, if that's what you're referring to. This is a CMO business that we are, the old business that we've had with Novo Nordisk for insulin, human insulin.

Tushar Manudhane: I meant to say, as and when we launch, will not having a manufacturing facility or maybe outsourcing, will that be a constraint even if the demand is there. So, that was the thought process.

Aman Mehta: No, don't think so, but again, early days, we don't have any specific updates as of now.

Moderator: Thank you. The next question comes from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My first question is on gross margin. So, we continue to see, I guess, positive surprise on gross margin. So, if you can comment what is leading to consistent improvement in gross margins and what kind of further levers are available from here on and where do you see this margin settling in?

Sudhir Menon: So, Damayanti, if you look at last year, f

ull year, the gross margins were maintained at 75 and

quarter one of this year we were a little higher, 75.7% and this quarter is even higher and that's because the branded mix in the overall revenue base is higher compared to last year as well as quarter one and that has pushed up the gross margins for Quarter 2. So, it's basically a function I would say, of the branded mix in the overall revenue base. But looking to the last year's base of 75 and quarter one base of 75.7, I think that should hold.

Damayanti Kerai: So, you think current level can be sustained or like can be further improved?

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Sudhir Menon: Yes, as of now, it looks so. Because the branded mix will not be changing substantially, I would say, at least for the next quarter.

Damayanti Kerai: My second question is on your efforts or initiatives towards the Consumer Health business. So, if you can share like what kind of incremental initiatives are ongoing and what kind of spend you are incurring to really step up the consumer business in India?

Aman Mehta: So, spends are two-pronged. One is on the ground through the retail activation and our field force. We keep increasing the number of covered retailers across the country, that helps the drive greater coverage and visibility and second is on the advertising, which is both traditional media and digital, depending on the quarter and seasonality and offtake. The spends keep varying from quarter-to-quarter but we can indicate that our spends this year so far have been higher than last year, because we do see that the consistency of the advertising is helping further sales traction, especially in Shelcal 500 and Tedibar.

Damayanti Kerai: So, very broadly, what percentage of sales is currently going towards the ANP for consumer business?

Sudhir Menon: So, Damyanti, it's difficult to segregate and tell you the revenue numbers because these products are already there on the prescription platform. So, we know what we are spending. The only thing what we monitor is that wherever we are doing these programs, what has been the growth, historical growth in these pockets versus the pockets where we are not doing these programs.

And we see a good positive outcome happening because of CHC programs that are carried on.

Damayanti Kerai: My last question is on the US business. So, I guess we continue to see a very gradual step up there despite now all the plants, all the key plants being cleared by the USFDA. So, how do you see US sales moving up from here on? And if you can also update in terms of the launches which you are planning for next 2 years or so?

Sanjay Gupta: So, US we don't expect a ramp up in the short term because most of our filed ANDAs are very old, right? Because of the lapse of time since the plants got into trouble. We expect low single digit approval of newer ANDAs and could largely compensate for the price erosions and things of that sort. So, I don't expect the US to ramp up anywhere very fast in the next 2 years. So, it'd be a slow ramp up, unless we get lucky with one or the other opportunities. So, we do have a few which might be a unique product, but we cannot predict because it depends upon the number of competitors that show up and if we get CGT or not. So, I would generally guide towards stable to slightly increasing revenues, but nothing more than that.

Moderator: Thank you. We have the next question from the line of Amey Chalke from JM Financial. Please go ahead.

Amey Chalke: Our first question on the India business. So, in India business, we have been growing well for the last few years. We have gained market share in value, which we could see the data provided by IQVIA and AIOCD. However, is it possible for us to give some clarity on the prescription

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market share again in our top 10 to 15 products over last one or two year? How has been the tre

nd there in some of our key products?

Aman Mehta: Prescription share is also gained. I don't remember the exact numbers offhand, but most of our focused brands in our chronic divisions and sub-chronic divisions have gained higher market share compared to the relative market, or the covered market. So, obviously the prescription

growth has to be followed by the market share growth, otherwise it's not possible.

Amey Chalke: And the second question I have, is it possible to provide the margin drivers for the next 3 years?

So, far, we have reached around 32% plus now. So, going ahead, what will be the key drivers from here? Is there any geography where you think if the ramp-up happens, the margins could improve? Or anything, any margin drivers you could highlight, please?

Sudhir Menon: So Amey, 2-3 things. I think as far as branded businesses are concerned, some amount of reinvestment keeps on happening every year. And that's something which I said in the opening call, where the quarter 2 P&L has already absorbed the full cost of 300 medical reps, which we have added this year. To that extent, the reinvestment from margins will keep on happening. But in spite of that, I think the general guidance which I have been giving is that we should see anywhere between 50 basis point to 100 basis point improvement happening every year. At least the way I look at for the next 3 years, as of today, I don't see some major investments happening in the branded business. As far as Germany is concerned, Germany is good, I would say, in terms of winning tenders. And there's a good amount of visibility for the next two years. So, I don't see any additional incremental spend happening in Germany as well. US as Sanjay talked about, right, I mean it's a slow ramp up which would happen for the next 2-3 years, which is only going to be positive on the overall performance of the company. So, nothing negative from there as well.

Amey Chalke: So, the way I understand it is the investment space is coming down. So, that's why the operating leverage will play out and that's how the 50 to 100 bps margin improvement will happen.

Sudhir Menon: So, there are two inherent levers, which we've always talked about. So, one is branded businesses' price increases, which we take every year. That's one lever. And the second is the operating leverage which plays out every year for us.

Amey Chalke: The third question I have is on the R&D spend. We have been doing, 5% of our topline on the R&D. Is it possible to give clarity on in what areas we have been spending? Because this has been quite consistent even during the time when we had issues with the US.

Sanjay Gupta: Correct, when we had issues with the US, what we did is we actually diverted a decent piece of the R&D budget towards the markets of Brazil, Mexico and Germany. And so we maintained the R&D spend and we cut down the part of the R&D devoted towards the US. So, hence, we don't intend at least as of today to substantially change the ratio of R&D to sales.

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Sudhir Menon: Amey, 2-3 things actually. So, in terms of absolute value, if you see the R&D spend has been going up. On the other hand, the branded businesses share has been going up, right? I mean, for example, Curatio acquisition, which we did in 2022, increases the revenue base. And therefore, as percentage to revenue, it's around 5%. If you look at an absolute value, it's been going up.

The only thing which is why it is not going up on relative basis is that the spend on the US, we had lowered, right? Because of the internal issues which we've had. So, I don't see substantial increase in R&D at least over the next one year. But if everything is starting to go right for US, we will see how to incrementally allocate the R&D for US.

Amey Chalke: And in terms of formulation, what all types of products are we putting this sp

end on, like in

terms of injectables or anything else which we are trying at this point?

Aman Mehta: I think most of the R&D spend which is done in house is on oral solids. The other types of platforms are partnered.

Sanjay Gupta: Inside oral solids are oncology, dermatology and classic oral solids.

Moderator: Thank you. The next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Could you please explain the insulin issue in a bit detail? What exactly happened, and how it will get fixed?

Sudhir Menon: So, as I said, there is a shutdown taken for some upgradation and maintenance activities. This was something, which was scheduled earlier, right? And what we said is, it's getting released in December. And we should recover the shortfall in quarter four, most of it.

Bino Pathiparampil: So, it was just a shutdown for a plant upgrade. That's it.

Sudhir Menon: Upgrade and maintenance activities, right? It happens once in two years or three years.

Moderator: Thank you. The next question is from the line of Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta: Sir, I have three question, first from the India side. So, now that 300 MRs are added, so what's the plan ahead? Do you plan to add more towards it? And what kind of MR productivity can be seen over the next two to three years?

Aman Mehta: 300 have been added this quarter compared to 5,700 previous quarter, which is what we had also shared last time. I think given how we are encouraged by the performance, we will be looking to add incrementally from here. So, maybe 100- 200 more end of this financial year and potentially a similar number next year.

Sumit Gupta: And the kind of MR productivity that we can target is?

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Aman Mehta: More or less should touch, I mean anyway currently it's around 9 lakhs if I am not wrong between 8.5 lakhs to 9 lakhs. Within the next 18 months, possibly it should be between 9.5 lakhs to 10 lakhs. It's a broad range.

Sumit Gupta: Second question on the US sales, so like what is the profitability, the US is not profitable post R&D?

Sanjay Gupta: So, we don't disclose profitability by territory. What we've said is that the US is at a breakeven pre-R&D.

Sumit Gupta: Post R&D, like by when can we expect the profitability to breakeven?

Sudhir Menon: So, the expectation is at least over the next three years, we want to make it a profitable business.

Sumit Gupta: And sir last question is on the CAPEX, so how much of CAPEX we plan to incur over the next two to three years?

Sudhir Menon: Around 250 to 300 per annum.

Moderator: Thank you. The next question comes from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Just one question. This insulin, can you share what's the revenue for that on an annual basis and is it fair to assume there was no revenue this quarter?

Sudhir Menon: Yes, so ideally per quarter revenue ranges between Rs. 75 crores to Rs. 80 crores and this quarter has a shortfall of almost Rs. 40 crores.

Saion Mukherjee: And just one last question on Brazil. You had good growth. But if I look at the first half, I think the growth is around 12 odd percentage. Is that the right thing to look at? Because I understand, there was some disruption in Q1 and there was a spillover of sales etc. We just want to understand the underlying trajectory because you mentioned IQVIA is indicating a 8% growth.

Sanjay Gupta: Correct. I would say that it's somewhere between 8 and 12 but closer to 12.

Moderator: Thank you. The next question is from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead.

Alok Dalal: Aman, can you provide split of volume, price and new products for India?

Aman Mehta: Yes, so as per the AIOCD data set, our growth for the quarter is 12%. Breakup of that is 1% of volume versus 0.2% of the market, 8%

price versus 5.5% of the market and 3% new products
versus 2.4% of the market.

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Alok Dalal: Sanjay bhai, what will be the guidance for Brazil for the full year? You expect grow to remain in this range only?

Sanjay Gupta: Correct. So I would stick with the double-digit topline growth, I mean, in Brazil, traditionally, historically, the second half is a little better in invoiced sale. So, just the way the wholesalers work. So, yes, I think the market should continue to be 8%-9% and we should be higher than the market growth rate.

Alok Dalal: And what is the plan for new launches in Brazil?

Sanjay Gupta: We have an aggressive plan. So, we have three teams in Brazil, two CNS teams and one CND team. And then on top of it, we have a generics division. So, ideally we would like to launch at least one to two products a year for each division. And for generics about at least five products a year, 5 to 10.

Moderator: Thank you. We have the next question from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Coming back on India, so I guess we continue to see very muted contribution from the volume expansion, low single digit. What is the outlook here? Should we assume going ahead also volume contribution will remain muted in low single digit and majority will be contributed by price and new launches? How do you see volume moving up in the broader market?

Aman Mehta: So, Compared to the AIOCD data, our reported growth is higher by, I think, about 1%. So, that we attribute to volume. And we have to look at it from a combination of volume and new products growth, because in our case, its some of our mature products which are now being the share is now shifting to the newer products. So, once the new product growth normalizes into volume growth, it should all be volume. So, if we look at right now, the break up is about 4% between new products and volume. So, our estimate is somewhere around 3% is what the volume growth should be, and that should continue.

Damayanti Kerai: But what are your thoughts like? In the India market, obviously, we are seeing this low contribution overall for last couple of quarters. So, what is attributing mainly for this kind of muted, I guess, contribution from the volume?

Aman Mehta: No, we still believe that the market growth cannot be as low as 8% and volume growth cannot

be this low because we simply cannot grow volumes at that rate as we are reporting if the market growth was that slow. So, our estimate of the market growth is higher than what's in the data sets by at least maybe 2%.

Moderator: Thank you. The next question is from the line of Rahul Jeevani from IIFL Securities. Please go ahead.

Rahul Jeevani: Can you quantify the quantum of forex losses which is sitting in other income for this quarter?
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Sudhir Menon: Yes, it's around 22 crores, Rahul.

Rahul Jeevani: And sir, on the debt position, at least if I see the 1H number, our net debt is largely flat versus FY24. So, what kind of repayment have we seen in 1H?

Sudhir Menon: So, if I correctly remember, Rahul, the gross debt was roughly Rs. 3,900 crores as at March 24, which has come down to 3,000. So, the gross debt is 3000, on a net debt basis it's become 1800. We've repaid actually 900 crores in H1.

Moderator: Thank you. We have the next question from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Just to follow up on gross debt. Rs. 900 crores we have repaid in H1. Any more quantum repayment expected in H2?

Sudhir Menon: Yes. I think we should be repaying around 500 to 600 at least.

Rashmi Shetty: What about FY26 similar annual number?

Sudhir Menon: I think FY26 we should be net cash.

Rashmi Shetty: And just one on US business. With the Indrad also now coming out and receiving the EIR, how many new launches are planned, at the

company level from the facilities as well as your partner products put together?

Sanjay Gupta: It would be single digit number of launches.

Rashmi Shetty: And this would be high single digit launches?

Sanjay Gupta: I actually cannot say because we got the EIR. but it takes several months post EIR for the FDA to approve the product. So, we think at least mid-single digits should get approved in a 12-month period post EIR.

Rashmi Shetty: But otherwise this base price of \$32 million quarterly run rate, it would be maintained in the subsequent quarters also?

Sanjay Gupta: Yes, our endeavor is to maintain and to enhance the new product.

Moderator: Thank you. We have the next question from the line of Anubhav Agarwal from UBS. Please go ahead.

Anubhav Agarwal: Just one question from me on the India business. So, the expansion of field force by high single digit percentage on annual level, what is the primary dominant factors there for example are you increasing your doctor coverage share predominantly or this is largely for the new launches in the same divisions or you increasing more divisions?

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Aman Mehta: It's a combination of all three, more divisions, more coverage, more territorial reach all three together and we have seen pretty good results in the expansion done in the last 18 months as a result. So, wherever we see, which ever division of brands are yielding results within a certain period of time, we decide to take further expansion actions if required as well.

Anubhav Agarwal: First point on the doctor coverage, do you think that there is a potential to cover significantly more number of doctors that you're covering right now and is there a merit, first of all instead of growing this field force by 7%-8% versus growing at 12%-13% or thereabouts for example and covering more doctors taking more market share from the smaller companies?

Aman Mehta: Yes, because we are just not adequately present in some non-metro towns where we believe that there is justifiable reason for us to enter.

Anubhav Agarwal: Aman, can you give us an example just to understand a little better, for example, when you say non-metro towns, for example, I am in Mumbai, so just take Nasik as an example what do you quote?

Aman Mehta: So, if I look at Ahmedabad, for example, then nearby towns would have been covered from Ahmedabad historically, and that kind of compromises your frequency and coverage and total kind of extent of coverage. But if you have a full base in a nearby town which now has adequate population, population who is never a concern, adequate doctor presence, that's where you can increase and it justifies the need for your presence full time in that region or headquarter. And that is where we are seeing that that addition is really helping some of the chronic divisions, the sub-chronic divisions particularly in gastro where we are seeing a significant uptake.

Moderator: Thank you. We have no further questions at this point. Ladies and gentlemen, I would now like

to hand the conference over to Mr. Sanjay Gupta, Executive Director of International Business for closing comments. Over to you, sir.

Sanjay Gupta: Thank you. We would like to thank you for your participation today. We continue to remain focused to grow the company in our branded generic market and to remediate and start growth in the US market as soon as possible. And thank you.

Moderator: Thank you. On behalf of Torrent Pharma, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jan 2025

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"Torrent Pharmaceuticals Limited Q3 FY25 Earnings
Conference Call"

January 24, 2025

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR (FINANCE)
MR. AMAN MEHTA – EXECUTIVE DIRECTOR, INDIA
BUSINESS
MR. SANJAY GUPTA - EXECUTIVE DIRECTOR ,
INTERNATIONAL BUSINESS

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Moderator: Ladies and gentlemen, good day and welcome to Q3 FY25 Earnings Conference Call of Torrent Pharma.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – Chief Financial Officer and Executive Director (Finance). Thank you, and over to you, sir.

Sudhir Menon: Thank you. Good evening and welcome to the 3rd Quarter Earnings Call for FY25. We continue to see strong performance in our branded market, which accounted for 76% of the overall revenue this quarter. India business growth for Quarter 3 was 12%, and on a YTD December basis, the growth is 13%. This quarter has the cost of 200 reps, which we have added. And on a YTD December basis, we have added 500 reps. Brazil's constant currency growth for the quarter is 10% and on a YTD December basis, it's 12%. Brazil's currency depreciation impact for this quarter is around 17%. Germany grew at 4% this quarter and YTD December it's grown at 7%. We continue to win incremental tenders quarter-on-quarter, giving visibility on a high single digit growth for the future periods. Insulin revenues during the quarter is nil. As guided in the previous quarter, the facility was released for manufacturing in December. And dispatches have commenced from January 2025. We should see some amount of spillovers in the next quarter revenues.

Coming to the key "Financial Highlights" for the quarter:

Revenues were Rs. 2,809 crores, up by 3%, and on YTD December basis it's 7%.

Operating EBITDA was Rs. 914 crores, up by 5%. And operating EBITDA margins have sustained at 32.5%. Insulin, which is a temporary impact this quarter, the revenue growth impact is 2%. BRL depreciation impact for the quarter on the topline is 2%. Normalizing for both, the underlying revenue growth for the quarter is 7% and operating EBITDA growth is 12%. While insulin impact along with some spillover over Quarter 3 and Quarter 4 will come back, we expect BRL depreciation in fact to continue for couple of quarters more. The board today has recommended an interim dividend of Rs. 26 per equity share or 520% of the face value. I will now hand over the call to Aman for India Business.

Aman Mehta: Thanks, Sudhir.

India revenue at Rs. 1581 crores registered a growth of 12%. As per the AIOCD secondary

market data, IPM growth for the quarter was 8%.
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Torrent's chronic business grew at 14%, versus the IPM growth of 10%, driven by outperformance in cardiac, diabetes, and gastro divisions.

Cardiac, which is our largest business contributor, has grown by 16% during the quarter versus a market growth of 10% due to the restructuring that was undertaken last year along with divisional expansion.

We continue to see positive traction in the Consumer Health business. We have expanded our coverage to 75,000 from 72,000 outlets in Q2. On a MAT basis, Torrent has 20 brands in the top 500 of the IPM, with 13 brands more than Rs. 100 crore sales as of MAT December 2024.

Field force strength at the end of the quarter stands at 6200 compared to 6000 in Q2. We continue to be encouraged by the performance in the recently expanded divisions in headquarters. This expansion will help provide a platform for new launches and also increase our territorial reach and help us gain market share in previously untapped areas. We expect the India business to continue outperforming the market growth.

Our focus during the year will be to continue improving our market share in focus therapies, new launches, improving field force productivity in the ex

panded divisions and continue to scale up on the Consumer Health business.

I will now hand over to Mr. Sanjay Gupta for International Business.

Sanjay Gupta: Thanks, Aman.

We will start with the branded generic market of Brazil. Based on internal sales, Q3 constant currency revenue was BRL 203 million, which is 10% year-on-year growth. As per IQVIA, market growth was at 12% for Q3. Secondary sales for Torrent as per IQVIA also grew at 14%. During Q3, growth was aided by 5 recent launches, specially two drugs, our ADHD drug lisdexamethaphine and our combination of rosuvastatin with ezetimibe. We have a rich pipeline of 20 molecules, filed and waiting for ANVISA approval.

Moving on to Germany, Our Germany business registered a constant currency revenue of 31 million euros, up by 4%. Higher growth in the tender segment was negated to some extent by setbacks in the OTC segment. During the quarter, we won incremental new tenders which will start delivering incremental sales from Q2 of next year. For the last 7 quarters, we have increased our overall value of wins in tenders.

In the US, we registered constant currency revenues of \$32 million dollars, down by 3% on a flat quarter-to-quarter basis. Sequentially, the US business has been delivering stable revenues. During the quarter, the USFDA issued an EIR with the VAI classification for the manufacturing facility at Pithampur. I would like to conclude our opening commentary and open the floor up for questions.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: My question is regarding insulin CMO business. So, you have started supplies again. And correct me if I am wrong, you earlier mentioned the normal run rate for this segment is Rs. 75 to Rs. 80 crore per quarter, right?

Sudhir Menon: That's right.

Damayanti Kerai: Okay, so in fourth quarter, do you expect full recovery to come in plus some spillover or it will go back to the normal level of sales?

Sudhir Menon: So, there would be spillover. So, over and above run rate of 75-80, there should be a significant spillover which you will see in Quarter 4.

Damayanti Kerai: And this business revenue is largely passed on to EBITDA, right? It's a service business.

Sudhir Menon: You are absolutely right, because what happens is that although the manufacturing is not happening, the manufacturing overheads continue to get incurred. So, if you see the field there, the manufacturing expenses are coming but the material margins are not coming.

Damayanti Kerai: My second question is on Brazil. So, in constant currency, you maintain good growth and outpacing the overall market growth. But in view of the currency depreciation, should we assume similar trends to continue the way we have seen in 2nd Quarter, 3rd Quarter? And just want to confirm, fourth quarter is generally the largest quarter for you in Brazil, right? So, whether that will play out this fiscal or because of currency, we might not see it?

Sanjay Gupta: So, we expect past trends to continue. So, you should expect a bigger fourth quarter as in all previous years. And there is a little bit of variation, right? Last quarter, the growth was 17%.

This quarter is 10%. But IQVIA is a pretty good reflection at 14% of the underlying trend of the

business. So, about the currency, you would not see an impact in this fiscal year. But as you know, in Brazil every year, the prices get revised by the government, which is implemented in April. So, I would be expecting a higher level of price increase allowed to us by the government, more in the close to the double-digit number as compared to middle or single digit in the last three, four years. So, let's see what happens, but I would expect a price compensation from the government starting in A

pril.

Damayanti Kerai: Okay, and my last question is, if you can update us on your gross debt or net position as of December quarter?

Sudhir Menon: So, I think on the net debt to EBITDA basis, we should be at 0.51.

Moderator: Thank you. The next question is from the line of Sumit Gupta from Centrum Broking. Please go ahead.

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Sumit Gupta: Can you provide us split of volume, price and New Launches for the Indian market?

Aman Mehta: Yes, breakup in AIOCD for the quarter is 12% growth for Torrent versus 8% of the market. That's broken up into 1.5% volume, 8% of price, and 2.5% of new products. The volume of the market is close to zero.

Sumit Gupta: Okay, and there could be 5% to 6% in price, I suppose?

Aman Mehta: Yes, I already mentioned 8% in price and market is 5% in price.

Sumit Gupta: And sir, how many MRs are there at the end of Q3?

Aman Mehta: Q3 is 6,200.

Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Aman, sorry, I couldn't hear your comment on the cardiac weakness and what's driving that and how we're trying to address that. So, apologies, but if you could please repeat that for me?

Aman Mehta: Sorry, question was about?

Neha Manpuria: I think in the opening comments you mentioned about some weakness in the cardiac segment and some restructuring there, I couldn't quite catch it.

Aman Mehta: No, in fact, it was quite the opposite. What we mentioned was that our cardiac growth was 16% versus 10%. And that's due to the restructuring and expansion that we did last year.

Neha Manpuria: Is there any other segment in India where you are seeing growth probably not in line with our expectation and therefore requires more work? And where exactly are we adding this 500 MRs that we have increased in this last year?

Aman Mehta: Yes, I think compared to the trends from last year, the CNS market is a bit slow this year, maybe by 2%- 3%. So, our growth in CNS is higher than the market, but the market growth is definitely slower. But our overall performance is offset due to the stronger growth that we have seen in some of these other areas like gastro and cardiac and diabetes. These three have been really driving the growth for us this year. What was your other question?

Neha Manpuria: The MR addition, in which areas have we added the 500 MR?

Aman Mehta: Which areas? Essentially in these three areas that I mentioned where we are seeing this higher traction of growth, which are cardiac, diabetes, gastro. Some in some of the smaller areas where we are probably very low market share and just trying to get a higher share. It won't be too meaningful, but most of the additions are in these areas, which is essentially chronic and sub-chronic.

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Neha Manpuria: Understood, okay, that's helpful. My second question, Sudhir, the BRL impact would probably have been there in the SG&A cost as well, right? Is that the reason why the SG&A cost has moderated quarter-on-quarter?

Sudhir Menon: You are right. One of the factors is BRL depreciation.

Neha Manpuria: Is there anything else? And how much of it was the decline is the BRL? And is there any other factor you'd like to highlight?

Sudhir Menon: Yes, OK. Let me give you some data points, actually. So, quarter one adjusted for that one-off of Rs. 20 crores which we had guided. The other expenses were 690. And quarter two, 729, which had some amount of one-off smaller one. So, if you average out quarter one and quarter two, we are talking about 705 average. Against which, we have done 673 this quarter. Of which, the BRL depreciation impact is roughly Rs. 10 to Rs. 11 crores. The second item is there is a savings in manufacturing cost which we have seen to the extent of Rs. 10 crores. And that's something which was an

anticipated, I would say, because in winter, the energy consumption goes down. Right? I mean, so that's the second factor. The third factor is there's some amount of efficiency which we got in freight expenses versus quarter two, quarter one. And that's to the tune of maybe Rs. 6 to Rs. 7 crores, I would say. And the rest, which is may be Rs. 6 to Rs. 7 crores is lower sales and marketing expenses, which were planned basically for Quarter 3. Neha Manpuria: And this 10 to 11, given this currency continues where it is, will probably even continue in the next quarter at least, till the time currency reverse?

Sudhir Menon: I would think so.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: So, the US sales has been pretty stable. In fact, while we continue to get some approvals, but there has been not so meaningful pickup despite the regulatory clearance now in place now for quite some time. So, if you just throw some light in terms of the outlook for US business?

Sanjay Gupta: Outlook at that, right now it will be a slow pickup because the ANDAs that we have filed have become old, right? So, the new filings in the last few years have been low single digits. So, the launches that we have had have been low single digits and that offset the price decreases that we have been facing, but it doesn't lead to meaningful growth. So, I don't expect the picture to change in the short run, so it will take some time before the new filings are meaningful enough to have an impact.

Tushar Manudhane: Understood. And so what's the gross margin for this insulin business, approximately?

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Sudhir Menon: Tushar, there is something that we have not shared earlier, but on an overall basis if you see the gross margin for the company has been 76 versus 76.6 in Quarter 2, right? So, there is some amount of impact both because of the BRL depreciation and probably insulin business.

Tushar Manudhane: Or interestingly, despite this business reducing, we have not seen the reduction in the gross margin, or that is getting sort of more than offset by the other segment. How do you think about it?

Sudhir Menon: Yes, if you see, the contribution of the branded businesses have gone up. So, it's almost at 76%. And that's aiding us to sustain the gross margin at 76%.

Tushar Manudhane: And lastly sir if you could share now, and that the traction has been very positive for Consumer Health business, so, if you could share what kind of revenues we are getting from this on a quarterly basis, in terms of price, volume, if at all you can further break down?

Aman Mehta: So, the contribution remains in the similar range as the earlier quarters. It's not a business that can have much variation in such a short period of time. I think somewhere between 10% to 15% of total India business is what I believe should be the broad 4 or 5 brands contribution in the consumer business. It's a question of how much are we investing right now and how much positive traction are we seeing in each individual brand. Some of them didn't show much positive traction, so we have slowed down the spending. Some brands are showing higher traction, so we're increasing spending. So, the net spend remains pretty much in the same level. And YTD basis, our consumer spending has been, I would say, higher than last year by some amount. And I think it should continue to increase next year as well.

Moderator: Thank you. The next question is from the line of Abdul Kader Puranwala from ICICI Securities. Please go ahead.

Abdul Kader Puranwala: Just first on Brazil revenues, in the past you talked about some constant currency growth of a mid-teen kind of range and then we had one or two product approvals also. So, in Brazil if you could help us understand what is the base business growth, excludin

g the launches what you have done in the recent past?

Sanjay Gupta: Generally, what we have guided is that Brazil is intrinsically a double-digit market, right? So, now what varies is the price increase. Volume increases are pretty low on the base increase, right? You know when I look at the India volume increases, it sounds kind of familiar to me from these markets also. Price increases are really dependent upon the government. So, traditionally it's been about 5% a year. And then new product launches, it varies. If you have had big launches, it has a bigger impact. Our general guidance is, take market at 10% and take Torrent at mid-teens level.

Abdul Kader Puranwala: And second is on the new tenders, what you expect to come in Q2 of next year. What should that translate in terms of growth for Germany? I mean, how should we look at Germany panning out for next year in terms of growth?

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Sanjay Gupta: Correct, correct. So, I mean, in Germany, the tenders have a two-year shelf life. So, you actually have a pretty high degree of visibility on the tender business, and you've seen that I think last

year, Quarter 3 we did 30, this year we did 32. So, yes, it's an uptick and we continue, but it should not be offset by other business which is OTC products. So, we're trying to improve that and hopefully it'll be cumulative growth from both these segments.

Abdul Kader Puranwala: Got it. And it's a final one on India and Brazil. So, I mean, considering the GLP products going off in both of these markets in March 26. So, I mean, what is the launch strategy? Are we going to be among the first wave of launches? Have we already started filing this product in those markets? Or will we wait for the market formation to happen and then decide the strategy?

Aman Mehta: Our plan is to be there on day one of launch in GLP-1. Cannot comment anything further at this stage, but that's certainly the endeavor. That's for India and for Brazil also similar.

Moderator: Thank you. The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Sir, my question is regarding India market. So, like, obviously, you continue to outweigh the market growth. But according to you, like why we are seeing this muted volume trend in market for like prolonged period of time? And how do you see this moving up in coming periods?

Aman Mehta: It's difficult to comment on anything specific at the moment. I think the general chronic market where our focus and investments have gone in, has not really seen that kind of slowdown. So, our kind of view on the other segments would not be fair to make at this stage because we don't understand it as much. But the segments we are present in, we are not really seeing that kind of an impact. YTD, if you see the reported growth of Torrent is 13% for the India business, 12% for this quarter. So, obviously without the volume growth for the market, YTD, we would not have been able to grow either. So, while our performance has been aided by new launch performance as well, generally in this segment, we have not seen that much of an impact on the market volumes.

Damayanti Kerai: Sure. And my last question is tax and interest expense during the quarter, 3rd Quarter, where I get less than the previous quarter, etc. So, are these are the new base or how should we look at tax rate and interest expense in the coming quarter?

Sudhir Menon: So, Damayanti, the interest will keep on going down quarter-on-quarter because repayments are happening right, so there's something which will continue and what we believe is probably next year or extending it by another two quarters next to next year, we should be net cash. So, you will see good amount of repayments happening over the next few quarters. So, interest expenses will keep on going down. As far as tax is concerned, from next year we are entering i

nto the new

tax regime, which would mean overall effective tax rate of 25% for us from now on.

Damayanti Kerai: Starting 26 right?

Sudhir Menon: FY26, yes.

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Damayanti Kerai: Okay and just on this debt reduction part, so you will be cash positive most likely in second half of FY26 with more repayments happening?

Sudhir Menon: Not FY26, I said FY27 first half.. That's something which I am stretching right I mean so I think I should be there.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Sir, on the markets, the RoW markets, we have had a reasonably flat number of close to Rs. 300 crores for the last few quarters now. How should we think about the growth outlook for this piece?

Sanjay Gupta: Generally, you should think about an annualized growth in the high single digit, low double digit percentage, this is the standard trend, but it's a wide mix of markets with different trends. And we are trying to kind of prioritize a few of them to make them into a bigger opportunity. So, I think you will see some parts of these do well on a sustainable basis and then the growth to be more in the double digit range than some quarters where we are experiencing single digits. So, more to come here, but I think that's all I can disclose at this point in time.

Aman Mehta: And just to add, I think some countries have a much higher growth rate in double digits or teens as well. It's because it gets offset by occasional loss of tenders in some other region. So, that's why it ends up being in the high single digit, low double digit, but the endeavor is to create a more higher concentration on the higher growth markets over the next 2- 3 years.

Nitin Agarwal: And secondly, you touched upon this India and Brazil GLP-1 launches. But I mean, forget our, in terms of what, keeping aside what we intend to do in the market, what is your take on, I mean, how does a broader GLP-1 market really shape up in India and Brazil? How, upon market formation, do you see that being a seriously large opportunity for all the players involved? Or there could be some negative surprises here?

Aman Mehta: I think in India, historically the GLP-1 market has not been very big compared to some of the regulated markets. It's been much smaller, but we believe this upcoming wave will probably be on the higher side and larger off-take compared to the past historical brand launches or recent other GLP-1s. I think the acceptance probably will be on the higher side for the Indian population

as well. So, probably a much bigger opportunity than the earlier GLP-1s, but how much, to size right now, it's very hard to say. We are quite optimistic on this space and we will be looking for a reasonably significant share in this as well.

Nitin Agarwal: What is the normalized level for this insulin business on an annualized basis?

Sudhir Menon: Revenue per quarter should be 75 to 80 is what I had earlier mentioned. Quarter 4 will be little higher because of the spillovers which are going to happen.

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Nitin Agarwal: In the past we used to report close to Rs. 150 odd crores in this business. There is more to it than the insulin part in this business?

Sudhir Menon: It's around 300 on an annualized basis, Nitin.

Nitin Agarwal: Okay, so basically whatever that we report in others, we knock off on annualized this Rs. 300 crores from here, rest all is RoW sales?

Sudhir Menon: Yes.

Moderator: Thank you. The next question is from the line of Vivek Agarwal from Citigroup. Please go ahead.

Vivek Agarwal: My question is related to the broader picture on margins. In this quarter, we have seen the impact of different factors like insulin, currency, etc. So, it would be helpful if you can give some color on how to look at the overall m

argins in 4Q as well as the next year and some of these factors that impacted this quarter might get reversed. Thank you.

Sudhir Menon: Yes Vivek, the only thing I can say is that if BRL depreciation hadn't happened this quarter, the margin should have been higher than 32.5 which we have reported. And therefore I think from a Quarter 4 perspective, I still feel that 32.5 is the thing which we can maintain. And on a full year basis, that would mean that last year I think the operating EBITDA was 31.4 and this year we should close at around 32.5, I would say. So, 110 basis point improvement already done this year. So, I don't expect much beyond this because that's been our earlier guidance that every year our margin should go up between 50 to 100 basis point. I think next year, I think I still believe because of the branded segment having significant contribution to the overall revenues, the margin improvement, which is 50 to 100 basis point, should continue. I think this year US has been negative, but we expect some launches to happen next year as far as US is concerned. So, at least next year that negative contribution which is coming this year from the US should not be seen next year. So, all the more I believe the margin improvement of 50 to 100 basis point should continue next year in spite of some reinvestment happening in the branded business, I would say.

Vivek Agarwal: Understood, that is very clear. And on GLP-1 actually you have mentioned that you are confident of getting significant share in this space. So, what makes you confident? If you can just clarify on this. Thank you.

Aman Mehta: The endeavor is to match our current share in the overall diabetes and chronic space which has been increasing year-on-year. So, if you are able to get a market share of a similar level which has been seen in the recent new launches, particularly in diabetes, that itself is a significant share.

So, the recent new launch performance gives us at least the comfort to have the ambition to have this share. But as I mentioned, it's still early to comment on the size and the exact opportunity that's ahead of us. But the plans are definitely getting in place.

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Vivek Agarwal: So, is it fair to assume that the product is largely going to be prescribed by the cardiologists, diabetologists, etc. and the companies who have strong presence in the segment have a kind of right to win?

Aman Mehta: That would be the assumption, yes. It would be predominantly diabetes patients and those who consult, let's say consulting physicians who also see diabetes patients. So, it would be a similar segment to what we are covering right now.

Vivek Agarwal: Understood, And just last question again on GLP-1. In India, it will be required to conduct clinical trials, especially for the final submission. So, have you made that progress as far as the clinical trials, etc.? Thank you.

Aman Mehta: Yes, that's currently ongoing.

Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Sudhir, just first one on your comments on the whole net cash in the next couple of years. So, I want to understand what are the capital allocation priorities? We typically never reach there. We announced an acquisition before. So, just historically I am saying, but just want to understand what are some of the priority areas for us in terms of allocating this capital.

Sudhir Menon: Srini, that is something which is a work in progress, maybe I can give you some color, a couple of quarters down the line.

Shyam Srinivasan: Sudhir, but just in terms of areas, I am not asking for the transactions you are looking at, but I am just saying what are the areas? Is it India? Is there any rank order of the geographies or therapy areas? Is there any non-India geographies we're looking at? So, any broad direction

color is what I am looking at.

Sanjay Gupta: So, our standard top priority always has been India, right? That's where we have the best track record and experience and the highest degree of comfort. Branded generic market, generally we have not been very active because the number of opportunities in our core markets have been few and far between. So, like Brazil for example is very rare to have a transaction in that market and Mexico has its own challenges. So, I would say the prioritization is India, Branded Generics and then of course we are open to some opportunities in developed markets of Germany and the US also, in particular specified areas. So, yes, that is the prioritization.

Shyam Srinivasan: And from a valuation perspective, I think that's been one of the key pushbacks from your end to making these transactions. I know maybe early days on in the overall market correction, but are you seeing assets or in your BD discussions, are you seeing transactions which are mark-to-market lower in terms of valuation and coming closer to where your payback periods could likely be?

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Sudhir Menon: No, Shyam. Currently, we are not seeing any such opportunity coming in.

Moderator: Thank you. The next question is from the line of Madhav from Fidelity Group. Please go ahead. Madhav: Just one question from my side on GLP-1 for the India market. What could be our sort of supply chain strategy like do we plan to make it in-house or will it be completely outsourced because at least what my basic understanding is that you need to get the API, then there is a formulation, then there's the assembly etc. So, that's quite a few steps. So, do we plan to completely outsource everything or would we do something in-house?

Aman Mehta: No, the injectable GLP-1 would be partnered. The oral GLP-1s would be in-house. That's the current plan. Madhav: By partner, you mean it could be fully outsourced, the production, so we buy the finished unit and then we sell in the market, is that right?

Aman Mehta: That's right, yes. Madhav: So, just one follow up, at least again very basic understanding of the space is that generally for injectables it's better to have the production in-house because only then the margins are good.

Otherwise, a lot of the margin is captured by the manufacturing partner. Is that the right understanding for injectable GLP-1s as well or not?

Aman Mehta: It's too speculative right now, I feel, but it's definitely not in that sense, it has to be remunerated for a partner like us as well, otherwise we would not be really able to spend on the investment in market shaping. So, in that sense, it may not be similar to some of the past examples. But again, it's too early to comment on this right now.

Moderator: Thank you. The next question is from the line of Vivek Agarwal from Citigroup. Please go ahead.

Vivek Agarwal: Again, this is related to GLP-1. As the market has not formed yet, and if let's say, first commercialization, first market formation, if there is a kind of negative surprise, right? So, what do you think basically, whether it's going to be the demand side challenges or do you think it can be a supply side challenge?

Aman Mehta: Probably more on the demand side because it's uncertain right now what exactly the off take will be like. Supply side, over time, at least our current view is that there may not be too much of a constraint. We believe there are a lot of investments going into this space within India and globally as well. So, maybe initially potentially there may be but over a one year-two-year period that should not really be a constraint is what we believe. What the actual demand in off take looks like that is obviously still yet to be seen.

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Vivek Agarwal: So, in the initial 1-2 years, do you think that there may still be some kind of supply chain constraints?

Aman Mehta: Less probability but we can't rule it out.

Vivek Agarwal: And just one more question, you have mentioned that you are making some kind of investments in the market formation. So, can you just clarify what kind of investments you are making in

market formation in the sales force, promotion or what? Thank you.

Aman Mehta: No, as of now, it's again, we can't comment specifically on this, but if anyone like Torrent, for example is to launch a product which is not there in the Indian market, it has to be more of a information dissemination and education exercise which has to take place which whoever would be the first few players to launch would be undertaking that activity. So, that's what's being referred to.

Vivek Agarwal: Thank you. And just a related question on Brazil. So, compared to India, how we think market formation in that particular market?

Sanjay Gupta : So, Brazil, what has happened is that Novo has been supply constrained massively. So, while the market is very big, I mean, I think I don't have the data on the current size of the market. It's hundreds of millions of dollars. But it's hard to estimate the size because the supply has been very tight. So, I can't really comment, but we would expect the volume to increase substantially because there has been demand and supply constraint in place since quite a few years.

Vivek Agarwal: And so last question, are you more optimistic on India or on Brazil for this particular product?

Sanjay Gupta : I am optimistic on Brazil and Aman is optimistic on India.

Moderator: Thank you. The next question is from the line of Anubhav Agarwal from UBS. Please go ahead.

Anubhav Agarwal: So, I am just continuing the discussion on GLP only. So, one question on India market. So, which class of drugs under diabetes would this largely displace? Will it be Gliptin, which will get impacted?

Aman Mehta: It all depends on the pricing. What price point do the GLP-1s come in? But either way, it's going to be a large gap in the current price of therapy for, let's say, gliptins or GLP-2s and the GLP-1s that may come in the future. So, it should not really be a significant dent on the existing OAD market because the price cap will just be too large.

Anubhav Agarwal: Actually, that's what my second question was, because most of the gliptins, even if you take the generic Sitagliptin today, the tablet costs about 10 bucks a day, monthly cost would be about 150, let's say twice a day and unlikely that the injection of GLP-1 will be available at less than Rs. 500. So, that's the question that, was that you were referring to that the demand issue that the price difference will be 5x of the other option?

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Aman Mehta: I don't know about 5x but certainly there will be a gap between the existing products on the market, the tablets especially, and the injections, for example, in GLP-1. So, that obviously reduces your addressable market overall, though it's still a large-sized market when you look at diabetes plus obesity put together. So, it's not that it completely rules out a segment. There's enough new patients that also can be added. And lower volumes of patients with a higher price means the market would still be large. That's assuming the off take is of a significant level, which is again still too early to kind of give any clear view on at this stage.

Moderator: Thank you. The next question is from the line of Dheeresh Pathak from WhiteOak Capital. Please go ahead.

Dheeresh Pathak: The insulin business gross margins are at company average, right?

Sudhir Menon: No, it would be lower than the overall gross margins at the company level.

Dheeresh Pathak: 5% lower, 10% lower, the range would help.

Sudhir Menon: I can't comment on that. But it's definitely lower than the overall average.

Dheeresh Pathak: In the Brazil business

, what is our net exposure? We will have costs also in local currency. So, can you share like a net exposure and how you hedge it?

Sudhir Menon: So, I think as a policy, what we do is we hedge for the next 12 months. So, it's basically a cash flow hedge, right? And therefore, the further depreciation happening, there's no impact on the cash, I would say. So, it's basically the translation of the foreign currency financials to INR is where you see that impact coming in. But because of the hedging, there is a minor cost I would say because of the hedging cost versus hedging premium differences, I would say. So, it's not impacting much on a cash basis I would say.

Dheeresh Pathak: So, just to understand what percentage of the revenue that you show in Brazil would have cost in local currency, is it like 40%, 50% of that revenue would have local cost?

Sudhir Menon: No, so I think as far as Brazil COGS is concerned, that's entirely getting manufactured from India. So, that when you consolidate accounts, it actually falls down to your INR cost, as far as COGS is concerned. But since it's a marketing company, the middle line which is there is largely in local currency.

Dheeresh Pathak: That would be roughly 40% at least of the revenue?

Sudhir Menon: What I would tell you is maybe if you can go to our website and look at the Brazil financials of FY24, you will get an idea as to what is the extent of local currency expenses which are happening.

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Dheeresh Pathak: And when you are reporting, you are reporting at the spot exchange rate and the hedge gain or loss you are showing in other expense is that the accounting is working?

Sudhir Menon: So, different items are converted by using different exchange rates. For example, as far as the income statement is concerned, it's an average rate which is used for converting the balance sheet, most of the items are converted at the closing rate. And something like share capital is converted at the original cost base.

Dheeresh Pathak: And the hedge gain would have shown in other expense, right? In other income or other expense? How do you show this? So, what I am asking is, you book at spot or you book at the hedge rate when you show the revenue?

Sudhir Menon: No, hedge gains come by way of other income or other expenses. But Quarter 3, we have a forex gain, overall forex gain, not from BRL, but from other currencies, which are part of other income.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from Dam Capital. Please go ahead.

Nitin Agarwal: Just a quick one on Brazil. Where are you on your approval process for Semaglutide? By when do you think your approval will come through?

Sanjay Gupta: So, we expect to be there when the market opens up, but I won't be able to share further details with you.

Nitin Agarwal: But you expect to be, and this is what the market opening should be happening with the patent expiry in Jan, right? Or do you see a different time for that?

Sanjay Gupta: 2026.

Nitin Agarwal: Jan 26?

Sudhir Menon: March.

Nitin Agarwal: Around the time basically, basically first calendar quarter of 26?

Sanjay Gupta: Correct.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Gupta, Executive Director of International Business for closing comments.

Sanjay Gupta: Thank you everyone for your interest in Torrent Pharma. Wish you a good weekend. Thank you, bye bye.

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Moderator: Thank you. On behalf of Torrent Pharma that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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"Torrent Pharmaceuticals Limited Q4 FY25 Earnings
Conference Call"

May 20, 2025

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR (FINANCE)
MR. AMAN MEHTA – WHOLE TIME DIRECTOR
MR. SANJAY GUPTA - EXECUTIVE DIRECTOR ,
INTERNATIONAL BUSINESS

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Moderator : Ladies and gentlemen, good day and welcome to Q 4 FY25 Earnings Conference Call of Torrent Pharma.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – Executive Director , Finance and CFO.

Thank you, and over to you, sir.

Sudhir Menon: Thank you. Good evening and welcome to the 4th Quarter Earnings Call for FY '25 . We continue to see strong performance in our branded market, which accounted for 73% of the overall revenue this quarter. India business growth for Quarter 4 is 12%.

In Brazil, our constant currency growth for the quarter is 5%. There was a channel destocking in Quarter 4 due to an expectation of low-price increase for '25-26, which has impacted sales for Quarter 4. The Brazilian Real depreciation for the quarter was 11%.

On the generic side, U.S. business grew at 15% and Germany grew at 2%. We continue to win incremental tenders in Germany, which should help us deliver high single -digit growth for the future quarters.

"Financial Highlights" for Quarter 4 , Revenues were Rs. 2,959 crores , up by 8% year -on-year. Operating EBITDA was Rs. 964 crores , up by 9% Y-o-Y. And the operating EBITDA margin stands at 32.6%.

There was a one -time impact during Q uarter 4 of Rs . 17 crores on gross margins . This was on account of inventory revaluation of an in -license product which went off -patent. Adjusted for the same, the underlying operating EBITDA growth for the quarter is 11% with operating EBITDA margin at 33.1%. The overall leverage, which is net debt to EBITDA, now stands at 0.62.

The Board has recommended a final dividend of Rs. 6 per equity share.

I now hand over the call to Aman for India Business.

Aman Mehta: Thanks , Sudhir .

India revenue at Rs. 1,545 crores grew at 12%. As per the AIOCD secondary market data, the IPM growth for the quarter was 8%.

Torrent's chronic business grew at 14% versus the IPM growth of 9%, driven by outperformance in cardiac, diabetes, gastro, CNS and dermatology divisions.

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Cardiac , which is our largest contributor , has grown by 15% during the quarter versus the market growth rate of 10% due to the restructuring that was undertaken last year along with divisional expansion.

We continue to see positive traction in our Consumer Health business particularly in the Curatio brands. On a MAT basis, Torrent has 21 brands in the top 500 of the IPM with 14 brands more than Rs. 100 crore sales as of MAT March 2025.

Field force strength at the end of the quarter stands at 6 ,400 compared to 6 ,200 in the previous quarter. We are encouraged by the performance in the recently expanded divisions and headquarters. We believe the expansion will help us provide a platform for new launches and also increase a territorial reach and help gain regional market share in previously untapped areas. In the upcoming financial year, we expect the India business to continue outperforming the market growth and our focus in the upcoming year will remain on improving market share in the expanded areas and headquarters and improving the new launch performance.

I will now hand over to Mr. Sanjay Gupta for International Business.

Sanjay Gupta: Thank you, Aman.

We will start with our branded generics market of Brazil. As based on internal sales, Q4 constant currency revenue was Brazilian Rea l 234 million, registering a 5% year -on-year growth. As per IQVIA, market growth was 7% for Q4. Secondary sales for Torrent as per IQVIA also grew by 13%. We

filed a lot of products during Q4 and as of today , we have 63 molecules filed and waiting for ANVISA approval.

Moving on to Germany, our German business has registered a constant currency revenue of €31 million , up by 1%. During the quarter , we won incremental new tenders , which will start delivering incremental sales from Q3 of '25-'26. For the last quarters, in each quarter we have increased overall our value of wins in tenders.

In the U.S., we have registered constant currency revenues of \$35 million up by 10%. Growth is essentially coming from enhanced volume of purchases by customers under existing contracts.

I would like to conclude here and open the call up for questions.

Moderator: Thank you very much , sir. We will now begin the question -and-answer session. The first question is from the line of Saion Mukherjee from Nomura Securities. Please go ahead.

Saion Mukherjee: My first question is on the insulin business. So , if you can share the revenues, have you seen improvement in 4Q? And in the backdrop of innovator deciding to discontinue sales, how should we think about the impact for fiscal '26, both on top line and margins?

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Sudhir Menon: Saion, Quarter 4, we did Rs. 75 crores of insulin business. And what was your second question, Saion? If you could just repeat.

Saion Mukherjee: So, how this is going to shape up for next year?

Sudhir Menon: It should more or less remain at the same level, which is a quarterly run rate of 75.

Saion Mukherjee: Okay, so the Novo's decision to discontinue doesn't impact your business?

Sudhir Menon: No, it doesn't impact because we manufacture vials for them and they have discontinued pens, I would say.

Saion Mukherjee: And my second question was on Semaglutide. Have we made the filings in Brazil and do we expect to be there on day one?

Sanjay Gupta : No, I prefer not commenting about individual product strategies. Actually, the approval for this product would not be so straightforward. So , it's hard to predict as to when we would be on the market. So, I would refrain from making predictions about Torrent and about our peers .

Saion Mukherjee: Understood, but what about India? Are we ready for day one , launch in India?

Aman Mehta : Yes, India first wave is looking likely at the moment for both the injectable and the oral.

Saion Mukherjee: And oral also you expect to launch in March next year or it will be sometime later?

Sudhir Menon: The exact date is not certain, but it would most likely be in the first wave of any generic launch.

Moderator: The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hi, thank you for the opportunity. My question is on Brazil segment. So , in view of this channel destocking , how should we look at the segment growth for FY '26? And I think the currency issues remain , so, overall, what kind of impact we can see on the overall EBITDA margins?

Sanjay Gupta: So, I will speak about the top line in local currency and maybe Sudhir will answer the question on the currency and the EBITDA margin impact. So , on a like-to-like, on a constant currency basis, we expect the business to grow in double digits. So , in the range of 10 % to 12 % , a few percentage points higher than the market. So , the last two years, we have seen the market grow at about 9 % . So, we expect to be higher than that by 2 % to 3% points .

Sudhir Menon: Yes, and Damayanti , I think if you look at Quarter 4, the BRL has appreciated by 5%. So , Quarter

3, the depreciation was 17%, Quarter 4 has come down to 11%. We should see some improvements happening for the next year. Having said that, Brazil contributing only 10% of my overall revenue, the impact is not that significant on the bottom line. There would be some impact, but it's not significant.

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Damayanti Kerai: That's good to hear. My second question is on India business. So, again, if you can bifurcate growth between volume, price and new launches. And you have been maintaining obviously above market growth consistently. But at current level, do you have like more visibility on say more synergies from Curatio or what will be sustaining this above market growth for India in coming quarters? And just I think on the operating margin part, should we assume 32% EBITDA margin is something which you will sustain in near term?

Aman Mehta: So, the breakup of India business, our reported growth is 12% and the reflection in AIOCD for the quarter is 14%. The breakup of that 14% is 4% volume against 0.2% of the market, 7.4% price versus 5.3% price growth of the market and 2.3% new products versus 2.3% of the market new products.

In terms of Curatio, I think, yes, the revenue growth has been quite accelerated, I would say, over the last couple of quarters. This full year, I think, the Curatio portfolio has grown around 18% or 19%. It has become, I would say, relatively sizable in the total India business now and we believe that the upcoming year at least our ambition is that the growth should be potentially higher than the previous year as well.

We are seeing pretty good traction in all the investments that have been made and the territorial expansion where there was not enough presence before. They are all giving us pretty good results and we continue to reinvest in those brands and those divisions. So, overall, I think Curatio portfolio should continue accelerating the overall India business growth profile as well.

Sudhir Menon: And, Damayanti, on the margin story, I think we will wait for Quarter 1 and then probably directionally we can guide you.

Damayanti Kerai: Just a clarification on Curatio. As Aman mentioned, you still see a lot of room to even expand from here on. And that should be one of the key drivers for India business in coming quarters.

Aman Mehta: That's right.

Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Yes, thanks for taking my question. My first question is on the U.S. business. Sanjay, you mentioned that the growth so far has come from volume growth in existing contracts. When should we start seeing traction in new launches now that the facility is cleared and should we assume a step up in U.S. in '26?

Sanjay Gupta: So, I think it will be, you know, we have launches from the product that we had filed a few years ago. So, there would be, let's say, close to 5 to 10 launches each year. But the value of those launches is a little bit not so high because of the delay that we have had in getting approvals for these ANDAs. But as we ramp up launches of new ANDAs, which were filed in the last two years, you would see that. So, I would expect not much impact this year, more impact next year and even higher impact in the year afterwards.

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Neha Manpuria: So, FY '27 is probably when you see a better traction.

Sanjay Gupta: Correct.

Neha Manpuria: And my second question, Sudhir, usually we have mentioned that we should be able to grow margins by 75 to 100 basis points historically. Any reason for reserving the guidance this time around given that U.S. will improve, we are talking about double-digit growth in Brazil and India continues to do well?

Sudhir Menon: No, I mean, nothing of that sort, Neha. Usually, end of Quarter 4, I try and avoid giving any guidance and then based on Quarter 1 results, it's more clearer where we are heading for. But you are right actually, given the branded business contribution which we have and that two or three levers playing out every year for us, there needs to be an improvement coming in. The only additionally thing I would like

to guide you is that there is some increase which we believe will happen on the R&D side, not significant, but against 5 maybe moving towards 5.4 kind of a number. So, that's something additionally which will play out next year, and therefore my comment, that let's wait for Quarter 1 so that directionally I can tell you for the full year what kind of EBITDA margin improvement can happen.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: Sir, just with respect to this Semaglutide business prospects, I would like to understand that in terms of like many companies are gearing up for, let's say, launching in first wave. From availability of a product perspective, from a manufacturing perspective, you think it's a constrained or we got to tie up with a specific select companies or there were multiple suppliers available for this product?

Aman Mehta : No, as far as we are concerned, we have secured supply for the launch. For the injectable, as mentioned, it's a partnered product. And the oral product will be in-house developed where we have adequate capacity. So, we don't see any constraint.

Tushar Manudhane: And even for selecting a partner, like as far as Torrent's tie-up is concerned, just to understand were there are multiple suppliers or vendors available and so choosing a partner or the number of partners relative to other products, let's say, when you sort of think about launching in India market, this had a limited number of supplies.

Aman Mehta : So, the best way to judge this is by looking at how many companies are working on the clinical trial of the product, which is publicly available information. Now, judging by that number, it's looking like there will be multiple players coming into the market for sure. It is the question of when their trial is completed and when their entry into the market is approved. So, depending on whoever is the first wave, that could define a lot of the market share trajectory for most of the companies.

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Tushar Manudhane: And further addition of MRs in FY '26, if you could guide for that number as well?

Aman Mehta : Yes, so we closed this year at 6,400. Additional expansion is already underway. So, maybe by the end of Q1, we should have 200 to 300 more. And potentially for the end of the year we may be between 6,800 to 6,900.

Moderator: The next question is from the line of Bino from Elara Capital. Please go ahead.

Bino: Hi, good evening. There is this product Eslicarbazepine in the US. I believe you are a first to file exclusivity holder and have a settlement with the innovator. One of your competitors have already launched the product. May I know if you have launched as well?

Sanjay Gupta: Yes, we have launched a product and we have north of 20% market share in this product. But the generic pricing on this is not a very attractive price.

Bino: And did you launch it in Q4 or Q1 now?

Sanjay Gupta: We launched it on day one, which was in Q4.

Bino: And second, sir, I saw that you have taken an enabling resolution for raise of funds. So, is that anything particular in mind?

Sudhir Menon: No, there is nothing specific in mind. We do this every year. And this is the practice that we have been continuing, I think, probably since last more than five years, I would say. So, it's only an enabling resolution, nothing specific.

Moderator: The next question is from the line of Vivek Agarwal from Citi Group. Please go ahead.

Vivek Agarwal: Yes, thanks for the opportunity. So, my question is related to Brazil. If you can help us understand, sir, how many MRs or the salesforce that we have at this point of time? Have you increased the number of people on ground in the last few years? And how to look, let's say, over the next two, three years, as far as the number

of people?

Sanjay Gupta : Correct. So, we have about 330 MRs in Brazil. And so essentially, we had two teams, one team in Cardio and one team in CNS. And over the last two years, we have added an additional team in CNS. So, now we have two teams doing that.

Our plans for the future, right now, we don't have any plans in the short run for this year. And we will see how the business develops, how the new products perform, and then we will take a call. But we will give some guidance when it comes, right? So, in the future, when we are ready to add. Unlike India, like we are not that mature to add people today. We don't have plans.

Vivek Agarwal: Understood, thank you. And if we look at the MR productivity, right, so I don't have any clarity what kind of the productivity that is there in Brazil. So, if you can help us understand basically

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how far you are from the normalized level of productivity in Brazil or is it, for example, the productivity already optimal? So, how we should think from that perspective?

Sanjay Gupta : At present, because of the recent addition of these 120 people, our productivity is below where it was before. So, it's roughly 200,000 BRL per month.

Vivek Agarwal: And again, actually, the question is on MR, but it's from India, right? You are saying that this particular year you expect to add around 600 to 700 MRs. So, any particular segment where you are adding or is that going to be across the board?

Aman Mehta : No, it will be across a few divisions and maybe two different therapy areas. We are looking at

maybe 400 to 500 new MR additions this year.

Vivek Agarwal: And last question, if I can squeeze in. As far as the Curatio is concerned, this year the growth was quite decent and 18%-19% kind of. So, how far or at what level as far as the margins are for this particular business? And do you still expect that the margins can improve from here on in this business?

Aman Mehta: Yes, because currently we are still reinvesting in that business. And I would say a reasonable kind of margin is being reinvested in the platform. Maybe next 1-2 years that may be required and then over time it should start tapering down and that's when the margin would further likely expand. It's already come up quite a lot from the pre-acquisition level, but there is certainly a scope to increase significantly from here as well.

Vivek Agarwal: And sir, when you talk about 6,800 to 6,900 MRs, does that include Curatio?

Aman Mehta: Yes, that includes about 600 to 650 MRs in Curatio as well.

Moderator: The next question is from the line of Dheeresh Pathak from WhiteOak. Please go ahead.

Dheeresh Pathak: The comment that you made looks like R&D spend is going to be up like 20% or so this year. So, where are you investing in R&D this year?

Aman Mehta: So, there is a few territories which is seeing an increase including India. India, we are adding complex products which require higher investments than the usual approvals that we have seen in the past. So, that's one lever. And a few products in Brazil and some of the other territories where Sanjay can add as well.

Sanjay Gupta: So, we have started adding complex products to the U.S., the kinds that need between \$5 million to \$10 million as against what we had before, which were oral solids where the range is typically \$2 million per product. So, there is an aspiration to go into more complex products in the U.S. which are a little bit more expensive as they require clinical trials.

Dheeresh Pathak: Bulk of the increase is attributed to U.S. in FY '26?

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Sudhir Menon: So, it's more branded segments versus U.S., I would say.

Aman Mehta: India, Brazil, mainly. Large part of it, actually.

Moderator: The next question is from the line of Shrikant

from Nu vama. Please go ahead.

Shrikant: Hi, good evening. Thanks for the opportunity. Two questions. First is on the domestic MR expansion. Which specific therapies have we added these MRs in last year?

Aman Mehta: So, last year, we shared that we had most of the expansion done in the chronic therapies and in sub-chronic which will include gastro. And the upcoming year expansion would be within chronic as well.

Shrikant: And the second question is on Semaglutide market in Brazil. So, can you please elaborate more the market dynamics there in terms of the current market size and the kind of competition you expect and the kind of volumes that are there?

Sanjay Gupta: Yes, so currently the product has been in short supply. So, the market size is, it's kind of hard to turn down. It will be north of 500 million. But the exact size is hard to gauge.

Shrikant: And once the product goes off-patent, what sort of competition do you think will enter there?

Sanjay Gupta: So, there would be, I would say, between 5 to 10 filers, but then approvals are not straightforward. So, we have seen that the filers are there even in more advanced markets like the U.S., but the approvals are much lesser.

Shrikant: And how should we think about the price erosion once it goes off-patent?

Sanjay Gupta: It will depend upon the number of competitors honestly. So, I think we will wait for that comment.

Shrikant: Okay, no problem.

Moderator: The next question is from the line of Rahul Jeewani from IIFL Securities. Please go ahead.

Rahul Jeewani: Yes, thanks for taking my question. Sudhir, you had earlier pointed out that the insulin CMO sales which we had logged in 2Q and 3Q would get recouped in 4th Quarter. But that doesn't seem to have played out. So, do you think that business has got lost and hence you are pointing to this insulin CMO sales are standing only at a Rs. 75 crore per quarter kind of a number going forward?

Sudhir Menon: No, I think there was some amount of destocking which was done by the principal. And therefore, Quarter 4 sales at 75. You are right, I mean, the sales should have been higher. Our expectation is, some catch up would happen in Quarter 1 and Quarter 2, what was not there in Quarter 4. But broadly, I indicated yes. I mean, the same run rate should minimum get

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maintained for the current year as well. But there should be some catch up which is happening in one quarter.

Rahul Jeewani: We are guided to almost Rs. 120 crore of sales getting recouped in Quarter 4. So, do you think that the same quantum will get recouped in Q1 and Q2 or the numbers could be lower now because of, let's say, whatever dynamics are playing out in the insulin market?

Sudhir Menon: Rahul, I have actually not taken stock of what's happening for Quarter 1. Maybe once we have Quarter 1, I can give you directionally what kind of incremental sales will happen in insulin business.

Rahul Jeewani: Sure, sir. That's it from my side.

Moderator: The next question is from the line of Charul Agrawal from Bank of America. Please go ahead.

Charul Agrawal: Hi, sir, thank you for taking my question. I wanted to understand more about the consumer health segment. How are you thinking in terms of increasing the expense from here basis the kind of traction that you are seeing?

Aman Mehta: Yes, so we have maintained the same number of brands that are on the platform, which right now it's mainly four in a meaningful way. We continue to invest in these four brands. We are seeing pretty good traction across all of them in relation to the spend that is being done. I would say, out of the four, maybe two brands are taking up, say, 50% to 60% of the spend, or rather 60% to 70% actually, and the other two are about 30%. So, overall, relative to the investments being made and the size of the relative brands

, they all seem pretty good acceleration. The two main arrowheads being Shelcal and Tedibar.

Charul Agrawal: So, do we expect the spend to be at similar level or can it go up significantly from here?

Aman Mehta: From the previous year's base, it would increase slightly. Not anything major, but there would be a high single-digit increase.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Just the first one on the U.S. business, \$130 million revenue annually. If you could double click on the traction part, I thought you said fiscal '27 is going to see a much larger traction than '26.

So, I was very surprised. I thought we have an imminent launch coming up for Entresto and many other products as well. So, just curious to know why the traction comes next year, not this year.

Sanjay Gupta: So, Entresto has been an interesting journey, actually. So, basically, we have seen that there has been a kind of delay in the launch of generics on this product. We were anticipating the first generic four-five months ago. And at present, we are anticipating a generic in the course of a Torrent Pharmaceuticals Limited

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quarter, July-August timeframe. And then we expect multiple entrants at the same time or in a short window.

So, I don't think the opportunity is as big for the generic industry as it was a few months ago. We have approvals on this product, and now we would be launching as soon as possible and as soon as our settlement agreement allows us in line with the terms in that agreement. But it's going to be a multiplayer opportunity whenever it happens.

Shyam Srinivasan: Yes, but the date is 15th July, right? That's when the pediatric exclusivity ends, right?

Sanjay Gupta: Correct

Shyam Srinivasan: And you expect multiple players there?

Sanjay Gupta: You can see all the approvals on the FDA's website.

Shyam Srinivasan: Fair enough. So, in the sense, we did 1% growth for U.S. this year fiscal '25, what's the likely guidance then for '26?

Sanjay Gupta: I mean, my goal right now is to, so, I have a few opportunities to launch products. So, I would say in the coming year, I will expect to launch about between, say, 7-8 products. And some of them, so we just launched that Eslicarbazepine. We just launched Esomeprazole granules. So, we have launched another one which is Diclofenac sachets. So, we are launching.

These are smaller products, but I think in the end if we have 7 to 8 launches, it will add up to a meaningful figure which will help us in compensate for the price erosion as well as other things that happen in the U.S. market in terms of share loss or new competitors or things of that sort. So, I would say that for the next 12 months, my goal would be some growth in the right direction without trying to quantify it.

Shyam Srinivasan: Understood. Helpful. If I were to look at the balance sheet, Sudhir, I think you said 0.6 net debt EBITDA. Sorry if I caught the number wrong. So, what are the usages of cash as you looked in fiscal '26, what you generate?

Sudhir Menon: No, so I think the priority is to repay and bring down the debt, right? And which I think maybe by first half of FY '27 or maybe Quarter 3 of FY '27, I should be able to prepay everything and should get into net cash. Rightly for FY '26, the goal is to use whatever cash flows or excess cash which is available to prepay or repay the debt which I have on my balance sheet.

Shyam Srinivasan: Understood. Helpful.

Moderator: The next question is from the line of Dheeresh Pathak from WhiteOak. Please go ahead.

Dheeresh Pathak: Yes, thank you again. So, I missed that comment on Brazil that you are making. So, Sema, you

said the market is 500 million and do we have a filing and when do we expect market formation?
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Sanjay Gupta : So, let me clarify. So , the market was about half a billion at the end of 2023. And then at the end of 2024, the Novo Nordisk launched Wegovy and the market was about 880 million reais. I am talking in reais. Currently we expect the market, we don't have data, analyzed data, but I would expect by the end of 2025 the market to be about 1 billion reais. And that's where I would expect it to be at the end of this year.

Just extra polating on the current size and the current trend that I am seeing . We have access to the product and reserve. So, we have signed up with a partner who has the dossier and we would be expecting an approval , but it's highly uncertain. People who have filed long ago in the U.S. or in Brazil have still not received approvals. So, I don't know. It's not a straightforward product which would get approval like on Day 1 of patent expiry. Hence, our reluctance to make predictions on the timing of launch on the way it would go from, but we would be have access to the product .

Dheeresh Pathak: When is the market formation expected? And are we expecting to be in wave one or subsequent?

Sanjay Gupta : So, my current expectation is wave one. The only thing which I cannot tell you is how wide is the wave. So , technically it starts in 2026, right? And we would expect at least one player. So , there is one company which is, you know, I would expect one very large Brazilian company which has its own product and which has also filed in the U.S. So, I would expect them to be close to the date of patent expiry, but it's up in the air as far as everybody else is concerned.

Dheeresh Pathak: And w ould you have a sense of the market in terms of volumes? You gave me a value, 1 billion reais, but we have it in volume like how many pens or auto injectors or how many patients you think are there?

Sanjay Gupta : No, I don't actually have that data with me. So , I have been monitoring the value growth and obviously the values correspond to it because the price has not evolved a whole lot in the last two, three years. But ye s, we can provide you with that data if you are interested . Our Investor Relations will be happy to provide that.

Dheeresh Pathak: Okay, we will reach out to you. Thank you so much.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Gupta for his closing comments.

Sanjay Gupta: Thank you very much for your interest in Torrent . We conclude today's call here and w e hope to speak to you soon. Thank you. Bye bye.

Moderator: Thank you. On behalf of Torrent Pharma , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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"Torrent Pharmaceuticals Limited Q1 FY'26 Earnings
Conference Call"

July 28 , 2025

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR (FINANCE)
MR. AMAN MEHTA – EXECUTIVE DIRECTOR , INDIA
BUSINESS
MR. SANJAY GUPTA - EXECUTIVE DIRECTOR ,
INTERNATIONAL BUSINESS

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Moderator : Ladies and gentlemen, good day and welcome to Q1 FY '26 Earnings Conference Call of Torrent Pharma.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – Executive Director, Finance & CFO.

Thank you and over to you, sir.

Sudhir Menon: Thank you. Good evening and welcome to the 1st Quarter Earnings Call for FY '26. We continue to see strong performance in our branded markets, which accounted for 72% this quarter. Our two largest branded markets, India and Brazil, each delivered healthy double digit growth. India business grew at 11% and Brazil grew at 16% in constant currency. On the generic side, US business grew at 19% and Germany grew at 9%. The Euro growth for Germany was 1% mainly due to supply disruption at the thi rd party supplier this quarter.

Coming to the key highlights for Quarter 1:

Revenue is at Rs. 3 ,178 crores grew by 11%. Operating EBITDA at Rs. 1 ,032 crores grew by 14%. This quarter, other expenses include acquisition related one -off expenses of Rs. 15 crores. Adjusted for this one -off, the underlying operating margin for the quarter stands at 32.9%. Net leverage stands at 0.45.

I will now hand over the call to Aman for India Business.

Aman Mehta: Thanks, Sudhir. India revenues at Rs. 1 ,811 crores registered a growth of 11%. As per the AIOCD Pharma Trac secondary market data, the IPM growth for the quarter stands at 8%. Torrent's chronic business grew at 13% versus the IPM growth of 9% driven by outperformance in cardiac, diabetes, gastro and CNS divisions. We continue to see positive traction in our consumer health business, particularly in the Curatio brands. On a MAT basis, Torrent has 21 brands in the top 500 of the IPM with 14 brands more than Rs. 100 crore sales as of MAT June 2025. Field force strength at the end of the quarter stands at 6,600 compared to 6,400 in the previous quarter. We are encouraged by the performance in the recently expanded divisions and headquarters. This expansion will help us to provide a platform for new launches and increase our territorial reach and gaining regional market share in previously untapped areas. We expect the India business to continue outperforming the market growth. Our focus during the year will be to continue to improve the market share in focus therapies, new launch

performance, improve field force productivity in expanded divisions and regions and continue the investments and scale -up of the consumer health portfolio.

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I will now hand over to Mr. Sanjay Gupta for the International Business.

Sanjay Gupta: Thank you , Aman. We will start with our branded generic market of Brazil. Based on internal sales, Q1 constant currency revenue was BRL 143 million, registering a 16% Y -on-Y growth.

As per IQVIA, market growth was at 5% for Q1. Secondary sales for Torrent as per IQVIA also grew by 14%. Growth was aided by the performance of top brands and new launches. In Brazil, we have a rich pipeline of 62 molecules filed and waiting for end -user approval.

Moving on to Germany , our German registered a constant currency revenue of €32 million , up by 1%. Growth was impacted due to supply disruption at a third -party supplier. In the US, we registered constant currency revenues of US \$36 million, up by 16%. Growth is coming from increased purchasing on existing contracts and achieving targeted market shares in recent launches.

Operator, we can open the call to questions now. Thank you.

Moderator:

Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hi, thank you for the opportunity. My first question is, can you explain the Forex loss which you have booked in other income? So, that's my first question. And how much is the number?

Sudhir Menon : So, Rs. 48 crores is the Forex loss which we have booked in other income and a major part is on the EURO -USD pair, I would say, where the euro has appreciated almost by 10% this quarter.

So, it's more of translation losses, which I believe going forward, you should start seeing some of them reversing.

Damayanti Kerai: Okay. So, it should reverse in coming quarters. And in Brazil, I understand the currency situation is not as, I think, severe as what we had seen in the previous quarter, right? So, compared to the constant currency growth and reported growth, I understand that difference has come down.

Sudhir Menon : So, Damayanti, if you see last full year, the currency depreciation was around 15%. And since then, I think it's appreciated by almost 10%. So, still there's a depreciation of 5%. So, you see that 5% difference between constant currency growth and INR growth.

Damayanti Kerai: Okay, got it. Coming to India, I have a few questions. So, first, if you can break down the India growth into the components, volume, price, and new launches ? And also, if you can talk a bit more on like your MR expansion plans.

Aman Mehta: Yes. So, our growth reflected in the AIOCD Pharma Trac data is 12.2%. The breakup of that is 3.5% volume, 6% price, and 2.5% new products. And this is against, I think, 8% growth of the market for the quarter. And in terms of expansion, I think nothing really new from the last quarter that we shared. Essentially, it's the same expansion that's been executed in the chronic segment.

We have added 200 MRs this quarter. I think a similar number may be added by the end of Q3

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this year. So, give or take, the plans remain the same. That may be 6,900 to 7,000 MRs should be on boarded by the end of the financial year.

Damayanti Kerai: Okay, that's helpful. And my last question is in Brazil. So, you mentioned there are 62 products awaiting for approval. So, can you update , a few years back, I believe the approval cycle in Brazil were very lengthy. So, have you seen improvement in the approval cycle? And when do you expect these 62 approvals to come, say over 3 -4 years, or it could be even further?

Sanjay Gupta: So, it depends upon the type of submission, right . So, some of these are clone submissions from other company's approved products. Hence, the clone submissions in Brazil generally take 6 -9 months. Some of these will take between 30 -36 months. So, essentially, what we are looking forward in Brazil is we have three divisions, and we are looking at 2 -3 product launches per division per year.

Damayanti Kerai: So, around 8 -10 launches we can expect per year, right?

Sanjay Gupta: Correct.

Damayanti Kerai: Okay, that's helpful. Thank you.

Moderator: Thank you. Our next question comes from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Yes, thanks for taking my question. My first question is on the margin, the adjusted margin of 32.9%. Sudhir, you didn't really give us a margin guidance last time. So, based on the performance of the first quarter, would it be fair to assume that this is the run rate or slightly better probably as we go through the year given the branded growth?

Sudhir Menon : Yes, that's what we expect, Neha. Minimum what we have reported in quarter one should

continue for the rest of the quarters.

Neha Manpuria: And my second question is on Germany. The supply disruption that we mentioned, if you could give some color on when this would n

ormalize, or do we expect this to continue to impact us for a couple of quarters?

Sanjay Gupta: Neha, unfortunately, I won't make a prediction, at least a couple of quarters.

Neha Manpuria: And what is this related to exactly, Sanjay?

Sanjay Gupta: So, in Germany, 75% of our business comes from third -party products, right? So, we have a lot of partnerships. And so, one of our partners has had some supply issues linked to regulatory requirements. Hence, it has a major impact on growth. And so, well, we are kind of a little bit hostage to the situation in the sense it's not within our direct control. And some products we are

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sourcing through other places, or we're bringing them in -house, but it will take some time before it normalizes.

Neha Manpuria: Okay. So, this year, we shouldn't assume any improvement in Germany?

Sanjay Gupta: Well, it would be good news if we can show some improvement in subsequent quarters, but I don't know. I will just keep my fingers cros sed.

Neha Manpuria: Understood. And my last question on US, now that the facilities are improved, we started seeing, contract wins and new product launches gaining share. How should we look at the traction in that? I mean, if you could give us some color on the number of launc hes we should be building, and what's the sort of growth that, Torrent can see in the US market?

Sanjay Gupta : So, I would say that in the course of this fiscal year, we should see about 10 launches. Some of them are mature d products, and a couple of them are day one launches. So, in the first quarter, we launched about 4 or 5 products. And the biggest launch for us so far was the Esomeprazole granules , which we launched at the start of the fiscal year. And we have had other few smaller launches of products which are already genericized. And then last week, we launched Sacuval also. So, going forward, we expect another 5-6 launches for the rest of the fiscal year.

Neha Manpuria: And with these launches, it's fair to assume that US is now profitable for us. And with every subsequent launch, that profit margin improves?

Sanjay Gupta: Sudhir will answer that.

Sudhir Menon: Yes, Neha, it's still not profitable. It'll take some while before we get into the profitable zone post R&D. But the progress is looking positive. So, I think quarter on quarter, you'll see the losses coming down for the US. And therefore, a positive contribution to the overall performance.

Neha Manpuria: Got it. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Thanks for the opportunity, sir. So, just on MR count, again, we have increased the MR base by almost 1000 over the last one year. And probably, from 5 ,700, we are reaching to almost 7 ,000 by the end of FY '26. But somehow the growth rate, or let me put it other way, the MR productivity is still then lower or the growth is still not catching up with the addition of MRs, if you could elaborate on this.

Aman Mehta : I would not look at it in that way. Generally, the MR additions take at least 12 months to 18 months to on board and kind of get familiarized. So, if you see last year's full growth, we were at 13%, which was significantly higher than the market growth. And that was a result of the

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expansion done in the previous kind of two years, right? So, that is the time and impact that it takes. So, anything that gets done today won't have an impact on positive growth in the next quarter or two quarters, it may be seen in the next one year and two years. So, I think the numbers that we are seeing in the places that we have expanded and divisions we have expanded, certainly there is a positive, meaningful, positive uplift, ot

herwise, we won't continue doing it. So, I would say that it's best to lo ok at it from a two year horizon rather than anything shorter than that. And just to kind of add one more point is , that last year's Q1 growth in India was actually 15% and this year is 11%. So, in a 2-year CAGR, it's about 13. So, which is still significantly higher than our previous CAGR before the expansion started. So, these are all signals together that add up and give us confidence that the expansion is certainly helping increase our growth.

Tushar Manudhane: Got it. So, should we break the growth into consumer healthcare, I mean consumer piece and prescription piece for India business ?

Aman Mehta: We don't really look at it that way. We see every brand separately, every division separately rather than kind of looking at consumer versus prescription. But I would say that the investments being made in the brands like Tedibar, for example, are certainly giving very, very positive results, way more than the prescription growth. And we believe that should continue for the next couple of quarters at least. It's at a base which is growing rapidly. And till we reach a certain level of market share saturation, I don't think that should slow down. And partly that's aided by the consumer spend that we have been making for the last say one, two years. So, definitely there is a positive correlation that we're seeing. And as we mentioned earlier also in brands that we see, whether the results are not really coming in expectation to what we thought, we cut down the spends. So, it's all kind of measured at a portfolio level.

Tushar Manudhane: Got it, sir. This at least, if not the growth rates, but if you could share what has been the composition of India business into prescription and consumer?

Aman Mehta: Composition of the sales contribution or?

Tushar Manudhane: Yes, India business into prescription and consumer.

Aman Mehta: Yes, I mean, we have generally shared that the consumer brands are between 10 % to 15% of the total portfolio.

Tushar Manudhane: Got it, sir. And just one more on Germany, as such for last couple of years, there has been unfortunately some or the other reasons which has been keeping the growth under check. So, any re -thought on the geography per se, or you think that we will be able to do better in next 3 to 4 years?

Sanjay Gupta: No, so there's no re -thought on the business in terms of geography. We are trying to improve and every time we improve, something else goes wrong. But that doesn't mean that we are giving up on Germany. We are the fifth largest generic company with about 6% of the German generic

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market. We have an aggressive growth strategy in terms of new launches and cost improvements of existing portfolios. So, all that work continues.

Tushar Manudhane: Got it. And just lastly, one more if I may, on India business, like how many launches we would have done over the last 12 months out of that? How many line extensions and how much cost to market?

Aman Mehta: Meaningful launches would have been maybe 4 or 5. Line extensions would have been more, maybe say 9 or 10. And the contribution of the new products is about 2.5% , which may increase slightly in the coming quarters, because the brands would start increasing in size.

Tushar Manudhane: Thanks a lot, sir.

Moderator: Thank you. Our next question comes from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Good evening. Thank you for taking my question. Just on the J B Pharma acquisition, just it's a month since we made the announcement. So, any update? I know you talked about all the approvals take six months, but anything that has passed in the last 30 days?

Sudhir Menon: No. So, Shyam, there were some filings which were required in terms of public offer and merger schemes, including

the CCI application. All those have been done now. Now, what we believe,

I mean, we have to wait for the CCI revert to come back and see if there are incremental things to be done.

Shyam Srinivasan: So, largely on track, right? Nothing changes?

Sudhir Menon: Absolutely.

Shyam Srinivasan: Understood. Just a second question is on, we are getting about, maybe I missed asking this last time, but we are getting another field force of over 2,100 once the deal closes with JB Pharma, once you do the merger as well. So, is there a rethink then when we look at our 6,400 plus 2100?

So, do we think that is, I know you have not called out synergies and stuff, but should we look at us going slow and then consolidating and that is how we should look at field force?

Aman Mehta: No, I do not think so, because where we are expanding is in non -overlap areas. So, regardless of the acquisition, we would like to go ahead. We did review this, but it is definitely a kind of the more appropriate call to continue the expansion rather than wait for the merger.

Shyam Srinivasan: Okay, that is helpful. Last question is on the ETR tax rate, came in 24 %-25% for the quarter, how should we look at for the full year? Thank you.

Sudhir Menon: So, we are already in the new tax regime, Shyam. So, at least standalone India, you should see 25% playing out and considering subsidiaries 1% here or there. So, maybe 25 %-26% max.

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Moderator: Thank you. The next question comes from the line of S aion Mukherjee from Nomura Securities. Please go ahead.

Saion Mukherjee: Yes, thanks. Good evening. Sanjay, on Brazil, we had good growth, but I remember you had some low base and also last quarter you mentioned about some destocking in the channel. So, the constant currency growth is pretty strong this quarter, but there is a fair bit of volatility. So, how should we think about growth in the coming quarters because it is much higher than the market growth rate at this point?

Sanjay Gupta: Saion, Brazil is a funny market because it is highly concentrated in terms of distributors, right? And they pretty much decide how much inventory they want, destocking, stocking. So, volatility of primary sales is there quarter-on-quarter. But I have always kind of guided that it is the best to follow the IQVIA data because that kind of normalizes that and it is more related to the demand. So, I would say that IQVIA is currently running at about 14% for us and that is actually a better reflection than the primary sales.

Saion Mukherjee: Got it. And also, Sanjay, on the Semaglutide launch in Brazil, so, what is your expectation at this point in terms of timing for approval? And how do you see when you get the approval for Torrent, how the market evolves or the market share evolves, how many companies you expect to be ahead of you? So, if you can, you know, sort of paint a picture for us for this opportunity in Brazil in particular?

Sanjay Gupta: Sure. So, what I will do is I will actually not talk too much specifically about Torrent, I will just give you a brief on the market. Because, I mean, for competitive reasons, I do not want to tell you which month we would file, which month we would get approved, etc. But let me just give you a macro picture of where we are in Brazil. So, Semaglutide is two products, right? Ozempic and Wegovy, right? Ozempic has been in the market for a while in Brazil. But since Wegovy launched in middle of 2024, Ozempic has been in a decline. So, it has been going at -15%, -17%. And current size of Ozempic is pretty come down a lot. So, it is about \$350 million. So, Ozempic, by the time it goes off-patent would be smaller. And we have seen that due to changes in regulation, it is losing the obesity patients to Wegovy. And Wegovy is currently running at \$150 million a quarter. So, in the space of one year, it has re

ached a run rate of \$150 million. And let us see how the growth continues. But it is already a \$600 million product on an annualized basis. And so, Wegovy, generics would come to the market a little later because people have not started filing as yet. So moving, Brazil would be, let us say, a couple of years behind the Ozempic launch. So, the dynamics would be different. And so, we are working on both the products without giving you more specificities. And we are trying to be in the wave one of launches. So, as of today, I cannot go into more detail. I think it will be a little bit detrimental to our business interest to reveal more. But we are working on both with partners. And we intend very much to be there.

Saion Mukherjee: So, Sanjay, so what you are saying is that, first, you will get Ozempic and then Wegovy couple of years down the line. But given the size of Ozempic, it will not be a meaningful contributor for Torrent, at least in the near term. Would that be a fair assessment?

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Sanjay Gupta: I do not know what you mean by meaningful. It depends where the market is. The market is going down -14, -15 and if 10 people show up, then I do not think it will be a meaningful contributor. On the other hand, I would be much more gung-ho about Wegovy because of where the market is going and the fact that it is a little bit down the line. So, I would probably have better chances of being on day one. So, yes, that would be my general sentiment.

Saion Mukherjee: Understood. Thank you.

Moderator: Thank you. Our next question comes from the line of Vivek Agarwal from Citigroup. Please go ahead.

Vivek Agarwal: Hi, thanks for taking the question. Sudhir sir, just some clarifications on the margins. As you commented that margins are expected to remain stable at current level throughout FY '26. So if you look at the branded markets continuously doing well, there can be some operating leverages there while we are looking for some improvement in the profitability of the US. So, shouldn't you expect margins to move up in the coming quarters or is there anything particular that is pulling down the margins? Thank you.

Sudhir Menon: So, I think, Vivek, what I said, minimum, this margin should sustain for FY '26. That's point number one. Point number two, I think in the last quarter's earnings call, I did indicate that there will be a pickup as far as R&D spend is concerned, plus certain re-investments which are happening in each of the businesses. So, for now, I feel confident that basically 32.9 % minimum is something we should achieve. But quarter-on-quarter, let's see whether there's a further improvement which is possible or not.

Vivek Agarwal: Understood. Thank you. And just one question for Sanjay sir. You said that Wegovy is taking market from Ozempic and Ozempic is consistently coming down. But don't you think that once the generics come, there can be some off-level use, etc. And even the weight loss some generics, Ozempic can also get some kind of share. So, your thoughts would be super helpful. Thank you.

Sanjay Gupta: So, in theory, yes. But in reality, what is happening in Brazil is, ANVISA has put in place very strict rules. So, each prescription for Semaglutide has to be issued in two copies. And with the indication on the prescription and the pharmacy is required to maintain extensive records, including a copy of each prescription. So, I've never seen that draconian measures put in place by ANVISA to prevent misuse of the drugs. Hence, my submission would be that the off-level use would be minimalistic.

Vivek Agarwal: Thanks, sir. That is from my side.

Aman Mehta: I will just add one more point to the margin, especially on the India side. So, just to supplement what Sudhir said is, that while directionally what you're saying is correct, would also just want to

point out that the margin expansion has happened even after the kind of expansion in field force and increase in marketing spend that we have made for the last, say, 2 to 3 years in a row. So, once that reaches a kind of stable level where we maybe don't expand as much or just kind of
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of don't need to expand beyond what the optimal level is, that should hopefully, if the top line keeps growing at the same level, that should also bring some leverage. But we don't know when that could be. We right now don't foresee any slowdown in expansion. But as a direction, that's what we wanted to point out.

Vivek Agarwal: Thanks. That's from my side.

Moderator: Thank you. Our next question comes from the line of Rahul Jee wani from IIFL. Please go ahead.

Rahul Jee wani: Yes. Thanks for taking my question, sir. Just a clarification, did we indicate that we have launched Sacubitril and Valsartan in the US?

Sanjay Gupta: Yes, it got launched last week.

Rahul Jeevani: Okay. And sir, how are you seeing competitive intensity on this product? At least, let's say, for the initial few months, do you think it could be a sizable opportunity for us?

Sanjay Gupta: I would say it's a little bit early to give you a prediction. We saw 10 people launch on day one. So, that's quite a lot of people. And what I don't know is how much is the product available on the market, if it's an excess supply, who's targeting what market shares. So, I think it's better to wait. It's just been a few days, right? So, actually our invoicing started on Thursday, Friday of last week. So, I would give it some time.

Rahul Jee wani: Okay. So, around 10 players have already launched in the market.

Sanjay Gupta: Correct.

Rahul Jee wani: Sure, sir. And just on the India business, I missed the split of this 12% growth across volume, price and new launches. So, if you can repeat that? Thank you.

Aman Mehta: Sure. It's 12% as per the Pharma Trac data. And the breakup is 3.5% volume, 6% price and 2.5% new products.

Rahul Jee wani: Thanks Aman. So, versus market, what would have been the volume growth? So, our volume growth has been 3.5, what is it the market?

Aman Mehta: So, the market overall was 8% out of which volume is 0.3% for the quarter.

Rahul Jee wani: Okay. So, on volumes as well now, let's say we are outperforming market growth by 250 -300, basis points.

Aman Mehta: Yes, certainly in this quarter, it appears so. And I would say that the expansion has contributed meaningfully in this volume growth.

Rahul Jee wani: Okay. Thank you. That's it for my side.

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Moderator: Thank you. Our next question comes from the line of Bino Pathiparampil from Elara Capital.

Please go ahead.

Bino Pathiparampil: Hi. Good evening. You mentioned your thoughts around the Semaglutide market in Brazil. Do you also mind sharing your thoughts around the market in India as it opens up and your plans?

Aman Mehta: Yes, again, so there's a lot of moving parts here. So, would refrain from giving any specifics at this stage. But certainly, a large opportunity is ahead of us and the market overall. We believe that the injectable will be the large part of the market and the oral will also have a kind of fair share over time. Both have a kind of separate use and kind of patient pool. So, we believe that both will be important opportunities for us. We are conducting the phase III clinical trials as of now for the oral product and then partnered for the injectable and as of now, it looks like we could be in the first wave. And again, I would kind of not want to make any speculation on how large the market could be, but it's certainly going to be a reasonable addition to our chronic portfolio in the next 1-2 years.

Bino Pathiparampil: Okay, got it. Thank you.

Moderator: Thank you. I would

d now like to hand the conference over to Mr. Sanjay Gupta, Executive Director of International Business, for closing comments.

Sanjay Gupta: Yes, I'd just like to close this call. Thank you very much for your interest in Torrent Pharma today. And we look forward to talking to you soon. Thank you. Bye -bye.

Moderator: Thank yo u. On behalf of Torrent Pharma that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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"Torrent Pharmaceuticals Limited Q2 FY'26 Earnings Conference Call"

November 07 , 2025

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER & EXECUTIVE DIRECTOR (FINANCE)
MR. AMAN MEHTA – MANAGING DIRECTOR
MR. SANJAY GUPTA - EXECUTIVE DIRECTOR ,
INTERNATIONAL BUSINESS

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Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY '26 Earnings Conference Call of Torrent Pharma.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – Executive Director, Finance and CFO.

Thank you and over to you, sir.

Sudhir Menon: Thank you, Sagar. Good evening and welcome to the 2nd Quarter Earnings Call for FY '26. We continue to see robust performance in our branded markets which accounted for 73% of the overall revenue this quarter. Our two largest branded markets, India and Brazil, each delivered healthy double -digit growth. India business grew at 12% and Brazil grew at 21%. Constant currency growth in Brazil for the quarter was 13%.

On the generic side, the US business grew at 26% and Germany grew at 5%. In constant currency terms, Germany revenue declined by 5%, mainly due to the continued supply disruption at the third -party supplier. Revenues were Rs. 3,302 crores , up by 14%. Operating EBITDA at Rs. 1,083 crores grew by 15%. Operating EBITDA margin for Q2FY'26 is 32.8%. The overall leverage, which is the net debt to EBITDA, now stands at 0.45x.

A quick update on JB : We have received approval from Competition Commission of India as well as Competition Commission of South Africa. The Competition Commission of India approval is subject to complying certain voluntary modification, which will be outlined in the CCI final order, which we should be getting this month. We have also received SEBI approval on launching the minimum tender o ffer, and we should be completing that by December 15th. I now hand over the call to Ama n for India Business.

Aman Mehta: Thanks, Sudhir. India revenues at Rs. 1,820 crore s registered a growth of 12%. As per the AIOCD secondary market data, the IPM growth for the quarter stands at 8%. Torrent's chronic business grew at 13% versus the IPM chronic growth of 11%, driven by outperformance in cardiac and gastro.

On a MAT basis, Torrent has 21 brands in the top 500 of the IPM, with 15 brands now more than 100 crore sales as of MAT September 2025. Field force strength at the end of the quarter stands at 6,800 compared to 6,600 in the previous quarter. We are on track to continue expansion to 7,000 reps by the end of the financial year. The Curatio business grew 27% in H1 and 29% in Q2, driven by strong demand generation on account of OTC ad spends and field force expansion

in previously non-covered regions. We are hopeful that the high growth may continue for the rest of the financial year.

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Going forward, we expect our overall India business to continue outperforming the market growth. Our focus during the year will be to continue improving our market share in focus therapies, particularly chronic therapies, new launch performance and improving field force productivity in the expanded divisions.

I will now hand over to Mr. Sanjay Gupta for International Business.

Sanjay Gupta: Thank you, Aman. We will start with our branded generic market of Brazil. Based on internal sales Q2 constant currency revenue was at BRL 196 million, registering a 13% year-on-year growth. IQVIA data shows Q2 market growth at 7% with Torrent growing at 15%. We are seeing healthy volume growth coupled with mid-single digit pricing increase. In Brazil, we have a rich pipeline of 65 molecules which have been filed and are waiting for ANVISA approval. In the US, we registered constant currency revenues of US\$ 39 million, up by 21%. Growth

has

come from new launches where we have achieved our target market share, and we are also seeing increased purchase volume on existing contracts.

Moving on to Germany, our German business registered constant currency revenue of €30 million, down by 5%. As highlighted last quarter, growth continues to be impacted due to the disruption at the third-party supplier. I would like to conclude my comments here and open the call up for questions. Sagar?

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hi, thank you for the opportunity. My first question is on India business. So, two things. First, can you split the growth across the drivers, volume, price and new launches? And second part will be, can you talk a bit about GST impact on the business during the quarter?

Aman Mehta: Yes, sure. So, as per the AIO CD data set, our growth for the quarter was 12% versus 8% of the market. Breakup of volume is 3.7% versus 0% of the market. Price at 5.5% versus 5.5% of the market and new products at nearly 3% versus 2.5% of the market. GST impact was minimal. I think probably due to additional discounts and some one-off costs, I think it's probably about a 0.5% impact I would say, so not too much.

Damayanti Kerai: And since then, now the business is as usual, right? After 22nd of September?

Aman Mehta: The business is as usual? Sorry, what was the question?

Damayanti Kerai: No, I think after GST implementation, post 22nd of September when this change was implemented, now operations in India are back to normal level, right? Initially, maybe some days you had seen some disruption?

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Aman Mehta: Yes, after the GST impact, this month has been pretty much in-line and we would rather wait for this month to get over and then December because the seasonality impact of Diwali and all would play a bit of a role. But I think it's pretty much in line with our H1 performance.

Damayanti Kerai: Sure. My second question is on Brazil market. So, very strong underlying growth which continued. My question is your plan for filing for semaglutide. So, I understand earlier you commented in India, you plan to launch at the time of market formation. But if you can talk a bit about your plans for Brazil market, have you filed the application?

Sanjay Gupta: I can confirm that our application is with ANVISA. We are waiting for approval. I really cannot comment as to when we will expect the approval to come.

Damayanti Kerai: Okay. And my last question is on Germany business. When do you see supply disruption getting normalized, which impacted recent quarter performance?

Sanjay Gupta: So, we are obviously working and pushing our supplier towards ending it quickly. Right now, all indications are that to some extent will continue in Q3. Hopefully, Q4 onwards, it will not be the case.

Damayanti Kerai: Okay. Thank you for your response. I will get back in the queue.

Moderator: Thank you. Our next question comes from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Hi, sir. So, just to follow up on the previous one. So, in Germany, what kind of growth are we looking at this year? And how should we look at it from an FY '27 perspective?

Sanjay Gupta: I would refrain from giving a guidance because what we are facing is kind of an out-of-the-box situation with one of our major suppliers facing disruption. So, like I told the previous caller that I would expect this to be over by Q3. But if it is, by any chance, doesn't get over, then we will be impacted going forward. So, I would refrain from giving guidance on Germany going forward

until the issue is resolved.

Abdulkader Puranwala: All right. And this is just on the Semaglutide

opportunity in Brazil. So, how critical is this launch

for you and any color on how do you see the market shaping up?

Sanjay Gupta: So, the market is huge. It's like a billion-dollar market by the time it goes generic. Essentially, the market is shifting towards Wegovy and Ozempic is coming down as can be expected. What we are expecting is approval in wave-1. I don't know exactly how ANVISA is going to treat these because we hear different stories that they're going to process by batches or they're going to process in order of application. So, right now, there's a bit of uncertainty as to how ANVISA is looking at all the companies who have filed. It is a major opportunity. It's probably a very important opportunity no matter the number of competitors. So, beyond that, I don't know what you expect me to comment. Usually, we target 15% market share for our products. So, I think

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10% to 15% of Semaglutide would be a material opportunity and would move the needle for Torrent.

But again, we are not sure about the approval process.

Abdulkader Puranwala: Understood. And also, just one final one from my side. Also, if you could just comment briefly on how your key brands have done in India? What I'm referring here to is Sheldol, Unienzyme and the acquired brands like Tedibac.

Aman Mehta: All brands have done pretty well this quarter. Just to give a sense of the therapeutic growth breakup, Cardiac has grown 14% in the quarter. Cardiac is our largest contributor and Gastro has grown 15%. And the overall Dermatology piece, including Curatio has grown about 29%. So, overall, it's been a broad-based kind of growth that we have seen. We think the chronic business should continue the high volume growth as well, given the expansion that's happened over the last couple of quarters. So, upcoming quarter, we believe the same momentum should hopefully continue.

Abdulkader Puranwala: Understood, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Thanks for taking my question, sir. Given that now we have received approval from CCI for the JB Pharma acquisition, can you talk about in terms of when do you plan to have operational control of the asset? And what kind of a synergy number are we looking at from, let's say, our next 2 to 3 year perspective?

Sudhir Menon: So, Rahul, as I said in the opening briefing, that we have got SEBI approval for MTO, which will kind of get over in the third week of December. And then probably January, we should see the closing of transaction. And once that is happening, I think we should be able to start giving you indications on what kind of synergy value we are looking at.

Rahul Jeewani: Okay. So, you will comment on synergies after, let's say, the buyout from KKR in January 2026?

Sudhir Menon: Correct.

Rahul Jeewani: Okay. Sure, sir. And just one other question on the India business. This quarter, we saw very healthy volume growth of around 3.7% versus market volume growth being very tepid. So, what is allowing us to, let's say, outperform volume growth? So, are we seeing volume growth in our focus therapies?

Aman Mehta: Yes, we are. Mainly driven by chronic performance in most of the chronic divisions. So, if you recall, most of the expansion since the last two years has been in this segment, cardiac, diabetes, and CNS. And we're seeing the bulk of the outperformance happening there. Some of the new launches from last year and two years ago have now become pretty sizable contributors to the overall India business. So, they're also continuing to grow reasonably well. That's also adding to

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the growth. And the overall volume growth, I think, six months into the year, I believe, now is giving

us a pretty good signal of comfort that the expansion probably has given us that desired outcome. So, hopefully that continues for the rest of the year, and our expansion also is on track. We will be almost at 7,000 MRs by the end of the year. We plan to enter into one new therapeutic area this quarter as well, which hopefully we should share by Q4 on the status of that.

Rahul Jeewani: Sure, Aman. And just if you could also comment in terms of how are you looking at the semaglutide opportunity for the domestic market? So, while Brazil, you are targeting to be in wave 1, what about the India market?

Aman Mehta: Yes, the endeavor continues to be in the first wave on market formation. When that could be is still uncertain, we'd rather wait before commenting on that. But it certainly seems based on the

Mounjaro launch that the market potential may be higher than what was expected even a couple of months ago because Mounjaro has just taken off very rapidly. The dynamics would be obviously very different at generic pricing. So, yet to see what exactly the opportunity is. But again, our market share targets have been fairly aggressive in the recent launches. We will have the same targets for semaglutide as and when it launches. And if we are in the first wave and if we do launch well, I think it would be a pretty meaningful growth accelerator in the next year.

Rahul Jeewani: Sure, sir. And just in terms of Semaglutide, when the market opens up, would we launch both the injectable and the oral version? Or do you think that the oral launch could be a few years away?

Aman Mehta: No, not a few years away, maybe slightly after the injectable, but certainly both are planned within the next financial year.

Rahul Jeewani: Okay, sure. That's it from my side. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Thanks for the opportunity. Sir, again on the India market side, the price growth has been sort of getting a little moderate. We used to have 7 %-8% price growth. We are now down to 5.5%. So, while of course, the broad-based growth is definitely a commendable thing, but just on the pricing aspect, if you could throw some light ?

Aman Mehta: No, I think this is pretty much in line as to what we had planned from say a couple of years ago that expansion has to deliver volume growth, pricing growth has to be in line with the market growth and some years it may be higher, some years it may be lower. This year we felt this was the appropriate kind of price growth that maybe that the market may allow, and I think within this range plus minus 1 % or 2% should continue for the next couple of years.

Tushar Manudhane: Got it. And so, with respect to GST, few peers were concerned and had an impact because of GST. Interestingly, we did not have, but does it mean that we would have had decent market share, probably at a higher discount?

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Aman Mehta: No, I would not think so. Our impact was minimal; our discounts were minimal. So, I cannot comment on what industry has seen as an impact, but we have certainly not seen beyond half a percent of growth impact.

Tushar Manudhane: So, secondly on Brazil, typically the product approval timeline is pretty long. This is our earlier experience. So, from that perspective, what is your thought on semaglutide market formation?

Sanjay Gupta: So, you are right. So, traditionally, in fact, in Brazil the approval delays are getting longer. It used to be 24 months and today if you file a new dossier, it is going to be 36 months. But ANVISA is treating semaglutide in a different manner because of the importance of the drug. So, I am not very clear as to , they have given out statements which have evolved over time. So, we would expect them to treat this kind of as a priority filing in the interest of patients and in the interest of healthcare economics in Brazil. So, hence, I do not think this is a typical filing.

Tushar Manudhane: Got it. And on the same product for India market, the patent expires in March. So, market formation likelihood in March itself or is there a risk for the market formation itself getting bit delayed?

Aman Mehta: No, there is litigation ongoing right now. So, hard to comment. So, we will have to wait for some time to understand exactly when the market can form .

Tushar Manudhane: Got it . Thank you.

Moderator: Thank you. Our next question comes from the line of Amit Kadam from Canara Robeco Mutual Fund . Please go ahead.

Amit Kadam: Hi. Good evening. Just can you take us through some changes in the working capital? Saw some little deterioration in terms of receivables and payables. Just can you elaborate what has happened in this particular half?

Sudhir Menon: So, when the GST implementation was rolled out, I think most of the industry players have extended the credit period for one month. So, that is something which has impacted the cash flow as at 30th September, which will come back in October.

Amit Kadam: And payable?

Sudhir Menon: There is an acceleration of insurance discounts, which we see happening in Germany. So, that is the reason why payables have gone down.

Amit Kadam: Okay. Now, how do you think about this line? This will also normalize by next?

Sudhir Menon: Yes. It should normalize. You will see these things normalizing in Quarter 3.

Amit Kadam: Okay. And one more point is that you usually book the FOREX gain in the other income. Can you elaborate what is the number there?

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Sudhir Menon: We have a FOREX loss of Rs. 39 crores, which is sitting in other income. So, if you look at the other income, it is negative, right?

Amit Kadam: Okay. 39. That is what you said ?

Sudhir Menon: FOREX loss of 39.

Amit Kadam: Okay. That is it. Thanks.

Moderator: Thank you. Our next question comes from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Thanks for taking my question. First one on India, the field force expansion that we have done, I think you mentioned the number 7,000 by year end, which is adding like 600 people over the course of FY '26. If you could just give us some color where we are adding this field force. Is there any specific therapies that we are looking at? Is this for market coverage? Any color here?

Aman Mehta: About half would be for the existing divisional expansion within chronic and subchronic and about half would be for a new therapy entry, which should be probably by early Q4. So that is the broad breakup.

Neha Manpuria: And the new division you mentioned, you will announce at a later date?

Aman Mehta: That is right.

Neha Manpuria: Understood. And on Brazil, Sanjay, I think you mentioned that we should expect like one or two product launches every year in each division. If I look at Brazil's growth in the last two quarters, there has been a very strong growth. Has this been driven by these product launches coming through or is that yet to reflect in the growth going forward?

Sanjay Gupta: No. The product launches have been going on since two years. So these numbers incorporate the new launches. Plus, we launched a couple of big products. We launched Rozucor Ezetimibe which is a BRL 600 million market. And then we launched Lisdexamfetamine, which is ADHD drug, which again is a BRL 600 million market. So we have a few products in very large markets. So even with like market shares and single digits, still it has a material impact on our top line. So new products are contributing and we are seeing also very good volume pickup on our existing mega brands. So we have eight products, which are existing mega brands, which are

doing well

in volume terms. And price increases continue in single digits. So overall, the business is healthy.

Neha Manpuria: And in Brazil, what would be our focus therapy areas for product launches?

Sanjay Gupta: Right now we are operating in CNS. We are operating in Cardio. And we have some old legacy diabetes products, and we are also preparing to launch all the new wave of diabetic products.

Those are the areas where we currently operate.

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Neha Manpuria: Thank you so much.

Sanjay Gupta: In the branded generic segment. But we have another generic, which is generic-generic.

Neha Manpuria: But that's a small one, right? We have reduced that segment over time?

Sanjay Gupta: So what we reduced, Neha, we discontinued actually what was called the tender business, which was the government tender business. So what we have is a pure generic-generic segment, which accounts for about 15% of our sales.

Neha Manpuria: Okay. Fair enough. Thank you.

Moderator: Thank you. Our next follow up question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, I might have missed the comment, but just wanted to know the number of ANDAs let's say filed, approved, launched for the 2nd Quarter ?

Sanjay Gupta: So in the US, we would have during the course of this fiscal year, about 4 to 5 ANDAs filed.

We are ramping up this number. And we expect this number to reach maybe close to 10 next year, and subsequently about closer to 15. So that is the ramp up in US investments, which is happening, or which has started since about six to nine months. But this year would be mid-single digit, next year close to 10, and the year after closer to 15.

Tushar Manudhane: So accordingly, what like R&D spend as a percentage of sales to be considered?

Sudhir Menon: Yes, it should be around between 5 to 5.5 in Quarter 3, Quarter 4 put together.

Aman Mehta: And I would say the increase up to 10 or 15 would probably be a kind of one-time increase, because if you recall, we have had a bit of a dry spell for the last couple of years. So in order for the business to maintain a decent growth profile, we have a bit of catching up to do in that sense. So I think after 2 years, 3 years, again, it may come down to single digits filings.

Tushar Manudhane: Got it. Sir just, I think strategically given this segment for say, maybe on account of return ratios or profitability point of view, there is relatively limited investment into this geography. So is there any way probably to sort of exit and allocate that capital for more for a branded business of probably India and Brazil, probably sale of ANDAs and the plant as well? Is that a way out?

Aman Mehta: No, that is not what we have been considering at all. We think that because of this slightly prolonged period of no launches, we are in this position right now. And given the nature of the business in the US and filing duration and approval uncertainty, your investments generally

would take minimum 3 years, 5 years to show reasonable kind of movement in profitability. So we are aware that obviously this is not the greatest position to be in right now. But it should improve from here if the filings are done right and the products are launched and essentially the
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launch engine has to be back working again. But I do not see any reason why one should exit this market at all.

Tushar Manudhane: Because earlier the inspection or the compliance was the key concern. But been resolved that for now pretty long period of time. But like the product commercialization or the uptick in both filing as well as approval and then commercialization is still taking little longer. And so the question.

Sanjay Gupta: Yes, it is true that the r

esolution took time. But that was essentially those due to COVID right when we could not get the inspectors in for more than 2 years. So I think...

Tushar Manudhane: No, sir. I meant post compliance coming in place. After that also we have taken little longer to see the pickup in United States.

Sanjay Gupta: Yes, I think the R&D engine is more like a battleship. So we had oriented it more towards Brazil and Germany. And then we have now ramped up the US. And the fruits of that ramp up will be next year when the filings move up to close to 10 and the year after when we expect them to move up closer to 15. So it is a little slower process. It is slower than what I had communicated in the past. But it seems that it is coming around.

Moderator: Thank you. Our next question comes from the line of S Mukherjee from Nomura. Please go ahead.

S Mukherjee: Thanks for taking my question. So just on the comment you made on the optimism around the US business, if you can take us through your thoughts as to how you see this business scale up from a slightly longer -term perspective, what are the kind of filings you would be chasing, any differentiated assets, if you have any big plans for injectables, biosimilars, etc. Since you would be staying put in this market, how should we think about the business evolving over the next five years?

Aman Mehta: I think optimism is to the degree that we want to return back to profitability, right? So I don't think we are intending to make any large investments in the US Gx space in terms of CAPEX or anything of that sort. We believe the current infrastructure that we have would allow us reasonable opportunities to launch a few good products in the next, say, three -year period, five -year period. And we're also looking at partnering with for certain products in which capabilities we don't have today. So the idea is that we need to get back to a reasonable level of sustainable profitability, which because the last few years has not been achieved. So I would say the optimism is essentially directed towards that and nothing beyond that that we're looking at investing.

S Mukherjee: Okay, thanks. And can you share your CAPEX number for this year and next year? What's the planned CAPEX ?

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Sudhir Menon: I think H1, the total CAPEX is roughly 200 plus. For the full year, it should be maybe around Rs. 300 crores. And over the next three years, on an average, I think the CAPEX should be between 250 to 300 per annum.

S Mukherjee: Okay. Thank you.

Moderator: Thank you. Our next question comes from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria : Hi, good evening, sir. So in the last 1.5 years, you have added around 1200 reps. Do you mind sharing which divisions you've added these?

Sudhir Menon: Which divisions you mean?

Kunal Randeria : Yes, sir. I mean which, cardiac, gastro, where exactly have you added?

Sudhir Menon: Across almost all cardiac, gastro, including diabetes, derma, pain management, VMN, it is pretty much all. So it's been, I would say, majority in the chronic divisions and maybe say 30 % to 40% in the sub -chronic divisions.

Kunal Randeria : Right. So there was no one particular therapy where you were adding, it was just across the board. Got it. And secondly, for the upcoming GLP -1 launches both in India and Brazil, will you need to form a separate team and add more personnel, or you have already recruited those?

Sanjay Gupta: So for Brazil, it will be part of our existing diabetes team, cardio and diabetes team. At some point in the future, we will expand the team. But right now, we don't plan to do it in the next 18 months.

Kunal Randeria : And India business?

Aman Mehta: We will probably share that in the coming quarter.

Kunal Randeria : Thank you, sir. Got it.

Moderator: Ladies and gentlemen, we wi

Il take that as the last question for today. I now hand the conference over to Mr. Sanjay Gupta, Executive Director of International Business for closing comments.

Sanjay Gupta: Thank you. Thank you all for your interest in Torrent Pharma. We look forward to being in touch with you. Bye-bye.

Moderator: Thank you. On behalf of Torrent Pharma, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

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"Torrent Pharmaceuticals Limited Q3 FY'26 Earnings
Conference Call"

February 13, 2026

MANAGEMENT : MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER &
EXECUTIVE DIRECTOR (FINANCE)
MR. AMAN MEHTA – MANAGING DIRECTOR
MR. SANJAY GUPTA - EXECUTIVE DIRECTOR ,
INTERNATIONAL BUSINESS

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Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY 26 earnings conference call of Torrent Pharma. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhir Menon – Executive Director of Finance and CFO.
Thank you and over to you, sir.

Sudhir Menon: Thank you. Good evening everyone, and welcome to the Q3FY '26 earnings call . This quarter, we continue to see healthy performance in our branded markets, which accounted for roughly 75% of the overall revenues this quarter.

Our 2 largest branded markets, India and Brazil, each continue to deliver healthy double -digit growth. India business grew at 14% and Brazil grew at 27%. Constant currency growth in Brazil for the quarter was 10%, while the secondary sales grew at 13%.

On the generic side, U.S. business grew at 19% and Germany grew at 8%. In constant currency terms, Germany revenues have declined by 6%, mainly due to the continued disruption at the 3rd-party supplier.

Quickly on the financial performance for Quarter 3: Revenues were INR 3,303 crores, up by 18%. Operating EBITDA at INR 1,088 crores , grew by 19% , and operating EBITDA margin stands at 32.9%.

A very quick update on JB Pharma acquisition : We have acquired the controlling stake of 46.39% in JB on 21st January, followed by another 2.41% stake purchased from certain employees. So, effectively from 21st January, JB will start getting consolidated into Torrent Pharma. As a next step, we expect the SEBI approval for the merger scheme soon, and we will file the merger application with NCLT over the next few days. Overall, we remain on track to complete the transaction as per previously indicated timelines.

I will now hand over the call to Aman for India Business.

Aman Mehta: Thanks Sudhir. India revenue at INR 1,798 crores, registered a growth of 14%. As per the AIOCD Pharma Track market data, the IPM growth for the quarter was 10%. We are seeing continued volume outperformance over the IPM in chronic and sub chronic therapies, led by Cardiac, Gastro and Diabetes segments.

The Curatio business grew at 27% in Q3 , and also 27% in YTD 9 months for the year, driven by strong demand generation on account of OTC ad spends and field force expansion. We are hopeful that the high growth now should continue for the rest of the financial year as well.

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Our field force strength at the end of the quarter stands at 6,900 versus 6,800 last quarter, and we remain on track to close the financial year with a strength of just over 7,000.

Going forward, we expect our India business to continue outperforming the market growth. Our focus during the rest of the year will be to continue improving our market share in focus therapies, improving field force productivity in the expanded divisions, and scaling up of the Curatio business.

An update on JB. Following the acquisition of controlling interest of 48.8% in the company, our priority now is to ensure continuity in business operations and ensure there is a smooth transition under the new leadership team.

I will now hand over to Mr. Sanjay Gupta for the International Business of Torrent.

Sanjay Gupta: Thanks Aman. We will start with the branded generics market of Brazil. Based on internal sales, Q3 constant currency revenue was BRL 224 million, registering a 10% year-on-year growth.

IQVIA data shows Q3 market growth at 7%, with Torrent growing at 13%.

We are seeing healthy volume growth, coupled with mid-single digit pricing in

crease. Torrent

has a rich pipeline of 60 molecules, which are currently awaiting approval at ANVISA.

In Germany, our German business registered a constant currency revenue of EUR 29 million, down by 6%. As highlighted last quarter, growth continues to be impacted due to disruption at a third-party supplier.

In the U.S., we registered constant currency revenues of \$36 million, up by 12%. Growth is coming from our new launches, where we have achieved our target market share, and we are also seeing increased purchase volume on existing contracts.

I would like to conclude the opening comments here and open the call up for questions.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hi, thank you very much for the opportunity. My first question is on JB acquisition. So, you mentioned now you have 48.8% stake, and it will be consolidated as part of your financials. So, will it be a line-by-line consolidation or how you account for it before the complete merger happens?

Aman Mehta: So, consolidation, Damayanti, is line-by-line only. So, effective from 21st January till 31st March, the Quarter 4 numbers will include JB numbers.

Damayanti Kerai: Okay, that's clear. And on India segment, the 14% growth, can you split across volume price and new launches, the way you generally do?

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Aman Mehta: Yes. So, as per the AIOCD Pharma Trac data, our reflected growth is 14%, which is the same as the reported growth. The breakup of 14% is 5.5% volume versus 1.2% of the market, 5.8% price versus 5.6% of the market, and 2.7% new products versus 2.8% of the market.

Damayanti Kerai: Okay. Thanks. My last question is on Germany. So, we are yet to see a resolution of the supply disruption. So, what is the timeline? When do you think things can come back on track here?

Aman Mehta: So, unfortunately, Damayanthi, I cannot give a timeline because our supplier is caught up in regulatory issues, and I do not have visibility as to when he will start manufacturing again. And these days, it's very complicated in Europe, because they also consider the observations of the U.S. FDA, et cetera. So, it's a little different Europe currently than what I have seen in the past. There's a lot of interaction between the EMA and the FDA, so things are taking longer to resolve. So, honestly, cannot give you guidance.

Damayanti Kerai: Okay. And is there a possibility to move to an alternative supplier, or even that will be very time-consuming?

Aman Mehta: Well, it is time-consuming, but we are working on it. So, we have started work on it already last quarter, but it will take at least 3 to 4 quarters to get an alternate supplier on board. So, we are trying to move some of the products to our own facilities, but it's a little time-consuming.

Damayanti Kerai: Okay. Thank you. I will get back in the queue.

Moderator: Thank you. Our next question comes from the line of Gautam Rajesh from Leo Capital. Please go ahead.

Gautam Rajesh: Hi. Good evening. Thank you for taking my question. My question was for the GLP -1. Do you have any fill and finish capacity for it, and is that for Indian market or the emerging market?

Aman Mehta: No, we do not. We only have capacity for the oral. Everything else will be partnered for India and other markets.

Gautam Rajesh: All right. And who would be our partner? Is that possible to reveal?

Aman Mehta: We can share that once we launch.

Gautam Rajesh: Understood. And which geographies would we be launching in? And only in India will it be partnership or everywhere else if you can tell us that bit.

Aman Mehta: For the injectable, partnership is across all territories. The first launch is most likely going to be India, followed by other markets.

So, we can share an update once the launch is done next quarter.

Gautam Rajesh: Understood. And other markets you do not want to reveal right now, or is that possible?

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Aman Mehta: No, we had already shared about Brazil last time as well. Nothing changes in terms of timeline. It's a bit behind what we would have liked. So, probably sometime in the next financial year. So, even though we would be late to the game, the market opportunity is much larger than the Indian market. So, it should still be an interesting opportunity.

Gautam Rajesh: Understood. Thank you.

Moderator: Thank you. Our next question comes from the line of Neha M. from Bank of America. Please go ahead.

Neha M.: Yes, thanks for taking my questions. Sudhir, now that we have acquired the stake in JB, I know that the merger still depends on further approval, et cetera. But how should we think about other than the continuity of operation and transition that you have mentioned, the synergies that we should see? Would that essentially all come through once the merger is done? And if you could just tell us what we can expect in the next, let's say, 6 months or 7 months and probably longer term, how should we look at the synergies from the deal?

Sudhir Menon: So, I think in terms of timelines, Neha, until the effective merger order, both the entities will remain separate. And in terms of timelines, we think once we file to NCLT, then probably 6 to 9 months, as indicated earlier, should be the timeline we should be looking at in terms of integrating both the entities. Okay.

I think in terms of synergy, some part of the synergy will start flowing from now on. And maybe a major part of that will come post the integration happening.

Neha M.: And what part of the synergy, if you don't want to quantify it, what areas of synergy do you think you can get now before the merger? I understand what can come after the merger, but what do you think we can bring to the table now before the merger happens?

Aman Mehta: No, I think we are happy to quantify at this stage. I think we are waiting to understand the business a bit more over the last couple of quarters. So, broadly, I would say that our synergy number is looking like INR 400 crores to INR 450 crores over the next 2 to 3 years. Maybe 20% of that could be in the first year, up to 80% of that could be in the second year, and the rest in the third year. So, that's what it currently looks like.

Neha M.: So, you said INR 400 crores to INR 450 crores in the next 2 to 3 years.

Sudhir Menon: That's correct.

Neha M.: And the first year is starting now, right? It's not first year after the merger.

Sudhir Menon: No, first year would mean now. Obviously, some of the effect would come on subsequently in the coming quarters, but we will start seeing some benefit in the subsequent quarters already.

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Neha M.: Again, this 20% that you are talking about synergies, these would be largely cost synergies that we would see initially, because I am assuming revenue synergies would require a merger probably or would it be a mix of both?

Sudhir Menon: This number is only cost. We have not looked at revenue synergies yet. We will wait for first year business top line to stabilize and then we can look at revenue synergies.

Neha M.: Understood. Okay. Thank you so much. That's very helpful. Thank you.

Moderator: Thank you. Our next question comes from the line of Aditya Vikram from DB Securities Private Limited. Please go ahead.

Aditya Vikram: Thank you. So, quick question. Once the JB merger happens, right, what would be the margin guidance, if at all, considering you are going to have cost savings, JB currently have an EBITDA margin of 18 % to 19%. You are sitting at 32 %. Even if we consider the synergies, is this going

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to be margin accretive for our businesses? I understand that you have not done on the revenue side so far, but you must have some ballpark numbers in your head.

Sudhir Menon: No. So, I think, firstly, JB's margin is closer to 28 % - 29%, EBITDA margin. I think our margin this year has been in the range of 32.5 % to 33 %. So, there is definitely a scope to bring JB's margin closer to our base business margin in the next financial year. We have already given the number on the cost synergy target for the next 3 years. So, I guess you can work out the margin

potential there.

I think it will be a bit too complicated to look at the combined margin at this stage. But standalone JB, certainly, there is a significant scope for margin improvement.

Aditya Vikram: Okay. Thanks for that. So, how is U.S. looking for you? I know there was no tariff on Pharma in any case, right? But after this tariff news out of the way, are you seeing the potential to grow above 20% on the U.S. side in the subsequent quarters?

Sanjay Gupta: So, we are a very small player. We do \$35 - \$36 million a quarter. And it's really dependent upon new launches, but also upon the level of competition that we see in the new launches. So, we have a healthy pipeline, and we are augmenting the pipeline for the U.S. But it's hard to give guidance today. It depends really on when the new launches happen and the competitive landscape at that point in time.

Aditya Vikram: Okay. And I just want to clarify something one more time. In your opening remarks, you guys said that you will continue with the double -digit volume growth for India business in subsequent quarters as well. Is that correct?

Aman Mehta: What we had said was we will continue the above -market volume growth, double -digit growth of overall inclusive price and new products. And our volume growth is about 5.5% for the quarter.

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Aditya Vikram: Okay. Understood. Thank you very much for clarifying.

Moderator: Thank you. Our next question comes from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria: Good evening, sir. Sir, in the previous call, we have mentioned that the Brazil GLP -1 market is around a billion dollars. So, in the first wave of launches in March, what would be the competitive scenario that you see? And typically, what's the price erosion that you would expect based on your understanding of the market?

Sanjay Gupta: So, we do not think we will be the first one to launch, right? So, I don't know. It will be somewhere in the range of between 3rd to 5th launch. And we filed Ozempic, which is today a \$270 million market. And the rest is, as you know, has been taken over by Wegovy.

So, Wegovy will come to us, but it's a little bit down the line. And I can not really give guidance on Brazilian price erosion, because it depends really on how many players come to the market. And who are the players who come to the market? Some of the players are known for very aggressive pricing and some others are much more reasonable. But to be safe, you can take like at least a 50% price, 45% price erosion on the Brazilian market.

But honestly, it's hard because it's been all over the map. So, I have seen price erosion of 90% on a couple of products. And I have seen price erosion of 20% also. It honestly depends upon the same thing, how many players and what's the nature of the players.

Kunal Randeria: Sure. Sir, in March, it's only the Ozempic generics which are hitting the market or are some players also launching Wegovy generics?

Sanjay Gupta: So, generally the Wegovy generics in Brazil are behind. So, the Ozempic was the first one that was launched and Wegovy came much later by the innovator. So, hence the Wegovy generics are all running behind the Ozempic ones.

Kunal Randeria: Right. But do you think there could be some

substitution happening because Ozempic will become cheaper versus Wegovy?

Sanjay Gupta: It's hard because the laws are very strict and I think the Brazilian law requires the pharmacist to keep a copy of the prescription, and to make sure the right product is dispensed against the right prescription. So, the Government has been very strict with the Semaglutide usage, and it's hard for a pharmacist to substitute. So, I expect the substitution to be minimal.

Kunal Randeria: Got it, sir. And so, my assumption, if I understand correctly, you will be launching Ozempic this year and then Wegovy sometime next year?

Sanjay Gupta: I can not give you the exact timing because it's in the hands of the regulator. Our products have been with the regulator for a substantial number of months. And they are giving some priority

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review for such an important product. So, they have improved our ranking in approval. So, the queue for Semaglutide, you get an opportunity to move up the queue.

So, they have moved us up also in terms of prioritization of approval as compared to other molecules. But I cannot give guidance as to when it will get approved and launched. But we have the pieces in place. So, once we get approved, we will be ready to launch.

Kunal Randeria: Got it, sir. And just one more, if I can. I think in the India business, you had said the sales force would go up to 7000 by the end of FY '26. So, would you be on track for that or there would be

any changes to that?

Sanjay Gupta: Yes, that's correct. It will be just over 7000. So, maybe close to 7100. And as of now, we see maybe some additional visibility in the next coming year as well, financial year could be around 7500, maybe by end of FY '27.

Kunal Randeria: Got it, sir. That's very helpful. Thank you and all the best.

Moderator: Thank you. Our next question comes from the line of Vivek Agarwal from Citi Group. Please go ahead.

Vivek Agarwal: Yes, thanks for taking the question. My question is on Germany; you have highlighted that there is some disruption from one of your suppliers of the product. So, I just want to understand whether the disruption is fully there in the numbers or is it like it is partly reflected or, for example, this quarter you can see the sales dip. Thank you.

Sanjay Gupta: No, it's fully there.

Vivek Agarwal: Got it, sir. Sir, one question I have on U.S. right. So, for quite some time, actually, if you look, your sales numbers are largely hovering somewhere around \$33, \$35 million. Now, if you look at both of your facilities, maybe facilities are clear. So, when I think you are expecting a meaningful jump in your sales or any possibility that it can go up to \$45, \$50?

Sanjay Gupta: It can only go up from here. That's my hope, actually, because it's already low. So, I would guide towards a higher sales number from where we are. And I would guide towards at least 5 to 7 launches a year.

Now, depending upon the timing, our U.S. launch, if it's 10 days it's too late. So, it has to come on time, and sometimes it could help that your competitors are not on time. But we are looking at a one-directional sales growth in the U.S. from here on, but how fast that happens, we are not happy with this current level of \$150-\$160 million. So, the first milestone we are looking to cross is \$200 million per year. And hopefully next year we will do that. I am being optimistic and taking a punt on some of the launches that we will have.

Vivek Agarwal: So, you are suggesting that by FY '27, you can do \$200 million kind of number in US?

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Sudhir Menon: I am targeting based on what I see in our launch plans. But again, it is not in Torrent's hands.

Vivek Agarwal: And one question, if I can ask from JB question right, so?

Moderator: Sorry

to interrupt, Vivek. You do sound a little muffled. May I request you to please check the device mode that you are using?

Vivek Agarwal: Sorry. On JB, I think you are right. So, is there any possibility that the growth of this company that can slow down maybe during integration, that kind of disruption because of the transaction?

Or do you think that this company can keep growing the way it is growing over the last 2 years during the transition time?

Aman Mehta: So, our view strongly is that the fundamentals of the business are fairly robust. So, the medium-term, long-term prospects are looking pretty much as what we expected pre-acquisition and now.

What we do expect is a bit of a course correction in this current Q4, because in any change of control situation, there are changes of business practices, and you have to kind of integrate processes and so on. So, Q4 could be a little bit muted in both India and international, but Q1 onwards, they should be pretty much absolutely back on track.

Vivek Agarwal: Thank you. But just one more question, if I can squeeze in. This is on Brazil. It looks like that and you have highlighted the product Semaglutide launch seems to have been delayed and close to next year. So, is it taking time to approve the filings out there? Any color actually that would be helpful if you can help us understand that how the regulators are taking on the filings or there is a possibility that even the market formation can get delayed by let say around 6 to 7 months or 9 months or may be 12 months.

Sudhir Menon: I can tell you two things. One is the file is solid and the second thing is the regulator is prioritizing this product. That is all. I don't know. I can't give you an exact month and date, but I know that the regulators are prioritizing Semaglutide generics, and I know that the file that we have sent is complete in all ways that we can think of. Other than that, really not much to say.

Vivek Agarwal: Thank you, sir. That is it from my side.

Moderator: Thank you. Our next question is from the line of Bansil Desai from JP Morgan. Please go ahead.

Bansil Desai: Yes. Hi, thanks for taking my question. So, my first question is, until the JB merger concludes, how should we think about, how will the marketing of JB brands work? So, does Torrent MRs get to market JB brands or that will remain separate till the time we merge the entities?

Sudhir Menon: No, it will be separate. All the divisions of JB will remain within JB till merger. Only post-merger can any such change be possible.

Bansil Desai: So, then in that event, if there is MR attrition on the JB side, then how do we ensure that we do not see disruption in sales?

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Sudhir Menon: The attrition in the last 6 months where the period between the announcement of the deal and till now, the attrition has been pretty much the same as the historical attrition. It hasn't gone up and we don't see any reason why it can go up, especially after the closure of transaction. In fact, we will probably do our best to reduce attrition as much as possible. So, we don't really see that to be an issue post our change of control.

Bansi Desai: And also on the purchase price, could we get an understanding of breakup into goodwill and intangible? And how many years should we think about amortizing this?

Sudhir Menon: So, Bansi, the amortization policy for Torrent has been 15 years. You just have to wait for one quarter because that whole purchase price allocation work is going on. And maybe by end of February, we should have the numbers in place. So, I think once that is done, I should be able to guide you.

Bansi Desai: All right. And also lastly, how should we think about debt repayment? In how many years do we get back to our net cash position?

Sudhir Menon: I think this is something which I had guided earlier. So, I think

the way I am looking at is, if I

correctly remember the numbers, FY '27 will be the first year of integrated Torrent. FY '28, my net EBITDA should be around 1 -1.1x. And FY '29, it should be around 0.6 is what I remember, plus minus here and there, I think this is the broad guidance I can give.

Bansi Desai: And what should we assume as cost of interest here?

Sudhir Menon: So, average cost of interest is roughly 7.6%.

Bansi Desai: All right. Thank you.

Moderator: Thank you. Our next question comes from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Yes. Hi, sir. Thank you for the opportunity. Sir, my first question is pertaining to the JB Chemical acquisition. So, while complete control or the merger of the two entities may take another 6 -8 months, in the near term, how are we dealing at the senior level attrition, especially where the CEO and CFO of JB has resigned? So, are we going to have two different managements in place or it would be the Torrent team completely taking over?

Aman Mehta : In certain critical roles like CFO, there will be a separate CFO for JB. Similarly, wherever any such critical role is required, there will be a separate team running at the senior level. And eventually, it should all merge into Torrent.

Abdulkader Puranwala: Understood. And the second one I had is a bookkeeping question. So, while in most of the geographies, it seems like you have a currency benefit while your other income is still negative for the quarter. So, what explains that negative other income for the quarter?

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Sudhir Menon: So, there is a hedging loss which we have booked in other income. It is close to INR 45 crores.

Abdulkader Puranwala: Understood. Thank you. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Gaurav T from Ambit. Please go ahead.

Gaurav T: Yes, hi. Thank you and good evening. Just a clarification on the synergy number, INR 400-INR 450 crores in the next 2 -3 years. So, JB has this Novartis' Ophthal portfolio which is currently in-licensing. There is an opportunity for growing gross margins on that portfolio by FY '28. So, the INR 400-INR 450 crores number is inclusive of that gross margin synergies on the Ophthal portfolio of Novartis?

Aman Mehta : No, it does not include that. There are two parts. There is the Novartis business of the Ophthal portfolio and the Asma rda portfolio. So, the synergy number does not include either of these.

Gaurav T: Perfect. Thank you. Secondly, on the Brazil ex of Semaglutide, I think one of your peers reported quarterly numbers where they had a new launch and high growth with DAPA. So, any guidance on the number of new product launches in Brazil ex of Sema and how that growth trajectory can look like for the next 2 -3 years, please?

Sanjay Gupta: See, we have good visibility on new launches. So, we will be doing about 5 -6 launches here.

Gaurav T: And in terms of growth can that translate to 20% kind of a growth CAGR ex of Sema for the next 2 -3 years?

Sanjay Gupta: So, the market growth itself has slowed down considerably. So, we are seeing a market growth of 6-7% and I am targeting 10 -15% growth for Torrent. So, driven by new products, and pricing increase in Brazil have muted considerably because we have managed to keep inflation under control with crazy high interest rates. So, the inflation is pretty low, and the price increase we are seeing is not like old times. Nowadays, we are seeing 4 and 5, which also companies are not able to take because of competition. So, combining muted pricing increase, some volume increase and new products, I think in the range of 10% -15% is reasonable to expect. In terms of secondary sales growth, demand growth, prescription growth and primary sales varies up and down a little bit based on wholesale

decisions on inventory.

Gaurav T: Sure. Thank you for that. I will join back the queue.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services Limited. Please go ahead.

Tushar Manudhane: Thanks for the opportunity. Just one more on the JB side. So, any therapy in India or let us say, segment in India and then likewise in the international market, which you think is not going to be remunerative or not aligned with the Torrent Pharma strategy, which you would like to eliminate or reduce considerably?

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Sudhir Menon: Not therapy exactly, but certainly the JB trade generics business is not something which we are looking at continuing. It has been practically run at 0 margin and if we keep running, it will keep giving us stock returns. So, we are planning to, if not discontinue, at least shift some of it to our base trade generics business as early as possible.

Tushar Manudhane: That is as far as India business and on the international market side?

Sanjay Gupta: International is all fairly complimentary. So, nothing that we see there which doesn't align with our current strategy.

Tushar Manudhane: And at a group level, within let us say, Europe or LATAM or any other, let us say, developed markets where we have been doing pretty well, may it be in India, Brazil, US, which is sort of growing, Germany, certain temporary constraints, but any other geographies where Torrent would intend to make a mark or start building in addition to these core geographies?

Sanjay Gupta : So, you are talking in the context of JB, right?

Tushar Manudhane: No, at a Torrent group level.

Sanjay Gupta: So, four large markets like India, Brazil, Germany, US and we are preparing future large markets like Russia, then Mexico, then the Philippines. So, these should become in the medium term roughly \$50 million markets and that is what we are targeting. And then there is another series of markets below that that are currently in the \$10 million range, and we want to take them up to \$25 million. So, that is the way we look at our geographical portfolio.

Tushar Manudhane: And sir, \$50 million each or the combined you refer to and over what period?

Sanjay Gupta : So, it will take 3 -4 years, but the JB doesn't bring us much in terms of front -end sales in Mexico, neither in the Philippines. And so in Russia they do add, so we have current business of \$20 million, and they bring, let us say, another 50% of that. So, it leads to a scale improvement generally in all emerging markets, especially in Africa and Eastern Europe and Russia. So, this combined scale provides you an opportunity to be more visible on the market, to invest more on the market, to increase profitability and to increase momentum.

Tushar Manudhane: Got it, sir. Thank you. That is it from my side.

Moderator: Thank you. Our next question is from the line of Girish Bakhru from OrbiMed. Please go ahead.

Girish Bakhru: Hi, thanks for taking my question. Sanjay, I am just trying to understand ANVISA better here. I know you don't have a crystal ball, but given that there are 11 -12 filers on Sema, has it happened in the past where a regulator has had the situation where there are so many filers on the new product? And how many can it approve in the first wave? Typically ANVISA approves, I think, 2-3 products in any semester, right?

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Sanjay Gupta: No, it is not like that. It is pretty much like anywhere else in the world. There is no kind of quota system in Brazil. So, they give some flexibility for you to prioritize and indicate to them which are your priority dossiers and then you can kind of push them up the queue. But they can approve as many as you want. I have never seen any limitation from ANVISA in terms of number or approval.

rovals.

Girish Bakhru: So, when you say wave of launch, you being, let us say, maybe in the second wave, first wave can be as big as 5 approvals also, right?

Sanjay Gupta: Yes. I am hoping to be in the first 5, but let us see. Because our file is there. So, again, we have Ozempic, which is ahead. Wegovy is behind. And the bigger market is Wegovy.

Girish Bakhru: Understood. And typically, for a product like this, supply chain is different or is like, again, same like other generics?

Sanjay Gupta: No. It is not a Torrent supply chain on this one, right, because we are not manufacturing. And then it is a device. So, it is slightly different. But otherwise, it will work. We have the systems to make it work.

Girish Bakhru: My question is more on the distribution side. Do we have to have large distributors, local distributors like RD and this Abra Pharma tied up to get large pretty market?

Sanjay Gupta: So, these big distributors, they have a refrigerated supply chain. So, we don't anticipate any problems because they are so large. So, Santa Cruz, Abra Pharma that you mentioned, they all

have capabilities to distribute refrigerated products, temperature controlled products. So, not an issue.

Girish Bakhru: But would they take more than 3 -4 suppliers? I understand capacity can be an issue here. So, they may take. Typically, let us say, whoever gets in the first wave would lock in these distributors, right?

Sanjay Gupta: You can't lock in distributors so easily because basically Brazil is a prescription market, right. So, you have to convince the physician that your product is a viable product. So, pretty much like India, right. So, if the physician is writing and they are seeing the RXs coming in, they would stock your product. So, the battle is less. It is not like a trade market, right. Brazil is more of a prescription driven market. So, we have to convince the doctors that our product has the right quality, right price and we give the right service level. So, it should be fine as far as the distributors. We do that every day, controlling chains and distributors. That is part of our bread and butter. And we don't anticipate a barrier to entry on that front.

Girish Bakhru: Understood. And I just wanted to also check; oral pill is already filed by Novo in Brazil. I think approval may be probably on this year or later or next year. But would you file oral in Brazil as well, in India?

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Sanjay Gupta: So, we are looking at that because Aman has that product in India and potentially we can extend it to Brazil. But we haven't filed it as yet.

Girish Bakhru: Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Vivek Agarwal from Citi Group. Please go ahead.

Vivek Agarwal: Yes, thanks for the follow-up. Although you are not quantifying as far as the revenue synergies are concerned from JB, but any possibility that it is real possibility for any kind of revenue synergies over a period of time, etc.? Any qualitative color actually can make that to be helpful?

Aman Mehta : Qualitatively, if we look at some of the past revenue synergies that we have been able to kind of deliver, most recently being in Curatio brands and divisions, it is generally where the Torrent division has had a kind of longer duration of presence in those regions and areas where you then start selling or cross-selling. Overtime, that does really kind of show positive outcomes. So, you would have seen the growth of the Curatio basket of drugs or products has increased every year sequentially as a result of this. So, not saying that this is what we can expect in the case of every acquisition or in JB, but there are certainly pockets where even within the established JB brands, there are areas where Torrent's divisions or field force has had a much longer presence or has a stronger brand eq

uity or corporate equity which can be leveraged. So, this would be across Cardiac and Gastro especially, which are the two largest business contributors for Torrent and JB both. So, because of our number of field force that we have in Torrent, the opportunity is quite significant to at least get the reach enhanced as quickly as possible. And even in overlapping areas, there could be low market share of JB versus higher market share of Torrent in some products and there you can really look at opportunities. But this is something that we would not want to focus on in the first year. First year would be pretty much in terms of topline business as usual. First year would be probably more on the cost side and second year onwards, this is when we can start really looking at this.

Vivek Agarwal: Understood. Thank you. That is quite helpful. Thank you.

Moderator: Thank you. The next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services Limited. Please go ahead. Tushar, your line has been unmuted. You may proceed with your question.

Tushar Manudhane: Thank you for the follow-up. What is the net debt number at the end of 3Q?

Sudhir Menon: So, net debt number as in December is roughly INR 880 crores.

Tushar Manudhane: And how this trajectory with this acquisition, while you have shared the net debt to EBITDA ratio, but if you could just quantify, maybe at the end of FY '26, subsequently 27, the net debt number?

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Sudhir Menon: So, I think at this point, it is difficult to tell you the numbers, Tushar, but the guidance which I gave you or which I gave earlier, I think that you should be able to work it out.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Sanjay Gupta - Executive Director of International Business for closing comments. Over to you, sir.

Sanjay Gupta: Thank you very much for joining this call and look forward to updating you in the future about our progress. Thank you.

Moderator: Thank you. On behalf of Torrent Pharma, that concludes this conference. Thank you all for joining us, you may now disconnect your lines.